RAINBOW RARE EARTHS LIMITED
ANNUAL REPORT 2024

A STRATEGIC SOURCE OF CRITICAL RARE EARTHS

RAINBOW
RARE EARTHS

A STRATEGIC SOURCE OF THE RARE EARTH ELEMENTS DRIVING DECARBONISATION

Rainbow Rare Earths ("Rainbow" or the "Company") aims to be a forerunner in the establishment of an independent and ethical supply chain of the rare earth elements ("REE") that are driving the green energy transition.

It is doing this successfully via the identification and development of secondary rare earth deposits that can be brought into production quicker and at a lower cost than traditional hard rock mining projects, with a focus on the rare earth elements used to make permanent magnets, namely neodymium ("Nd"), praseodymium ("Pr"), dysprosium ("Dy") and terbium ("Tb").

Rainbow is listed on the main market of the London Stock Exchange under the ticker RBW.

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Front cover image:
The primary pilot plant in Johannesburg produced a mixed rare earth feed stream for further processing into separated rare earth oxides

INTRODUCTION TO RAINBOW AND RARE EARTH ELEMENTS

PAVING THE WAY FOR THE FIRST COMMERCIAL PRODUCTION OF RARE EARTH ELEMENTS FROM PHOSPHOGYPSUM

Rainbow has developed an innovative process to recover rare earths from phosphogyspum that is the by-product of phosphoric acid production. The material sits at surface in gypsum stacks, thereby eliminating many of the costs and risks associated with traditional mining projects.

Rainbow's flowsheet utilises existing processing technologies, which have been applied in multiple commercial applications over the decades, in a novel combination. Test work to date has indicated that the Company's proprietary process will recover separated rare earth oxides of the crucial magnet REE: Nd, Pr, Dy and Tb.

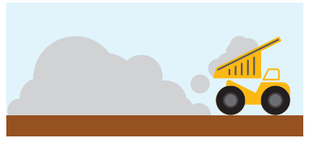
Phosphate is mined to produce phosphoric acid

A hard-rock phosphate deposit is mined and concentrated to produce a phosphate slurry feed

This is fed to a phosphoric acid plant which applies sulphuric acid and heat to produce phosphoric acid for fertiliser

Hardrock carbonatite phosphate sources contain rare earths which are concentrated and fed to the phosphoric acid plant

Phosphogypsum is the by-product

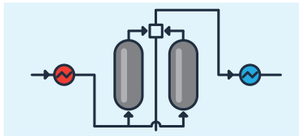


The waste product of phosphoric acid production is phosphogypsum

The rare earths concentrated in the phosphoric acid plant are left behind in the gypsum waste residue

The gypsum waste residue is a cracked chemical stockpile of rare earths which are amenable to direct leaching

Rainbow has developed technology to recover the REE



Rainbow has developed an innovative flowsheet to recover REE critical to the green energy transition from the gypsum residue

The process has a low capital and operating cost intensity due to the chemically cracked nature of the gypsum feed stock

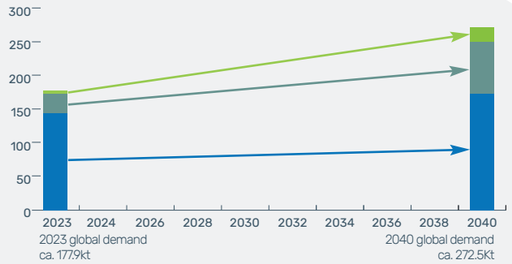
The process will deliver separated rare earth oxides from a single hydrometallurgical process plant

Rare earth elements are fundamental to life in the 21st century. Due to their unique electrical and magnetic properties, these elements allow for miniaturisation and much lighter, stronger, resilient, and efficient components. To date, they have transformed the consumer electronics market, enabling the high-tech products so integral to our lives and which still account for ca. 50% of the rare earth market.

However, rare earths have an even more important role to play as enablers of global decarbonisation. Rare earth elements are vital components of the type of permanent magnets used within electric vehicles and wind turbines, with both of these markets forecast to continue to experience significant growth as part of the inexorable transition to the green economy.

Currently China controls ca. 70% of rare earth mining, but ca. 90% of the downstream rare earth processing and manufacturing. This reliance on one country creates supply chain vulnerability and there is a drive from western governments to develop supply chain independence, particularly since rare earths are vital to next generation applications in defence and exciting new markets such as robotics and advanced air mobility.

Global demand for magnet rare earth oxides ("REOs") (Nd, Pr, Dy, Tb)



- Wind power demand growth at a CAGR of ca. 15% p.a. requires 0.2Mt additional magnet REOs by 2040
- EV sales growth at a CAGR of ca. 10% p.a. requires ca. 1.2Mt additional magnet REOs by 2040
- Other uses of rare earths demand growth at a CAGR of ca. 3% p.a. requires ca. 2.9Mt additional magnet REOs by 2040

Source: Argus Media Ltd ("Argus Media")

WHY INVEST

A UNIQUE INVESTMENT OPPORTUNITY IN RARE EARTHS

CRITICAL MINERALS

Demand for REE is forecast to rise significantly to facilitate global decarbonisation, as well as for use in strategic and high-tech products.

Read more on pages 10 to 13

FOCUS ON SECONDARY SOURCES

Rainbow is paving the way for the first commercial production of REE from phosphogypsum, thereby extracting value from a "waste" product.

Read more on page 19

EXPERIENCED TEAM

Rainbow's team has a history of delivering multiple processing plants, feasibility studies and mine developments, including extensive experience in rare earths.

Read more on pages 36 to 38

WHY INVEST CONTINUED

INNOVATIVE TECHNOLOGY

Proprietary REE recovery process from phosphogypsum opens up a new global market opportunity; proposed separation process more efficient than traditional solvent extraction.

Read more on page 19

MULTI-ASSET RARE EARTH PORTFOLIO

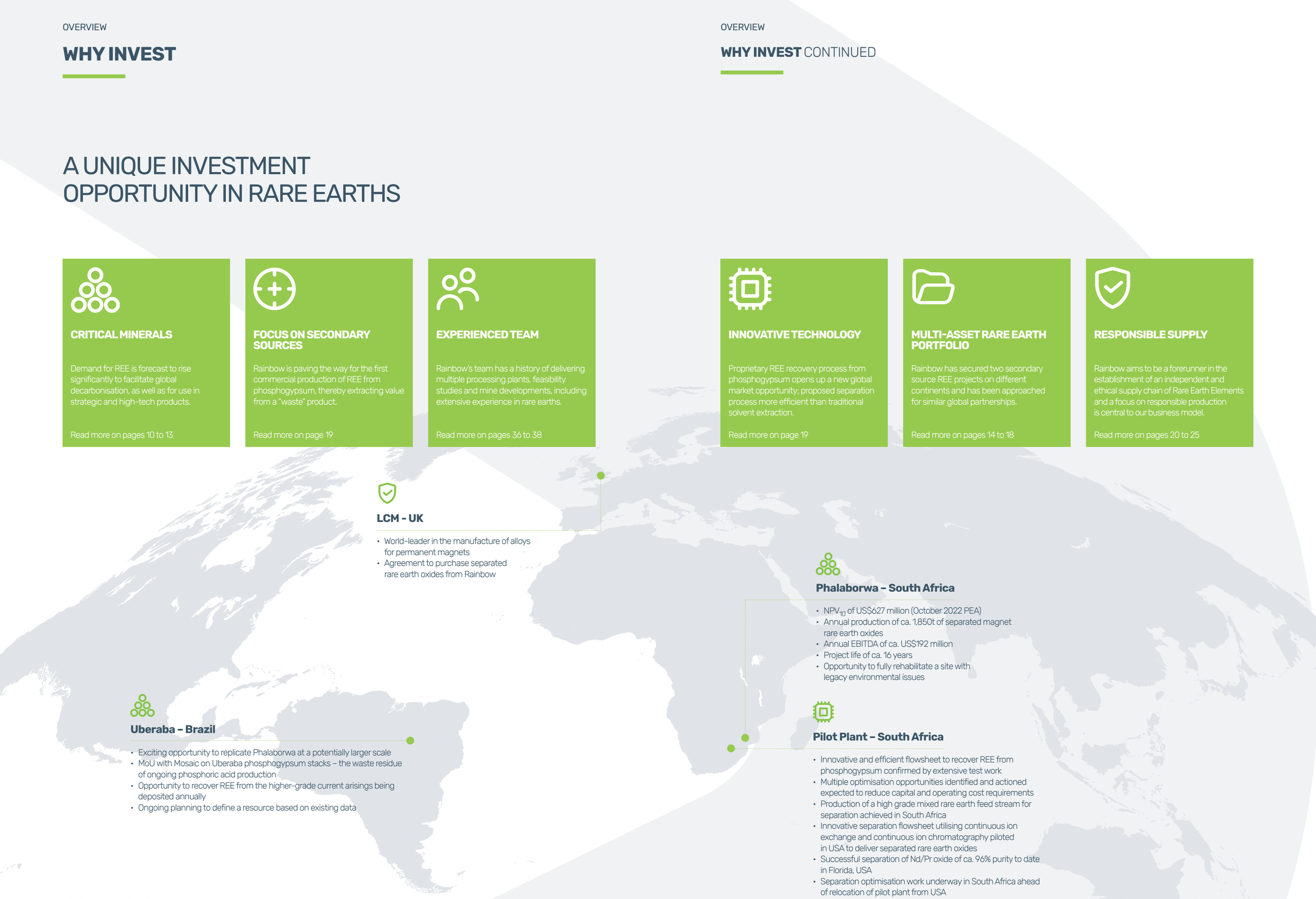
Rainbow has secured two secondary source REE projects on different continents and has been approached for similar global partnerships.

Read more on pages 14 to 18

RESPONSIBLE SUPPLY

Rainbow aims to be a forerunner in the establishment of an independent and ethical supply chain of Rare Earth Elements and a focus on responsible production is central to our business model.

Read more on pages 20 to 25



LCM - UK

- World-leader in the manufacture of alloys for permanent magnets
- Agreement to purchase separated rare earth oxides from Rainbow

Phalaborwa – South Africa

- NPV_{10} of US$627 million (October 2022 PEA)
- Annual production of ca. 1,850t of separated magnet rare earth oxides
- Annual EBITDA of ca. US$192 million
- Project life of ca. 16 years
- Opportunity to fully rehabilitate a site with legacy environmental issues

Uberaba – Brazil

- Exciting opportunity to replicate Phalaborwa at a potentially larger scale
- MoU with Mosaic on Uberaba phosphogypsum stacks – the waste residue of ongoing phosphoric acid production
- Opportunity to recover REE from the higher-grade current arisings being deposited annually
- Ongoing planning to define a resource based on existing data

Pilot Plant – South Africa

- Innovative and efficient flowsheet to recover REE from phosphogypsum confirmed by extensive test work
- Multiple optimisation opportunities identified and actioned expected to reduce capital and operating cost requirements
- Production of a high grade mixed rare earth feed stream for separation achieved in South Africa
- Innovative separation flowsheet utilising continuous ion exchange and continuous ion chromatography piloted in USA to deliver separated rare earth oxides
- Successful separation of Nd/Pr oxide of ca. 96% purity to date in Florida, USA
- Separation optimisation work underway in South Africa ahead of relocation of pilot plant from USA

STRATEGIC REPORT

DEVELOPING A RESPONSIBLE RARE EARTHS SUPPLY CHAIN

Global off-shore wind power installed capacity grew 112% to 77GW in 2023, with a further 500GW of capacity forecast to be installed by 2034

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CHAIRMAN'S STATEMENT

OUR PHALABORWA PROJECT HAS BEEN CHOSEN BY THE U.S. GOVERNMENT AS AN IMPORTANT CONTRIBUTOR TO REE SUPPLY CHAIN INDEPENDENCE

CHAIRMAN'S STATEMENT CONTINUED

Dear Shareholder,
Rare earth elements lie at the intersection of two global megatrends: decarbonisation and geopolitics. In the former: REE are crucial materials in the most powerful and efficient permanent magnets in use today, which are vital components of electric vehicles ("EVs"), wind turbines and many of the electronic devices so integral to our lives today. In the latter, because the supply chain of REE is almost entirely dominated by one country, China, leading to supply chain risks and vulnerabilities.

REE also have many highly strategic uses in advanced technologies, including defence applications from jet fighters to submarines, as well as exciting new markets such as robotics and advanced air mobility, adding to their criticality worldwide.

These factors have led to the designation of magnet REE as critical minerals by the U.S., EU and many other governments.

The magnet REE are noted as being among those critical minerals at most risk of supply disruptions due to the market's reliance on China which currently controls over 70% of primary production and over 90% of global processing capacity. As we have seen recently, with the announcement of controls by China on the export of graphite, gallium, germanium and antimony, it is vital to develop alternative sources of supply.

The U.S., the E.U. and aligned governments are taking action across a number of fronts, via a combination of supportive fiscal measures, investment and a focus on the development of skills and technologies that can support their aims. The announcement in May 2024 that the U.S. would impose tariffs on Chinese-made rare earth permanent magnets further demonstrated the growing commitment to the development of a fully independent supply chain.

Gaining this independence in REE requires multi-faceted development across the supply chain, from access to the raw materials to the facilities and skills required to refine and manufacture those materials into alloys, metals, and eventually magnets. This cannot be done without taking a medium to long-term view that looks beyond short-term market conditions and pricing fluctuations.

According to Argus Media, the market for rare earth permanent magnets has nearly doubled between 2020 to 2024, and demand is forecast to continue to grow strongly by ca. 7% per annum over the next ten years, which means a further doubling of demand to come. While the long-term demand drivers for the market remain strong, in the short-term market volatility may continue, as seen during the period of weak pricing in the year to 30 June 2024 ("FY 2024" or the "Year") with Chinese-controlled production exceeding supply growth.

Notwithstanding recent price weakness, industry commentators agree that the longer-term outlook for REE pricing is supportive given the unstoppable global megatrend of moving towards a transitional energy environment and decarbonisation. This has led to the drive from Western and aligned governments to reduce supply chain vulnerability through diversified sources of supply that are traceable and meet high environmental, social and governance ("ESG") standards.

Africa has an important role to play given its endowment of critical minerals and the U.S. is increasing its activity on the continent to combat the inroads that China has made over the last few decades. This was evident at this year's Mining Indaba conference in Cape Town, where the U.S. sent its largest-ever delegation, including senior government officials.

Rainbow's Phalaborwa project has been chosen by the U.S. Government as an important contributor to REE supply chain independence, with the U.S. International Development Finance Corporation (the "DFC") committed to investment of US$50 million to Phalaborwa, via TechMet Limited ("TechMet"), as announced at the U.N.'s Climate Change Conference, COP28.

Due to the unique characteristics of the project, which will see REE recovered from phosphogypsum stacks that are sitting at surface in a chemically "cracked" form on an industrial site in South Africa, Phalaborwa is likely to have one of the lowest operating costs of any rare earth project in development today. This gives the project resilience against rare earth pricing volatility, as has been experienced in FY 2024.

Phalaborwa will play a role in furthering global goals to reach net zero emissions via the production of REE essential to decarbonisation. In addition, the project offers unique ESG opportunities by extracting value from a "waste" product (phosphogypsum), cleaning up legacy environmental issues and allowing for full-circle site rehabilitation.

Phalaborwa's position as a best-in-class REE project was highlighted in July 2024 by the royalty agreement and associated share placement with Ecora Resources PLC ("Ecora"), which raised a total of US$10 million. Rainbow is Ecora's only investment in the REE space and the agreement followed an extensive due diligence process, giving additional third-party validation of the quality of our assets.

Rainbow's ability to raise funds from strategic partners such as the DFC, TechMet and Ecora comes at a time of continued difficulty in the UK equity markets for small- to mid-cap resources companies, and I am proud of the high quality of our stakeholders.

Both myself, the CEO George Bennett, and others on the Board and in senior management also continued to support the business via participation in the private placement announced in October 2023, which brought in US$5.5 million in funding. As we continue to develop and de-risk Phalaborwa, as well as evaluate longer-term opportunities, we will maintain Rainbow's tight corporate overheads to ensure that the majority of the funds raised will go directly towards building value across our portfolio.

Our focus is to ensure that the technology to recover REE from phosphogypsum being developed at Phalaborwa will unlock a global opportunity for low-cost and responsible REE supply from similar secondary sources, such as the partnership with Mosaic at Uberaba in Brazil. This will allow Rainbow to benefit from anticipated growth in REE demand from the green energy, defence and technology sectors to develop a long-term sustainable business.

I would like to thank our team, consultants and partners for the tremendous commitment and drive that has propelled the Company and our project forward, as well as our host countries for their support. It is a truly exciting period ahead as we work towards bringing Phalaborwa into production by 2027.

ADONIS POUROULIS
NON-EXECUTIVE CHAIRMAN

17 October 2024

CEO STATEMENT

OUR TECHNOLOGY CAN UNLOCK A GLOBAL OPPORTUNITY FOR A LOW COST AND RESPONSIBLE SUPPLY OF RARE EARTH ELEMENTS FROM PHOSPHOGYPSUM

CEO STATEMENT CONTINUED

Dear Shareholder,
In FY 2024 Rainbow made significant strides towards becoming a leader in establishing an independent and ethical supply chain for the rare earth elements that are driving the green energy transition.

The main focus this year was commissioning the Phalaborwa pilot plant to demonstrate and optimise the unique flowsheet developed for recovering REE from phosphogypsum. I am extremely proud of our team's hard work in establishing and optimising the primary front-end leach flowsheet, which has resulted in a much more simplified process compared to that which was published in our Preliminary Economic Assessment ("PEA"), maintaining REE recoveries at 66%. Extensive test work, including repeatability tests, has given us a high-level of confidence in our primary flow sheet.

Results from the primary pilot plant in South Africa, alongside preliminary results from the CIX/CIC separation pilot plant in USA, have delivered two saleable products: a mixed rare earth carbonate, and separated Nd/Pr of ca. 96% purity, paving the way for the first commercial recovery of rare earths from phosphogypsum.

As announced in September 2024, we decided to relocate the continuous ion exchange and continuous ion chromatography ("CIX/CIC") separation plant from Florida to Johannesburg earlier than originally envisaged. This will allow for the recycling of critical streams from the separation process to the appropriate destinations in the leach plant and the relevant disposal of waste material. Complementary bench scale IX/IC tests have commenced in South Africa and are aimed at achieving +99% purity while the pilot plant is shipped. I firmly believe that the successful utilisation of CIX/CIC technology will be a game changer for our industry, due to the efficiencies, improved environmental footprint, and the lower associated cost base it offers versus traditional solvent extraction methods.

Moving this work to South Africa will have the added benefit that the separation work can be the full focus of Rainbow's technical team. We have built an excellent team, including Chris Le Roux and Roux Wildenboer who both have extensive experience in REE processing and project development, and who have been integral to the successful development of the primary plant flowsheet at Phalaborwa. A recent and valuable addition to the team has been Tamsyn De Jager, who is an exceptional project manager having led studies from concept phase to project execution and worked across many minerals including REE and uranium.

Both myself and our Technical Director, Dave Dodd, have delivered on multiple feasibility studies, and built numerous processing plants over our careers, most recently at MDM Engineering. Our long history in developing mineral flowsheets has taught us the importance of doing things right, even if it takes longer than anticipated, as this is the only way to ensure the long-term success of a project.

In addition to the progress with our process flow sheet, an updated Mineral Resource Estimate ("MRE") released in September 2024 saw the total resource tonnage for Phalaborwa increase 15% to 35.0 Mt due to the application of updated bulk density calculations. This increases the project life by two years to a total of 16 years and demonstrates the potential to generate value from other recoverable REE not included in our PEA project economics. Even at today's lower spot prices, the MRE has an in-situ value of ca. US$7.3 billion. The full MRE can be accessed at www.rainbowrareearths.com/project/phalaborwa/.

It is important to us that Phalaborwa is aligned with Rainbow's values and our stakeholder expectations. For this reason, ESG considerations are a fundamental part of Phalaborwa's development. Understanding our impacts, both positive and negative, is foundational to the proper management of the project. The Environmental and Social Impact Assessment ("ESIA") is a critical component of ensuring this. Work done to date has established that Phalaborwa offers important benefits to its local communities in terms of job creation and environmental remediation. We have also commenced work to calculate carbon emissions for the project, which has underlined how important it will be to establish a low-carbon energy source for the project, given that South Africa's state power remains primarily coal-based. We are evaluating renewable energy power options which we envisage can provide the bulk of the project's power requirements.

We see offtake as an important component of the Phalaborwa project's finance process and have commenced offtake discussions with a number of industry participants, including original equipment manufacturers ("OEMs") and global trading companies. Phalaborwa's ability to play a part in an ethical and alternative supply chain was also recognised by UK-based Less Common Metals Ltd ("LCM"), a world leader in the manufacture and supply of complex alloy systems and metals, with whom we entered into a strategic supply agreement during the Year. LCM has been looking to secure feedstock required for their business, and Rainbow was chosen due to Phalaborwa's robust cost base, which should see the project resilient to rare earth pricing volatility, as well as its green credentials as an environmental remediation project.

In the long term, we believe that by honing the technology required to recover REE from phosphogypsum, Rainbow will be able to access a much larger addressable market to develop a scalable and sustainable business.

The Memorandum of Understanding ("MOU") signed with the Mosaic Company ("Mosaic"), the world's leading integrated producer of concentrated phosphate and potash, for the Uberaba project in Brazil, offers an exciting opportunity to replicate the type of operation proposed at Phalaborwa. It will offer lower-cost REE production based in a favourable jurisdiction that could be brought into production much faster than traditional mining projects.

In addition, we are currently evaluating approaches for strategic partnership opportunities in Saudi Arabia, Canada and India, alongside the partnership with OCP S.A. ("OCP") and Mohammed VI Polytechnic University ("UM6P") in Morocco.

The Gakara project in Burundi has remained on care and maintenance throughout the Year at the request of the Government of Burundi. Recent engagement with the Government has not delivered progress with regards to a resolution and the re-start of operations in the near term cannot be reasonably assumed. As a result, all assets of the Gakara cash-generating unit, with the exception of cash and VAT recoverable, have now been impaired to nil.

I would like to thank all our stakeholders for their continued support and especially our employees, whose remarkable efforts have brought the Phalaborwa project to where it is today. Their dedication allows Rainbow to focus on leveraging our ability to recover REE from phosphogypsum and develop a sustainable long-term business.

GEORGE BENNETT
CHIEF EXECUTIVE OFFICER

17 October 2024

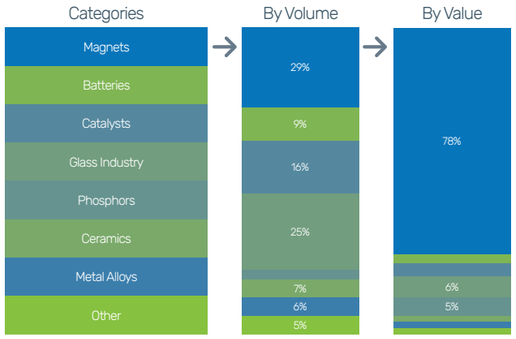
ABOUT RARE EARTH ELEMENTS

About Rare Earth Elements
Due to their unique electrical and magnetic properties, REE are integral to modern life, being vital components of consumer electronics such as laptops, smart phones and flat screen TVs, as well as systems required for the construction industry. They are also used across diverse applications such as lasers, glass, magnetic materials and industrial processes.

The shift to a clean energy system is driving a huge increase in the requirements for REE and other critical minerals. The four REE that are particularly important to the green energy transition are Nd, Pr, Dy and Tb (together "Magnet REE") due to their role in the rare earth permanent magnets ("REPM"). REPM, first developed in 1984, are 18 times stronger than ordinary ferrite magnets by volume and 12 times stronger by mass, which has led to their widespread use in high performance permanent magnet motors enabling a proliferation of new technologies driving growing demand.

REPM are by far the most economically important use of REE, accounting for ca. 78% by value in 2023, which is forecast by Argus to grow to 90% by value in 2034.

Uses of REE by volume and value



Source: Argus Media

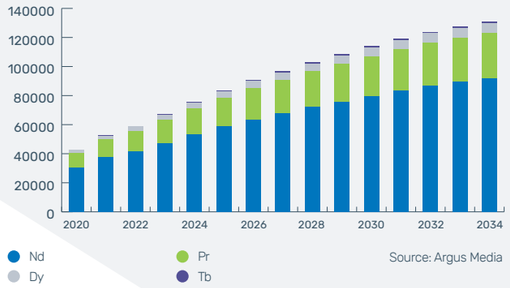
Relevance to Rainbow: The Phalaborwa project is well placed to capitalise on the growing demand for REPMs, as its rare earth basket contains all four of the most important Magnet REE in economic quantities.

Demand drivers
REE demand is estimated to have increased by 21% from 2020 to 2023 to a total of 203kt, driven by a 67% increase in demand for REPM utilising 58kt of REE. This high growth in REPM has driven a corresponding growth in demand for Magnet REE, from 49kt in 2020 to a total, including REPM, of 78kt in 2023.

REPM are widely used across a number of sectors: consumer electronics including smart phones, speakers, microphones and computers; construction including elevators, heating, ventilation and air conditioning ("HVAC"); medical devices; defence; motor vehicles including both electric and conventional vehicles; robotics; advanced air mobility such as drones; and wind power generation.

In 2023, ca. 50% of REPM demand related to sectors such as consumer electronics, HVAC and medical uses. The market is expected to be increasingly dominated by high growth areas related to the move to net zero, such as electric vehicles and wind turbines, and emerging technologies such as robotics and advanced air mobility.

Magnet REE Demand

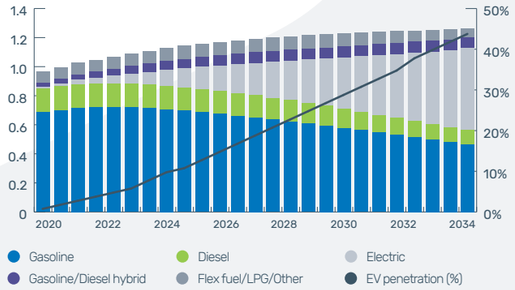


Source: Argus Media

Electric Vehicles (EV)
The global adoption of EV is an unstoppable megatrend driven by legislation, which is expected to remain a strong demand driver for Magnet REE. Global sales across battery EV ("BEV") and plug-in hybrid EV ("PHEV") have grown from ca. 3 million units in 2020 to ca. 14 million units in 2023 and are forecast to reach ca. 46 million units in 2034. EV penetration is forecast to increase from 1% of the global vehicle fleet in 2020 to 44% in 2045.

Global growth in sales of PHEV has overtaken BEV in 2023, driven by trends in China with consumers focusing on both price and range issues. Whilst a PHEV has a smaller battery than a BEV, the impact on REPM usage is much smaller, with the average motor in a PHEV not significantly smaller than a BEV. Whilst analysts continue to forecast BEV sales to outgrow PHEV sales in the long term, PHEV growth will still lead to a high growth in REPM demand. The average hybrid or EV requires 2kg to 5kg of REPM, two to four times the quantities in a typical internal combustion engine vehicle.

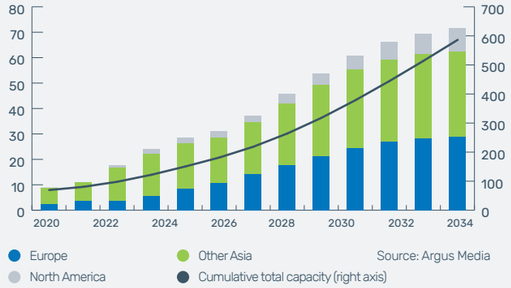
Global passenger fleet forecast 2020-34 (bn units)



Source: Argus Media

Wind Turbines
The increasing use of REPM direct drive generators in wind turbines, which provide significant efficiency benefits over traditional gearbox-based designs, is expected to be another key demand driver for Magnet REE, as wind generation is one of the fastest growing forms of energy. The IEA forecasts that wind power will grow from ca. 5% of global generation capacity in 2018 to ca. 21% in 2040 if sustainable development goals are met. Global off-shore wind power installed capacity has grown 112% from 36GW in 2020 to 77GW in 2023, with a further 500GW of capacity forecast to be installed by 2034. With a 3MW direct-drive wind turbine requiring 1 to 2t of REPM this is expected to be a further demand driver for Magnet REE.

Global offshore wind capacity additions 2020-34 (GW)



Source: Argus Media

Robotics and Advanced Air Mobility
In addition to EV and wind turbines, emerging technologies are expected to open up new frontiers for REPM demand.

Industrial and consumer robotics are estimated to represent 1% of REPM demand in 2023 but are forecast to be a growing sector. The energy efficiency, torque, power density and smooth torque curve of REPM are important factors for robotics, driving a low substitution risk. As technology advances, it is expected that growth rates will accelerate, and analysts are forecasting that REPM demand for robotics could surpass EV over the long term.

Advanced air mobility includes recreational and commercial drones, with technical advances allowing for increasing payloads and corresponding applications. In addition to the growing consumer drone market, commercial drones are already being used for delivery services and electric vertical take-off and landing ("eVTOL") technology is expected to allow low-cost commercial flights, such as airport transfers, to launch in the coming years. Emerging eVTOL technology requires higher power output per kg for motors, which is expected to correspond to higher Magnet REE intensity than passenger EV, which could create new demand for Magnet REE.

Relevance to Rainbow: The Phalaborwa project will produce all four Magnet REE, including the heavies Dy and Tb. These elements are critical to the permanent magnets used in EVs, wind turbines, defence and robotics, as they improve efficiency and can maintain performance under high temperatures.

CASE STUDY

The Critical Role of REE in Defence

REPM are increasingly essential components in a range of defence capabilities, which make use of next generation technologies. These include:

- F-35 Lightning II aircraft
- Virginia and Columbia class submarines
- Unmanned aerial vehicles
- Tomahawk missiles
- Radar systems
- Guidance and control systems

REE are also used in non-magnetic applications such as:

- Vehicle-mounted and portable laser range finders
- Target designators
- Fiber optic communications systems
- Sonic transducers for submarines

Recognising the excessive supply chain vulnerability for magnet REE, especially the heavies Dy and Tb, the U.S. Department of Defense ("DOD") has instigated a "Mine-to-magnet" initiative aimed at establishing a fully domestic supply chain.

This will include the separation and refinement of REE mined in the U.S., as well as developing the downstream processes needed to convert those refined materials into metals, alloys and ultimately magnets.

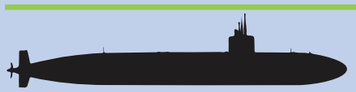
Since 2020, the DOD has awarded more than US$439 million and is reported to be on track to meet its goal of a sustainable, mine-to-magnet supply chain capable of supporting all U.S. defence requirements by 2027.

Rare Earths are critical to the Defence supply chain

F-35 **400kg of REE**

Arleigh Burke DDG-51 **2,360kg of REE**

SSN-774 Virginia Class Submarine **4,170kg of REE**

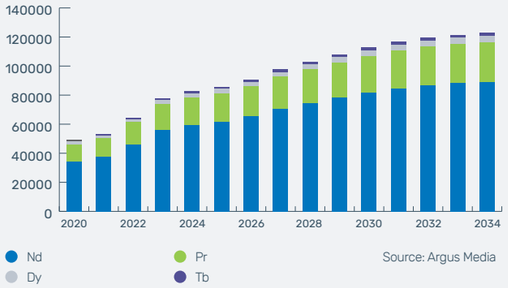


Supply Outlook

Rare earth production is dominated by China, which has a 70% market share for primary production and over 90% of the global processing capacity. In China, the market is dominated by two state owned entities: China Northern and China Rare Earth Group (in the South), with consolidation since 2021 allied with stricter permitting allowing the Government to control supply through quota allocations.

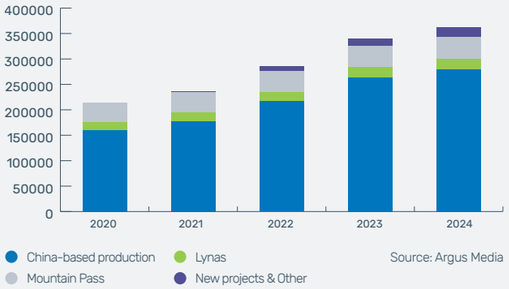
Total rare earth supply increased by 59% between 2020 and 2023 from 214kt REO to 340kt REO, driven by a 64% increase in Chinese production (including imported feedstock from Myanmar, Laos and Vietnam). The Chinese supply growth was managed via increased quotas for both primary production and refining, which increased by 20-25% per annum from 2020 to 2023. It is not reported how sustainable these increases are in the context of Chinese reserves of rare earth ores. Quota increases in 2024 have been much smaller, at 6% for mining and 4% for smelting and separation, and Argus predict supply growth for Magnet REE of c. 4% per annum over the next decade.

Magnet REE Supply



Production outside China is dominated by Mountain Pass in US and Lynas in Australia. While there are a number of new REE projects outside of China in development today, there are multiple challenges in bringing new supply to market. Due to the nature of REE mineral deposits, they often involve complex mineralogy with associated radioactive elements. The current low rare earth pricing environment is also a major impediment to new production coming on stream. Notwithstanding government intervention to support new sources outside China, analysts are predicting that supply growth will be restricted by a combination of financing, permitting and technical risks, expected to delay the start-up for new mines.

Rare earth supply by source



Relevance to Rainbow: The Phalaborwa project will recover REE from phosphogypsum stacks that sit at surface, thereby eliminating many of the costs and risks associated with traditional mining development projects.

Rare earth pricing

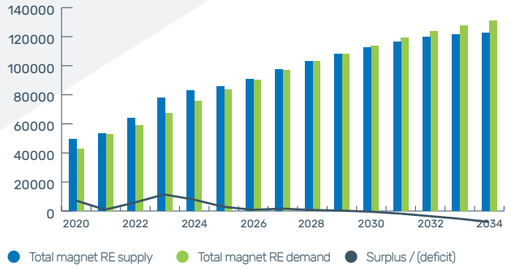
Since peaking in Q1 2022 rare earth prices have fallen significantly. A decline in the price of Nd/Pr of ca. 45% was seen in FY 2023. Weak pricing continued in FY 2024 with Nd/Pr falling a further 23% to end the Year at US$51/kg. Since 30 June 2024 prices have stabilised, reaching US$62/kg for Nd/Pr at 30 September 2024.

This weak performance is driven by the significantly increased Chinese supply quotas exceeding growth in demand. Demand has been impacted by the soft global economic backdrop, particularly in China, which has led to slowdowns in construction (impacting elevator and HVAC consumption) and consumer electronics. The market was also impacted by the slower than anticipated roll-out of EVs and offshore wind turbines, albeit these markets still recorded significant growth.

While REE supply is forecast to continue to grow, it is not expected to be able to keep pace with the fast-growing demand for REPM, which would need supply of the Magnet REE to grow by nearly 9% per annum to satisfy the demand for the green energy transition.

The latest Argus forecasts foresee a supply deficit for Magnet REE emerging from 2029, growing to 8,200t by 2034. These forecasts are predicated on new non-Chinese supply growing from 4% of total REO in 2023 to 17% in 2029 and 24% by 2034, excluding anticipated growth from established non-Chinese suppliers. Delays to new supply additions or slower quota growth in China could accelerate the predicted supply deficits, as could increasing demand for REPM from emerging technologies.

REO Supply vs Demand outlook

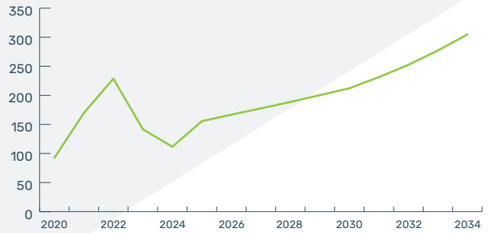


Source: Argus Media

Relevance to Rainbow: The Phalaborwa project will produce ca. 1,850t of magnet rare earths per annum, which is equivalent to ca. 2% of the forecast demand in 2027 when the project is expected to commence operations.

At spot year-end prices the Phalaborwa Resource has an in-situ value of US$92.40 per tonne of gypsum. This is forecast to grow to US$177.57 in 2027 when the project is anticipated to commence production and US$304.73 by 2034 once long-term supply deficits start to emerge.

Phalaborwa in-situ vale US$/t gypsum



Source: Argus Media

At spot prices, the majority of rare earth production and development projects are deemed by independent market analysts to be uneconomic, including a significant proportion of Chinese production, suggesting that current price levels are unsustainable.

While there could be continued pricing volatility in the short-term, industry commentators agree that the longer-term outlook for REE pricing is supportive given the unstoppable global megatrend of decarbonisation and the drive from western governments to develop an independent and diversified supply chain.

Relevance to Rainbow: The Phalaborwa PEA indicated an operating cost of US$28.95 per tonne of gypsum treated, which is believed to equate to one of the lowest REE operating costs globally. Many of the REE projects in development today are estimated by Canaccord Genuity to require an average Nd/Pr oxide price of ca. US$80/kg to return a project NPV breakeven.

PHALABORWA

SOUTH AFRICA

ONE OF THE HIGHEST MARGIN RARE EARTH PROJECTS IN DEVELOPMENT TODAY

Overview
The Phalaborwa project in South Africa represents an exciting, near-term production opportunity of all four of the magnet rare earths required for the green energy transition.

The operation will involve the processing of phosphogypsum stacks, the by-product of historic phosphoric acid production on the site which ceased in 2014. The resource sits at surface, thereby eliminating many of the costs and risks associated with traditional mining projects.

Rainbow has developed a unique flowsheet which will allow for the rare earths to be leached from the gypsum and upgraded to a mixed rare earth feed stream before further processing to deliver separated rare earth oxides. Annual production is estimated to be ca. 1,850 tonnes of the Magnet REE Nd, Pr, Dy and Tb oxides, starting in 2027.

In September 2024, the Company published an updated Resource for Phalaborwa, which saw the total tonnage rise 15% to 35 Mt, thereby increasing the project life from ca. 14 years to ca. 16 years. The new MRE for the first time includes the full range of recoverable REE that may have economic value for Rainbow in the future, including the SEG group (samarium, europium and gadolinium), lanthanum and cerium. The full MRE can be accessed at www.rainbowrareearths.com/project/phalaborwa/.

Apart from delivering products that are vital to global efforts of decarbonisation, Phalaborwa has strong environmental credentials in terms of reducing legacy risks from the previous operations on site. ESG parameters are an integral part of the Phalaborwa development and operating plan.

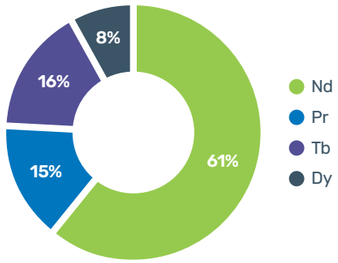
Rainbow currently owns 85% of the project, with an option to acquire the remaining 15% from Bosveld Phosphates (Pty) Limited ("Bosveld") via the issue of 38,873,663 new ordinary shares in the Company.

Background to Phalaborwa Phosphogypsum
The original source rock for the phosphoric acid operations was a hardrock carbonatite, which was mined and processed to produce a phosphate slurry feed. The phosphate slurry was further processed on a separate site to produce phosphoric acid with a phosphogypsum waste residue. While the hardrock carbonatite did not contain rare earths in sufficient quantities to be mined for these elements alone, the processes it underwent served to concentrate the quantity of rare earths contained therein, resulting in higher concentrations of rare earths deporting to the phosphogypsum waste residue than were in the original hard rock.

This phosphoric acid production process also subjected the material to sulphuric acid and heat, which led to the majority of the rare earths in the phosphogypsum material at Phalaborwa being in "cracked" chemical form. These "cracked" rare earths are amenable to direct acid leaching, which is expected to allow Rainbow to produce separated and purified rare earth oxides from a single hydrometallurgical process plant.

With no need for hard rock mining, crushing and milling, the phosphogypsum will be hydraulically reclaimed from the stacks and pumped into the processing facility which, together with the elimination of a dedicated cracking plant for the REE, is expected to reduce capital and operating cost intensity compared to traditional hard rock mining REE projects.

Phalaborwa magnet rare earth basket value



Robust economics
Rainbow published a PEA in October 2022 based on processing 2.2 million tonnes per annum of phosphogypsum to deliver 26,208 tonnes of separated rare earth magnet oxides at an average cost of US$33.86/kg. This delivers an exceptional 75% operating margin at the base case basket price of US$137.92 per kg of magnet rare earth oxides ("REO").

The PEA generates a strong EBITDA in all pricing scenarios. Pricing was notably weak for the duration of FY 2024, with Nd/Pr oxide trading below US$60/kg in the second half of the Year. While this is believed to be below breakeven for the majority of producers worldwide and therefore unsustainable, Phalaborwa is still expected to be profitable at this level, generating ca. US$82 million EBITDA per annum (at US$60/kg Nd/Pr, US$300/kg Dy and US$1,000/kg Tb with the PEA cost base). The operation is highly geared to rising prices, which are expected given the rapid growth in demand for REPMs globally. At the time of the PEA, spot pricing of US$110/kg Nd, US$112.50/kg Pr, US$340/kg Dy and US$1,875/kg Tb was used for the base case, which would generate US$192 EBITDA per annum.

Annual EBITDA $192m

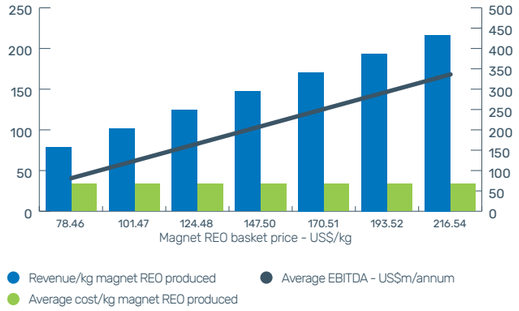
75%

Operating Margin

PHALABORWA
CONTINUED

Rainbow is planning to release an Interim Report before the end of 2024 to update the economics of the Phalaborwa project, footprinted against the PEA, to reflect the process flow sheet changes delivered from the pilot test work campaigns and the increase in project life driven by the updated mineral resource. The Interim Report will evaluate the various product options currently available as revenue generators for the project and is expected to allow financing workstreams to commence.

EBITDA sensitivity to pricing



Phalaborwa's positive impacts
As well as delivering products that are essential to the green energy transition, the Phalaborwa project is notable for having a number of positive impacts for both its local environment and communities.

Most importantly, the project will serve to clean up a legacy environmental issue of acid water associated with the historic unlined gypsum stacks. Rainbow will neutralise this acid water for use in the closed-circuit plant process, which also eliminates the need to draw on an external water source for the processing plant. The clean-up of acid water is expected to improve groundwater quality which is impacted by the stack water emanating from the base of the unlined stacks.

Rainbow's process flowsheet will produce a cleaner "benign" gypsum with fewer impurities which will be deposited on new stacks which are lined according to International Finance Corporation standards and Equator Principles. During the Year, Rainbow entered into a Letter of Intent for an offtake agreement with NEXUS Intertrade (Pty) Ltd ("NEXUS"), under which NEXUS will acquire the benign gypsum and sell it on to both the domestic and neighbouring agricultural and industrial sectors. This agreement will see the stacks at Phalaborwa eventually fully depleted, allowing for a complete environmental rehabilitation of the site, as well as having a positive socio-economic effect on local industry.

Part of the Circular Economy
Phalaborwa's business model is founded on the extraction of value from waste, which gives the project a place in the circular economy:

- The project will recover magnet REE from phosphogypsum stacks that are currently a waste pile in need of environmental rehabilitation.
- A neighbouring company's waste product, sulphuric acid from copper production, will be used as a key reagent.
- The clean gypsum by-product can be sold on for use in other industries.
- As a brownfield operation on an existing industrial site the project proposes to repurpose and reuse existing selected infrastructure.

Update on operations
Rainbow is progressing on the various workstreams required to deliver the Phalaborwa Definitive Feasibility Study ("DFS"), which is expected to be completed in 2025.

A key component of the DFS has been the operation of a pilot plant to demonstrate and optimise the unique flowsheet that has been developed for the project.

The primary leach flowsheet represents +/–75% of the Phalaborwa flowsheet and processes phosphogypsum to produce a rare earth feed stream for the separation process.

The leach flowsheet has been subject to an extensive programme of bench scale and pilot plant leach test work conducted at the Johannesburg facilities of the Council for Mineral Technology ("Mintek"). This work has confirmed the efficacy of a much simpler flowsheet, which maintains the overall recovery rate of rare earths at ca. 66%, paving the way for the first commercial recovery of Magnet REE from phosphogypsum. The diagram to the right shows the original flowsheet adopted for the PEA, with the coloured blocks representing the processes and circuits that have now been eliminated.

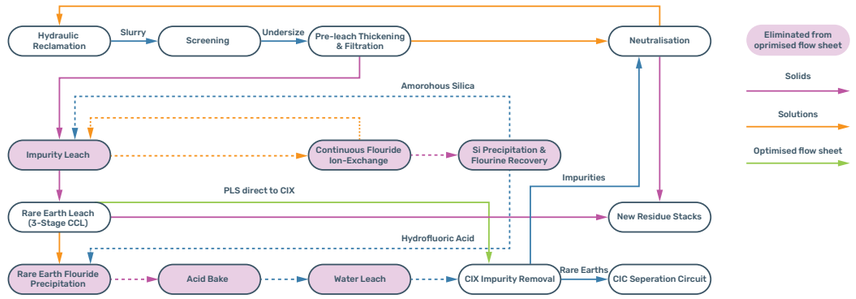
The extended test work has allowed for the identification and action of multiple optimisation opportunities. The end result of these efficiency measures is the delivery of a simplified leach flowsheet with a smaller footprint, with expected capital and operating cost benefits versus the PEA flowsheet, which already showed strong economic returns across the rare earth price cycle. This bodes well for the updated economics of the revised flowsheet to be published in the Interim Report before the end of 2024.

The final separation flowsheet represents +/–25% of the Phalaborwa flowsheet and refines the mixed rare earth feed stream into separated rare earth oxides. The separation CIX/CIC pilot plant has successfully achieved a separated Nd/Pr oxide of ca. 96% purity, which is confirmed by market participants as a saleable but discounted product.

As announced in September 2024, it was decided to accelerate the relocation of the CIX/CIC separation plant from Florida to Johannesburg to allow for the integration of the separation waste/recirculating streams to the appropriate destinations in the leach plant and relevant disposal of waste material.

It will also allow the Rainbow technical team to bring dedicated focus to finalise the separation and purification of target rare earths to the desired oxide purity of +99%. Once this work is completed, CIC work focused on the Dy/Tb streams will continue, as well as further progress SEG group. A Technical Update giving more detail on the flowsheet optimisation work carried out during the Year can be accessed at www.rainbowrareearths.com/project/phalaborwa/.

PEA Flowsheet Optimisation



Next steps
Rainbow is working with world-class consultants to deliver the Phalaborwa DFS including METC Engineering who are coordinating the DFS and developing the engineering work, the US-based global gypsum experts Ardaman and Associates, Inc., a Tetra Tech company, ("Ardaman"), who are carrying out the design work for the new stacks upon which the benign gypsum will be deposited and Paragon Tailings, who are designing the hydraulic reclamation of the stacks. Completion of the DFS is expected in 2025, but is dependant on the finalisation of the separation testwork underway.

Rainbow is carrying out an ESIA at Phalaborwa, which is required in order to receive the environmental permit for project, which is being managed by WSP, though its conclusion is dependent on the finalisation of the overall project flowsheet and design for the separated rare earths recovery process.

As part of the financing process, offtake discussions have commenced with industry participants, including OEMs and global trading companies, who share Rainbow's values and are looking to secure responsible sources of all four critical Magnet REE.

An important part of an independent and responsible rare earths supply chain
Phalaborwa is a unique project in that it offers a near-term and responsible source of the rare earth elements that are essential to the green energy transition. Furthermore, by extracting rare earths from secondary sources, Phalaborwa offers an improved cost profile in comparison to the global peer group.

These credentials have seen strong backing for the project by the Company's stakeholders, including the DFC, which has committed US$50 million to Phalaborwa's funding via strategic shareholder TechMet, and Ecora, which chose Rainbow as its first royalty investment in the rare earths space. These stakeholders carried out extensive due diligence on the project, further validating the quality of this opportunity.

UBERABA

BRAZIL

THE OPPORTUNITY TO REPLICATE PHALABORWA AT A POTENTIALLY LARGER SCALE

The Uberaba project in Brazil is the subject of an MOU between Rainbow and its owner Mosaic, the world's leading integrated producer of concentrated phosphate and potash.

The project is similar to Phalaborwa in that it will entail the processing of phosphogypsum that is the by-product of phosphoric acid production sourced from a hard rock carbonatite phosphate deposit.

While public data is not available on the size of the Uberaba resource, initial indications are that it could be significantly larger than Phalaborwa. In addition, Mosaic's phosphoric acid operations are ongoing and are based on long-life phosphate mines, meaning that new phosphogypsum (the "current arisings") is deposited on the stacks annually. Rainbow has commenced the planning work to define a resource at Uberaba based on existing data.

Under the terms of the MOU, Rainbow and Mosaic will look to jointly develop a process flowsheet to extract the rare earth elements from the Uberaba stack. Test work carried out to date has included assays taken from different areas of the Uberaba stack, which were sent to SGS Laboratories in Lakefield, Canada for testing. The assays found to have the highest grade were those taken from the current arisings. This material demonstrated a grade of between 4,520 to 7,912ppm TREO, with Nd/Pr being 24.7% of the rare earths basket. For context, these grades are ca. 80% higher for TREO and ca. 50% higher for Nd/Pr than those at Phalaborwa.

As at Phalaborwa, the Uberaba phosphogypsum is amenable to direct acid leaching, with test work caried out to date demonstrating that between 31% and 65% of the REE can be readily extracted. Mineralogical evaluation of the leach residue has revealed that 50% to 71% of the remaining rare earth oxides are contained in monazite, from which the REE are less readily extractable. Further test work focused on both hydrometallurgical and monazite concentration is being undertaken at Mosaic's laboratory in Brazil focused on options to increase overall REE recovery.

Following the production of the process flowsheet, Rainbow and Mosaic will collaborate on the production of a PEA of this opportunity to extract rare earths. The costs for this initial work programme and proposed PEA will be shared by both parties 50:50.

> "This agreement with Mosaic represents a major opportunity to become a multi-asset producer of rare earth elements from secondary sources."
>
> **GEORGE BENNETT**
> CHIEF EXECUTIVE OFFICER

BUSINESS MODEL

TECHNOLOGY DRIVEN GROWTH

Recovering REE from phosphogypsum opens up a global opportunity
Rainbow's technology can unlock a global opportunity for a low-cost and responsible supply of REE from phosphogypsum. The global phosphoric acid market is expected to grow from US$41.3bn in 2022 to US$87.1bn by 2040 driven by fertilisers, food and beverages, pharmaceuticals, animal nutrition and water treatment. As the phosphoric acid market grows, Rainbow will focus on partnering with both existing and emerging producers to recover REE as a by-product.

Phosphoric acid is produced from phosphate rock sourced from either sedimentary or hard rock sources. Rainbow's Phalaborwa project and the Uberaba project in Brazil are both associated with a hard rock carbonatite hosted phosphate source, which have higher grades of associated REE than sedimentary sources.

The innovative extraction technology developed at Phalaborwa is believed to be broadly applicable to recovering REE from these types of opportunities.

The majority of phosphoric acid production is associated with sedimentary phosphate ores, which typically have lower REE grades than hard rock sources. In August 2022, Rainbow entered into a master agreement with OCP, the Moroccan world-leading producer of phosphate products, and UM6P, a Moroccan university with a strong focus on science, technology and innovation, to further investigate and develop the optimal technique for the extraction of rare earth elements from sedimentary-sourced phosphogypsum.

This collaborative effort is at a much earlier stage of development than Phalaborwa but could represent a significant long-term source of REE.

In addition to Uberaba and OCP, Rainbow is currently evaluating approaches for strategic partnership opportunities in Saudi Arabia, Canada and India.

SUSTAINABILITY

DEVELOPING A RESPONSIBLE SUPPLY OF CRITICAL RARE EARTHS

Our approach to sustainability
By focusing on the production of critical rare earths from secondary sources, integrating environmental considerations into decision making, maintaining high governance and ethical standards and focusing on stakeholder value creation, Rainbow aims to be a forerunner in the establishment of an independent and ethical supply chain of the rare earth elements that are driving the green energy transition.

Rainbow has placed responsible production at the heart of its business model. As such, the Company is focused on laying strong foundations from which to embed sustainability in its project development as well as to manage, measure and report on its sustainability performance.

Rainbow's sustainability disclosure and reporting will continue to evolve as the DFS for Phalaborwa is finalised and the project moves into development and then on to production. This will include a comprehensive materiality assessment for Phalaborwa, the identification of the most appropriate sustainability KPIs with which to measure the Company's sustainability performance over time, and the setting of short to long-term ESG targets.

Rainbow's approach to sustainability is founded on the four pillars below:

SUSTAINABILITY CONTINUED

Our contribution to the global agenda
Rainbow recognises that by responsibly producing minerals critical to the green energy transition, it can contribute to the vision of the Sustainable Development Goals ("SDGs"), which provide a shared blueprint for peace and prosperity for people and the planet, now and into the future.

Rainbow has identified three SDGs with which our business is currently aligned; however, we will continue to evaluate our contribution to the SDGs over time and would expect that these goals may be revised as the business evolves and matures.

Chosen SDG	Description	Reason for Rainbow alignment
8 DECENT WORK AND ECONOMIC GROWTH	Promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work.	With its innovative approach to producing critical rare earths in an environmentally responsible manner from secondary sources, Rainbow aims to create economic value, with a focus on local supply chain support and job creation, thereby supporting growth and development.
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE	Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation.	Rainbow is developing proprietary technological expertise to efficiently process rare earths, which are an essential building block for permanent magnets used in critical sustainable infrastructure and environmentally sound technologies, such as wind turbines and EV motors.
12 RESPONSIBLE CONSUMPTION AND PRODUCTION	Ensure sustainable consumption and production patterns.	The Company aims to be part of a circular economy by producing rare earths from secondary sources, which could otherwise be considered waste, thereby rehabilitating historical environmental degradation and avoiding the carbon emissions and other environmental impacts associated with traditional rare earth mining.

Sustainability governance and management
Sustainability is an important agenda point at Rainbow's Board meetings and the Company has established a Board-level Sustainability Committee, which includes the CEO as a member.

The Sustainability Committee is responsible for overseeing on behalf of the Board, and making recommendations to the Board, on:

- the Group's initiatives, including policies, compliance systems, monitoring processes and strategies to manage sustainability-related business practices and performance;
- promoting the Group's long-term success and viability by seeking opportunities to strengthen the Group's licence to operate, recognising the role Rainbow has to play in taking a responsible approach to managing its environmental and social impacts as well as prioritising ethical business practices; and
- oversight of the implementation of the Group's sustainability strategy, helping to ensure that Rainbow is a responsible, resilient and sustainable business.

Rainbow's Sustainability Policy guides the Company's approach and sets out clear commitments to operating in a safe, ethical, sustainable and responsible way. This is approved by the Board and is available on our website at: www.rainbowrareearths.com/about/corporate-governance/company-policies/. The policy covers a range of topics such as governance and ethics, human rights, health and safety, employment, environmental impacts (including, but not limited to, those related to climate change, emissions, pollution, water stewardship, responsible waste management, biodiversity), communities and our supply chain.

It is fundamental to our business model that ESG considerations are integrated into all strategic decision making. Sustainability risks and opportunities are considered as part of the Company's overall risk management processes and frameworks.

Spotlight on the ESIA
Rainbow is currently finalising an ESIA for Phalaborwa conducted by WSP, a specialist agency with multi-decade experience in environmental consultancy. The first stage comprises a Scoping Report, to establish the important socio-economic and environmental issues that will form the basis of the ESIA. The Scoping Report is subject to a public participation process with local stakeholders so their views can be taken into consideration as part of the project development. An integrated public participation process has been formulated by WSP to comply with applicable legislation.

Following acceptance of the Scoping Report by the competent authority an assessment process begins to evaluate the project's environmental and social impacts, how to mitigate the negative impacts and how to enhance any positive impacts, prior to the formal application for environmental authorisation. An Environmental Management Programme ("EMPr") is being developed as part of the ESIA work to manage and monitor environmental and social matters.

As part of Rainbow's strategy to embed ESG within its operations, the following international standards in project development are being incorporated into the ESIA:

- The IFC Performance Standards, which focus on mobilising finance for companies in developing countries by addressing environmental and social management through the life of a project
- The relevant Equator Principles ("EPs"), which are intended to serve as a common baseline and risk management framework for financial institutions to identify, assess and manage environmental and social risks when financing projects

The incorporation of these standards into Phalaborwa's project development is a key part of the Company's ESG risk mitigation, managing operational risk and ensuring that the project will meet the ESG standards that are increasingly required by financial institutions and other stakeholders globally.

Rainbow has completed relevant base line assessments for the ESIA. Filing of the Scoping Report is dependent on the finalisation of the overall project flowsheet and design for the separated rare earths recovery process.

RESPONSIBLE BUSINESS

OPERATING IN A SAFE, ETHICAL, SUSTAINABLE AND RESPONSIBLE WAY

Related SDGs

Key achievements

- Investment commitments from both the DFC/TechMet and Ecora followed extensive due diligence into Rainbow's ESG approach and practices
- No concerns raised via the Group whistleblowing procedure
- Diversity briefing provided to the Nomination Committee and wider Board

Governance, ethics and values
Rainbow is committed to good governance, transparency, accountability, effective risk management and to conducting business in an ethical and responsible manner. This is guided by our policies, including the Group Code of Conduct and the Anti-Bribery Policy, which set out the key principles of ethical and responsible conduct and standards of behaviour to which all employees and stakeholders are expected to adhere.

These policies are available on our website at www.rainbowrareearths.com/about/corporate-governance/company-policies/. The policies are reviewed on an annual basis and approved by the Board. All personnel are required to receive guidance and training in relation to the Group's Policy and procedures.

Rainbow's Whistleblowing Procedure provides a dedicated reporting system whereby employees and others are able to raise serious concerns about possible fraud, crime or other serious risk to the Company or its stakeholders – read more on page 42. The procedure is also available at www.rainbowrareearths.com/about/corporate-governance/company-policies/ and is communicated to employees and stakeholders. No complaints were received via the whistleblowing procedure in FY 2024 (FY 2023: nil).

As our business continues to grow, we will focus on further maturing our procedures and developing our policies to ensure continued effective corporate governance.

Human rights
Rainbow is aware of its responsibility to respect and protect the internationally recognised human rights of our people, business partners and, where this is within our control, the human rights of those within our supply chain and communities.

We are committed to the prevention, mitigation and, where appropriate, remediation of any adverse human rights impacts with which the Company is involved. Our approach is guided by the UN Guiding Principles on Business and Human Rights and the UN Declaration of Human Rights and is contained within the Company's Code of Conduct as well as within our Supplier Code of Conduct.

In terms of Phalaborwa's unique profile, the project envisages a brownfields chemical processing operation on an existing industrial site. As such, it has no impact on local land use and no community resettlements are required.

Purpose and values
Rainbow's purpose is to produce the critical rare earths required to progress the global green technology revolution in an efficient and responsible manner. By integrating sustainable development considerations into corporate strategy and decision-making processes, we believe we can operate in a manner which creates long-term shared value and benefits for our stakeholders and reflects our core values of:

- Zero harm
- Integrity
- Respect
- Accountability
- Transparency
- Courage

Health and safety
Our primary objective is to achieve a zero-harm working environment and we are committed to supporting employee health.

We prioritise the safety of our workforce and will implement and maintain strong health and safety management systems at our operations.

Our approach to safety prioritises a commitment to identifying and taking appropriate action to avoid or mitigate workplace incidents, injuries and illnesses. We will also provide appropriate training on health and safety management to our workforce and promote a culture of responsibility for keeping ourselves and each other safe from harm.

No health and safety incidents have been recorded during Rainbow's test work programmes including the Phalaborwa pilot plant operations.

Fair employment
Rainbow is committed to responsible and fair employment practices, with due consideration to diversity, wherever we operate and looks to provide a working environment in which everyone is treated with respect and dignity.

We aim to provide training and skills development opportunities, contributing to an effective and engaged workforce.

Rainbow is an equal opportunity employer and does not tolerate discrimination against, or harassment of, any of our employees on any grounds (including race, ethnicity, national origin, age, religion, gender, sexuality) or retaliation. Any such instances of discrimination are treated as serious misconduct, in line with the Company's Code of Conduct.

CREATING VALUE

CONTRIBUTING TO A RESPONSIBLE SUPPLY CHAIN, PROMOTING SOCIO-ECONOMIC DEVELOPMENT AND PROVIDING LOCAL OPPORTUNITIES

Related SDGs

Key achievements

- Ongoing optimisation of flowsheet to enable a long-term sustainable business
- Phalaborwa ESIA work progressing
- Stakeholder Engagement Plan and Grievance Mechanism prepared

We aim to positively contribute to the communities in which we operate through the provision of local employment opportunities, the support of local supply chains, community support and the transparent payment of taxes and royalties – read more in our Payments to Governments Report on page 33.

Phalaborwa will create numerous employment opportunities over its life, with priority being given to the local workforce. The Company will also work closely with local contractors and suppliers to build long-term supply chain solutions from the local area, contributing to socio-economic development.

We are aware that effective stakeholder engagement will be fundamental to the long-term success of Phalaborwa and are focused on building mutual trust and respect with our local communities and integrating stakeholder considerations into project development decisions to create long-term value for all our stakeholders, as well as allowing Phalaborwa to operate and grow in a stable social environment.

Stakeholder engagement forms an integral part of the ESIA process and Rainbow is expecting to commence stakeholder consultations at Phalaborwa in FY 2025.

An integrated public participation process has been formulated by WSP to comply with applicable legislation. As part of this, a Stakeholder Engagement Plan ("SEP") has been developed under South African legislation and in accordance with the IFC Performance Standards and the Equator Principles.

The SEP is a "living document" that will change over time as the project progresses and associated aspects emerge. A stakeholder database will be developed and all engagements and issues raised during engagements will be recorded for follow-up and management purposes over the project's life.

A dedicated Grievance Mechanism for use by local stakeholders has also been formulated by WSP in accordance with IFC Performance Standards. This sets out how grievances can be submitted, recorded, managed and addressed by the Company. The Grievance Mechanism will go live once the public participation process for the ESIA commences.

Responsible supply chain
Rainbow is committed to developing a responsible rare earths supply chain, both upstream and downstream of Rainbow's activities. The Company's Supplier Code of Conduct sets out the expectation that all companies within our supply chains should apply the same high standards of behaviour and business practices that we expect at Rainbow.

Our Supplier Code of Conduct is available on our website at www.rainbowrareearths.com/about/corporate-governance/company-policies/ and includes some of the following key expectations of our suppliers:

- the provision of safe working conditions and responsible employment practices, including a minimum requirement to pay statutory wages and to follow applicable working time legislation;
- taking adequate measures for the prevention, mitigation and, where appropriate, remediation of any adverse human rights; and
- environmentally responsible operating practices.

When working with suppliers for the first time, Rainbow's process is to supply them with the Code and ask them to confirm that they have read, understood and will comply with the commitments. We expect suppliers to implement or develop appropriate internal processes and/or corrective actions to achieve compliance with the Supplier Code of Conduct.

In the event of failure to uphold commitments and in the case of a serious breach of practices, Rainbow may end a contractual relationship.

As our business grows, responsible supply chain management will continue to be an area of significant focus and we will develop our policy and approach accordingly.

FOCUS ON SECONDARY SOURCES

APPLY OUR UNIQUE PROCESSING TECHNOLOGY TO HISTORICAL WASTE IN THE FORM OF PHOSPHOGYPSUM STACKS

Related SDGs

Key achievements

- Pilot programme confirmed Rainbow's unique and efficient process to recover rare earths from phosphogypsum
- Life Cycle Analysis training for the Board

By focusing on the production of rare earths from secondary sources, Rainbow aims to integrate a circular economy approach into business decisions, where possible, and avoid carbon emissions usually associated with many elements of a traditional mining business model, which are not required when processing secondary source material as opposed to mining primary ore.

Using our unique processing technology, our intention at Phalaborwa is to process material from historical waste (the phosphogypsum stacks) in an efficient and responsible way, operating on a brownfield site and thereby not impacting local land use. In so doing, the Company has the opportunity to rehabilitate the environmental degradation brought about by historical operations on site. Rainbow will work closely with previous owners of the property to accelerate the rehabilitation of unused areas in accordance with the closure plans and funding already in place.

An important element of Rainbow's opportunity to rehabilitate the site will be neutralising the acidic water currently on top of the gypsum stacks for use in a closed circuit in the processing plant. This will negate the need to draw on local water sources from a water-stressed region for its processing operations.

One of the key reagents used for the Phalaborwa process is sulphuric acid and this can be supplied by the neighbouring Palabora Mining Company operation, from its acid waste stream, thereby making use of another "waste" product.

Furthermore, the by-product of Rainbow's process will be benign gypsum material that will be disposed of onto new stacks that are being designed by gypsum specialists Ardaman in accordance with IFC Performance Standards and Equator Principles. This clean gypsum is in demand from the industrial and agricultural sectors in South Africa and Rainbow has an offtake agreement with NEXUS, under which NEXUS will acquire gypsum from the Phalaborwa project for sale to end users.

Rainbow expects Phalaborwa to use a lower amount of energy and reagents (due to the material already having been "cracked") when compared to traditional hard rock mining deposits. In order to better understand Phalaborwa's environmental impact, Rainbow will conduct a life cycle analysis ("LCA"), which is a measurement of the carbon emissions of a product or service over its life cycle, once the processing flow sheet is finalised.

The LCA will quantify and analyse the GHG emissions associated with the entire life cycle of rare earth elements production, including mining, processing, manufacturing, product use, and disposal. This will assist us in identifying opportunities for reduction to minimise the Company's carbon footprint by optimising energy use, improving efficiency and exploring alternative materials and processes.

During FY 2024, a training session was provided to the Board of Rainbow to provide further information about the nature of an LCA, how it differs to a carbon footprint assessment, and the strategic benefits it can provide in terms of business development.

Other portfolio opportunities

Leveraging our proprietary technology, we continue to explore opportunities to deliver separated rare earth oxides from secondary phosphogypsum sources around the world.

Rainbow has been approached for a number of global opportunities and has signed an MOU with Mosaic to jointly develop a process flowsheet to extract rare earth elements from the Uberaba stack in Brazil - read more on page 18.

ENVIRONMENTAL INTEGRATION

INTEGRATING ENVIRONMENTAL CONSIDERATIONS INTO STRATEGIC DECISION-MAKING

Related SDGs

Key achievements

- Carbon accounting workstreams underway including the calculation of office-based Scope 1 & 2 emissions
- Actively pursuing a low carbon energy source for Phalaborwa
- Successful piloting programme identified multiple optimisation opportunities

We are committed to integrating environmental considerations into strategic decision-making at the highest level of the business (i.e. Board and Sustainability Committee level) in order to create a responsible and sustainable supply of critical rare earths. We aim to achieve continuous improvement in environmental practices and performance and to minimise, or where possible avoid, negative impacts from our operations on the natural environment, including those relating to climate change, water usage, waste management and biodiversity.

The Phalaborwa project in South Africa offers a strategic and traceable source of all four of the rare earths used in high performance permanent magnets. The project is unique in that it will incorporate environmental remediation work that will address legacy issues on a site near to an important nature reserve, the Kruger National Park, with the resultant clean-up offering benefits to both the local communities and biodiversity.

By neutralising the acid water that has accumulated on top of the phosphogypsum stacks and by depositing the process' by-product onto new lined stacks, Rainbow expects to:

- improve the ground water quality
- have a positive impact on local biodiversity due to better water quality; and
- have a positive impact on local community health due to improved water quality.

Monitoring programmes and KPIs will be put in place once the project is operational and progress can be tracked versus the baseline.

The ESIA at Phalaborwa is being conducted by consultants WSP in accordance with IFC Performance Standards and this work will inform the implementation of a robust environmental management system for the project.

As Phalaborwa progresses to development, our aim will be to implement sound environmental management practices around resource use, energy, water and waste management, air quality and carbon emissions and biodiversity. Given the site's brownfield nature, we will look to maximise our potential for positive impacts through rehabilitation and remediation, including the selected reuse of existing infrastructure.

Phalaborwa is founded on the principles of circularity via the extraction of value from "waste" products. As part of this, the intention to sell the benign gypsum by-product produced at the project is expected to see the phosphogypsum stacks at Phalaborwa eventually fully depleted, which would allow for a complete environmental rehabilitation of the site.

The primary pilot plant programme identified multiple optimisation opportunities that are expected to positively impact operating costs and the carbon emissions associated with our processing operations – read more on pages 16 to 17.

Climate change and carbon emissions

Rainbow acknowledges the global threat of climate change and its importance and relevance to all its stakeholders. Managing the impacts of our business is central to our commitment to protecting our environment.

Rainbow has multiple workstreams underway to ensure that it can properly and strategically address climate change mitigation. Firstly, the Company is looking to fully assess and understand Phalaborwa's carbon footprint, both via carbon emissions calculations and via a LCA. Secondly, Rainbow will be evaluating the impacts of climate change on its operations via scenario analysis work and physical risk assessments.

The work to evaluate Phalaborwa's impacts has been dependent on the finalisation of the pilot plant programme and the flowsheet to recover rare earths from Phalaborwa phosphogypsum. The Interim Report that will be published before the end of 2024 will set out updated operating and economic parameters for the project reflecting the optimisations delivered from the pilot test work campaigns, footprinted against the PEA published in October 2022, and will therefore be used to update the preliminary carbon emissions calculations. It will also allow for the progression of the LCA.

Rainbow recognises the benefits that securing a source of low carbon energy would bring to the project and its stakeholders and is therefore evaluating renewable energy power options. It is envisaged that renewable energy will provide the bulk of the project's power requirements, thereby further reinforcing its green credentials.

Newly appointed project manager, Tamsyn de Jager has been assigned managerial responsibility for the evaluation of low carbon power for Phalaborwa, in line with the recommendations of the Task Force on Climate-related Financial Disclosures ("TCFD").

The Company will continue to implement and report on the recommendations of the TCFD, which will be integrated into both the Group and project development – read more on pages 26 to 31.

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD FRAMEWORK

The TCFD was created by the Financial Stability Board in 2015 to develop guidance for consistent climate-related financial risk disclosures for use by companies, banks, and investors in providing information to stakeholders. One of the Financial Stability Board's key aims was to enable stakeholders to better understand the "concentrations of carbon-related assets in the financial sector and the financial system's exposure to climate-related risks"[1].

Ultimately, increasing the amount of reliable information on exposure to climate-related risks and opportunities will strengthen the stability of the global financial system, contribute to a greater understanding of climate risks, and facilitate financing the transition to a more stable and sustainable economy.

Accordingly, the TCFD developed a set of recommendations in 2017 to assist companies in identifying and disclosing the financial impacts of climate change risks and opportunities on their business in their mainstream reports, including their annual reports and financial filings. The latest TCFD guidance on implementing the recommendations was published in 2021, which includes supplemental guidance for insurance companies and asset owners.

The TCFD recommendations are categorised according to four thematic areas that represent core elements of how organisations operate: Governance, Strategy, Risk Management and Metrics and Targets. These elements are outlined in Figure 1 below.

Governance	Strategy	Risk management	Metrics and targets
Disclose the Group's governance around climate-related risks and opportunities.	Disclose the actual and potential impacts of climate-related risks and opportunities on the Group's businesses, startegy and financial planning where such information is material.	Disclose how the Group identifies, assesses and manages cliate-related risks.	Disclose the metric and targets used to assess and manage relevant climate-related risks and opportunities where such information is material.

Figure 1: TCFD framework.

1 FSB Proposal for a Disclosure Task Force on Climate-Related Risks, 2015.

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD REPORT

Rainbow is focused on achieving responsible, near-term and efficient rare earths production from secondary sources. With demand for the rare earths required in permanent magnets largely driven by global decarbonisation efforts, Rainbow's business model itself is linked to climate-related opportunities. As such, we acknowledge the importance of integrating climate-related risks and opportunities into our strategy and are intent on putting the right foundations in place from the outset from which to build our approach to sustainability.

Developing climate change-related strategies and commitments, backed up by increased disclosure and reporting, is a key element of this approach. These workstreams will continue to evolve as we finalise our project assessment phase before moving into the development phase and on to production.

Rainbow intends to publish a standalone disclosure report in line with the recommendations of the Taskforce on Climate-related Financial Disclosures ("TCFD") in due course. As was the case in FY 2023, Rainbow has prepared the following disclosures for FY 2024 according to the TCFD key themes and recommendations.

The disclosure has been prepared and Rainbow's compliance assessed in conjunction with independent consultants.

GOVERNANCE

Recommendation	Response	Compliance
a. Describe the board's oversight of climate-related risks and opportunities	Rainbow's Board comprises the Chairman, one Executive Director, four independent Non-Executive Directors and one Non-Executive Director. The Board is responsible for regularly assessing and reviewing key business risks in the Company's operations and met nine times in the last financial year. The Company's Sustainability Policy states Rainbow's commitment to sound environmental management and minimising the impacts of our operations on the environment, including those relating to climate change, water usage, waste management and biodiversity. The policy is available at www.rainbowrareearths.com/about/corporate-governance/company-policies/. The Board has established a Sustainability Committee which has formally delegated oversight of the Company's management of sustainability-related risks and opportunities (read more on page 42). Upon the renaming of the Sustainability Committee (previously known as the Safety, Health and Environment Committee), new Terms of Reference were established which gave the committee responsibility for Group oversight of its environmental impacts, including climate related risks and opportunities.	Partially compliant
b. Describe management's role in assessing and managing climate-related risks and opportunities	The Board delegates sustainability-related responsibilities to management. Accordingly, the Directors and management regularly assess and discuss the principal risks facing the Company. In addition, senior management regularly discuss material developments (normally weekly) and consider the financial and reporting implications of any matters arising. Risk management, including climate-related risks, are formally overseen by the Board and Audit Committee, in liaison with the Sustainability Committee. Rainbow is currently working with independent environmental consultancy Promethium Carbon ("Promethium") to develop its climate-related strategy and action plan, including its approach to disclosure and reporting.	Partially compliant

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD REPORT CONTINUED

STRATEGY

Recommendation	Response	Compliance
a. Describe the climate-related risks and opportunities the organisation has identified over the short, medium, and long term.	Rainbow's strategy is to develop a responsible supply of rare earth minerals to meet the escalating demand for these critical minerals needed for global decarbonisation. Phalaborwa is still in the preliminary stages of development; however, in order to build strong foundations at the earliest stage, the following key workstreams have been initiated to assess and help inform a robust view of the physical and transitional climate-related risks and opportunities that may impact our operations and the environment. • Rainbow is currently finalising an Interim Report to update the economics of the Phalaborwa project versus the PEA which was published in October 2022, further to the pilot plant programme and the optimisation work that was identified. The Interim Report data will be used to estimate Phalaborwa's Greenhouse Gas ("GHG") emitting activities once in production. • Rainbow is planning, alongside external consultants Promethium, to develop an LCA for Phalaborwa to assess the GHG emissions associated with producing and using rare earth metals. This will enable Rainbow to identify emission hotspots and opportunities for reduction, supporting the development of the Group's decarbonisation strategy. • Rainbow has embarked on developing scenario analyses to evaluate future climate change-related risks and opportunities for the business over the short, medium and long term.	Partially compliant
b. Describe the impact of climate-related risks and opportunities on the organisation's businesses, strategy, and financial planning.	Climate-related opportunities are some of the material drivers behind Rainbow's business model and growth strategy. Rainbow expects to contribute to the green energy transition via the responsible production of rare earths, with a specific focus on Nd, Pr, Dy and Tb. These Magnet REE are fundamental in the production of permanent magnets used in wind turbines and EVs, with their demand projected to escalate further to the green energy transition (read more on pages 10 to 13). The financial impacts of the climate risks and opportunities facing the business will be further explored and articulated following results from the LCA and scenario analysis testing (as described above). These measures will inform Rainbow's business, strategy, and financial planning in relation to climate-related risks and opportunities. Rainbow is committed to integrating environmental considerations into strategic decision-making and sound environmental management, with a focus on environmental protection and the responsible use of natural resources. This includes a focus on energy efficiency and the investigation of the commercial viability of using renewable energy sources (read more on page 25).	Partially compliant

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD REPORT CONTINUED

STRATEGY CONTINUED

Recommendation	Response	Compliance
c. Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	Rainbow's focus on processing separated rare earth oxides from historical waste phosphogypsum contributes to the underlying strength and resilience of our business model, as many of the costly, energy-intensive steps, associated with traditional rare earth mining projects are removed. Furthermore, Rainbow has the opportunity to reduce its negative environmental impact by utilising reclaimed acid water from the phosphogypsum stacks in a closed circuit. Leveraging our proprietary technology, we continue to explore opportunities to deliver separated rare earth oxides from secondary phosphogypsum sources around the world, which have the potential to be brought into production quicker and at a lower cost than traditional hard rock mining projects. Rainbow is exploring a second opportunity to recover magnet REE from phosphogypsum via an MOU with Mosaic with regards to the Uberaba stack in Brazil - read more on page 18. In addition, Rainbow intends to use climate change scenario analyses to fully investigate the resilience of the Group's strategy to climate change risks and opportunities. The outcomes of these assessments will be published once available. The setting of a baseline carbon footprint in the future will assist the Company in managing the performance of meeting emission reduction targets and other related sustainability metrics.	Partially compliant

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD REPORT CONTINUED

RISK MANAGEMENT

Recommendation	Response	Compliance
a. Describe the organisation's processes for identifying and assessing climate-related risks; **b. Describe the organisation's processes for managing climate-related risks, and** **c. Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organisation's overall risk management.**	Rainbow will use the updated operating parameters from the proposed Interim Report to estimate and assess expected emissions from planned operations at Phalaborwa, as a first-pass carbon footprint assessment. Alongside the LCA and proposed scenario analysis workstreams, the first-pass carbon footprint will be critical in identifying and assessing climate-related risks and identifying carbon reduction opportunities. The emissions calculations will assist Rainbow in informing, understanding, and optimising project development and subsequent operations. The relatively small size of Rainbow's management and finance team allows the team to retain tight control over the identification and management of risks, and related financial impacts, currently facing the business. The Board therefore does not currently consider it appropriate to have a separate internal audit function. Accordingly, the Board and the Audit Committee are responsible for ensuring that the risks inherent to operating the Company, across numerous jurisdictions, are identified, assessed, and managed. Rainbow's Sustainability Committee is also responsible for liaising with the Audit Committee, as appropriate, on matters relevant to the Company's management of sustainability-related risks and opportunities. In addition to formal Audit Committee meetings, the Chief Financial Officer has regular interaction with the Chairman of the Audit Committee to discuss control and reporting matters in more detail. The Audit Committee and Chief Financial Officer are supported by senior management, who regularly discuss material developments (normally weekly) and consider financial and reporting implications of any matters arising. Environmental risks are disclosed on page 46. As the Company matures, Rainbow will formalise the processes for identifying, assessing, and managing climate-specific risks, which will be integrated into the organisation's overall risk management. Using the outcomes of the ESIA, which is currently being undertaken for Phalaborwa, Rainbow will introduce a robust environmental and social management system to the project.	Partially compliant

ENVIRONMENTAL INTEGRATION CONTINUED

TCFD REPORT CONTINUED

METRICS AND TARGETS

Recommendation	Response	Compliance
a. Disclose the metrics used by the organisation to assess climate-related risks and opportunities in line with its strategy and risk management process.	The first-pass carbon footprint will assist in selecting appropriate metrics for monitoring our operation's emissions. Importantly, the first-pass carbon footprint will be critical in identifying carbon reduction opportunities and will assist Rainbow in informing and optimising project development and subsequent operations. As was the case in FY 2023, we have again calculated Scope 1 and 2 emissions for office-related activities, setting the Company on the right path for future disclosure of more material operations emissions going forward.	Partially compliant
b. Disclose Scope 1, Scope 2 and, if appropriate, Scope 3 GHG emissions and the related risks.	Rainbow's carbon footprint for our head office emissions is shown below. This represents Rainbow's actual emissions[1] and first phase of annual carbon disclosure. **Emissions[1] from office-related activity** **Scope** — **Emissions in tCO_2e** Scope 1 – Direct emission sources: 3.47 Scope 2 – Energy Indirect emissions: 6.93 Scopes 1 & 2: 10.40 The office activity-related carbon footprint does not serve as a baseline for benchmarking against operation-related emissions in future, as the Company's material carbon emissions will be associated with its processing activities when production commences. Rainbow will establish a baseline emissions profile once the operations are in progress.	Partially compliant
c. Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets.	As the Company matures, Rainbow plans to set targets to manage climate-related risks and opportunities. These targets will be informed by the culmination of ongoing climate-related scenario analyses and the setting of a baseline carbon footprint once the business is fully operating.	Partially compliant

1 Emissions were calculated by multiplying the activity data by the appropriate emission factor to get the tonnes (t) of carbon dioxide (CO_2) equivalent (e).
The activity emissions are reported in line with the GHG Protocol Corporate Standard (GHG Protocol).

FINANCIAL REVIEW

RAINBOW'S STRATEGIC FOCUS IS TO IDENTIFY AND DEVELOP SECONDARY RARE EARTH DEPOSITS

Rainbow's strategic focus is to identify and develop secondary rare earth deposits that can be brought into production quicker and at a lower cost than traditional hard rock mining projects. As a developer, Rainbow capitalises the costs of exploration and evaluation for each identifiable project once the legal right to the project has been secured. The Board and management focus on maintaining a tight control of costs, including corporate overheads, ensuring that most of the funds raised will go directly towards building value across our portfolio. In this respect during FY 2024 the Group invested US$10.6 million to progress the Phalaborwa project in South Africa with an additional cash outflow of US$2.6 million for general and administrative costs, including costs relating to the Gakara asset in Burundi.

Profit and loss account

The US$4.3 million loss for FY 2024 (FY 2023 US$12.9 million) includes a further US$0.7 million (FY 2023 US$9.6 million) impairment of the assets in the Gakara cash generating unit relating to the previously recognised inventory of available for sale mineral concentrate. Despite meaningful negotiations with the Government of Burundi in FY 2024 no progress has been made to resolve the ongoing suspension. Accordingly, the Directors can no longer reasonably assume that the operations at the project will be able to restart and, with the exception of cash and VAT recoverable, all assets associated with the Gakara cash generating unit have now been written down to nil.

Within administration expenses, the costs associated with maintaining the Gakara project on care and maintenance totalled US$0.4 million (FY 2023: US$0.9 million including US$0.3 million of non-cash depreciation). The Group continues to focus on minimising costs associated with the asset whilst considering all options to try to realise the value associated with the REE mineral opportunity.

The Group's other corporate costs totalled US$3.1 million (FY 2023: US$2.6 million). This increase was driven primarily by inflation including an increase in staff costs. To reduce cash outflows, management short term incentives totalling US$0.3 million were settled in shares in September 2024.

Net finance income was reduced to US$22k (FY 2023: income of US$200k). In FY 2024 foreign exchange differences off-set US$ 0.1 million interest (FY 2023: US$0.1 million) associated with the FinBank loan in Burundi.

Balance Sheet

The Group balance sheet is dominated by the cumulative US$15.7 million relating to the Phalaborwa asset which have been capitalised as an intangible asset in accordance with IFRS 6, of which US$10.9 million was incurred in the FY 2024. At the balance sheet date, the Group has no tangible fixed assets and no obligations for environmental closure at the Phalaborwa site.

The Group has a US$282k loan with FinBank in Burundi, denominated in Burundi Francs, which is due to be repaid on a reducing balance basis by April 2027. There are no other significant borrowings or long-term cash settled liabilities. With the exception of indirect taxes and contributions payable under the Gakara mining convention, which are not being settled during the ongoing suspension of the Gakara operations, the Group continues to pay all trading liabilities as they fall due.

Going Concern

At 30 June 2024 the Group had total cash of US$0.1 million prior to the announcement, on 1 July 2024, of a US$10 million financing with Ecora comprising US$1.5 million of equity and US$8.5 million proceeds for a 0.85% gross revenue royalty over future sales from the Phalaborwa project. Following receipt of these funds, after associated costs, the Group has available cash resources of US$9.7 million.

Based on a review of cash flow forecasts for the period to 31 December 2025, additional funding estimated at US$1.5 million will need to be raised before 31 December 2025, the timing of which is dependent primarily on the speed at which the Phalaborwa DFS is completed, which is within management's control. In addition, further funds may be required to progress the Uberaba opportunity in Brazil or other new business opportunities. Whilst this funding requirement does represent a material uncertainty which may cast significant doubt on the ability of the Company to continue as a going concern, the Board is confident that this funding will be secured based on its history of successful fundraising.

FINANCIAL REVIEW CONTINUED

Payments to Government

Rainbow is committed to full payment of its tax and fiscal obligations wherever it operates, as this supports the Group's social licence to operate, and ensures a fair contribution to local economies.

The table below sets out the key payments to governments for the Year arising as a result of Rainbow's activity, including direct taxes (such as royalties, land taxes and corporation tax) and indirect taxes (such as payroll taxes and VAT).

Payments disclosed in this Report are shown in US Dollars. Actual payments have been made in South African Rands and Burundian Francs.

	FY 2024			FY 2023		
US$'000	**South Africa**	**Burundi**	**Total**	South Africa	Burundi	Total
Royalties	-	-	-	-	-	-
Permit and land taxes	-	-	-	-	-	-
Corporation tax	-	-	-	-	-	-
Duties & other	-	-	-	-	-	-
Total tax borne	-	-	-	-	-	-
Payroll tax	**189**	**15**	**204**	139	20	159
Net VAT	**(34)**	**3**	**(31)**	133	3	136
Total net payments to government	**155**	**18**	**173**	272	23	295

Royalty payments relate to the Government of Burundi royalty of 4% charged on the value of exports of rare earths mineral concentrate. No royalties were paid during FY 2024 as operations in Burundi, including all exports, are suspended by the Government of Burundi.

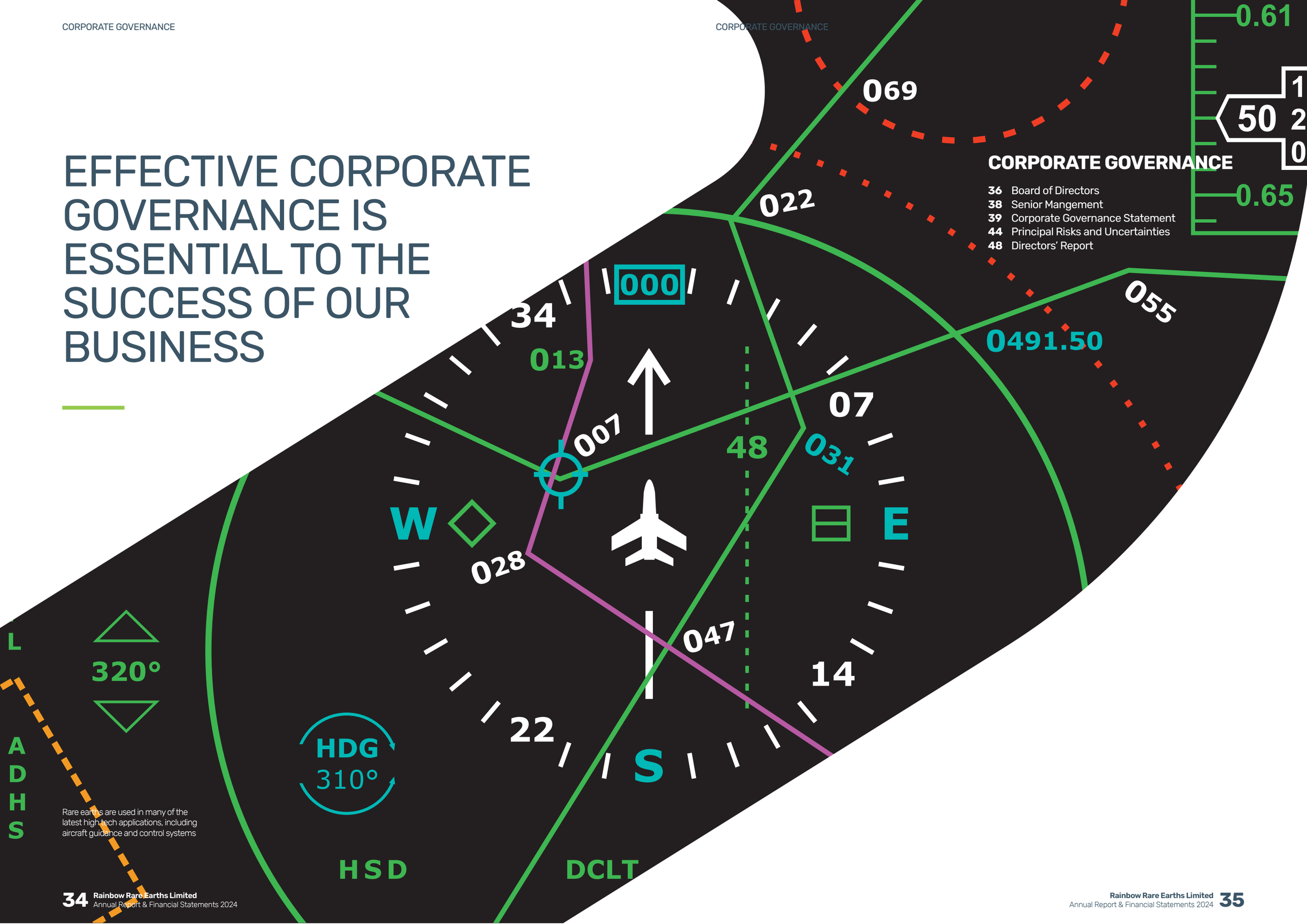
Permits and land taxes include annual taxes payable to the Government of Burundi under the terms of the Mining Convention for the Mining Permit at Gakara. No payments were made during FY 2024 as the Burundi operations are suspended, with the annual cost accrued in the Financial Statements.

Corporation Tax is payable in Burundi based on a minimum 1% of turnover whilst the local operating entity remains loss making. No turnover was reported in FY 2024 as operations in Burundi, including all exports, are suspended by the Government.

Payroll taxes and VAT (net of recovered amounts) are included as they represent funds paid by the Group to the government either directly or via suppliers.

CORPORATE GOVERNANCE

EFFECTIVE CORPORATE GOVERNANCE IS ESSENTIAL TO THE SUCCESS OF OUR BUSINESS



CORPORATE GOVERNANCE

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Rare earths are used in many of the latest high tech applications, including aircraft guidance and control systems

BOARD OF DIRECTORS

ADONIS POUROULIS
NON-EXECUTIVE CHAIRMAN

Appointment date:
August 2011

Committees:
Nomination (Chair), Remuneration

Adonis is an entrepreneur whose expertise lies in the discovery, exploration and development of natural resources across Africa, as well as more recently becoming an active investor and developer of clean technologies and sustainable energy projects. Having worked in the African natural resources sector for over 30 years, he has extensive experience and a wide network of industry relationships across the continent. Adonis is the founder of Rainbow, which he listed in 2017. He is also founder and CEO of Chariot (AIM: CHAR), founder and advisor to Energy Revolution Ventures and Chairman of Prosemino, a clean energy incubation platform, founder and Chairman of the Pella Resources Group, and was the founder and Chairman of Petra Diamonds (LSE: PDL).

Qualifications:
BA (Hons) in Science and Mining Engineer – University of Witwatersrand

Interest in the Company
As at 30 June 2024:
89,466,830 shares / 14.2%
1,902,000 share options

GEORGE BENNETT
CHIEF EXECUTIVE OFFICER

Appointment date:
August 2019

Committees:
Sustainability

With over 30 years' experience in mining, finance and senior management, George has led a number of mining and energy companies, including Shanta Gold Ltd (which he successfully listed on the London Stock Exchange in 2005) and Orecorp Ltd (which he seed funded, raised the initial capital as a non-executive director and listed on the Australian Stock Exchange).

In 2006, George established MDM Engineering Ltd, a mining engineering company building mineral process plants and mining infrastructure throughout Africa, which he successfully listed on the London Stock Exchange in 2008. In 2014, George was instrumental in selling the business to Foster Wheeler Limited.

In addition, George has been a partner and director with a number of leading financial, stockbroking and corporate advisory businesses including Fergusson Bros, Simpson McKie, and HSBC Securities Africa (pty) Ltd.

Qualifications:
Member of the Johannesburg Stock Exchange

Interest in the Company
As at 30 June 2024:
38,805,298 shares / 6.2%
2,500,000 share options

ALEXANDER LOWRIE
INDEPENDENT
NON-EXECUTIVE DIRECTOR

Appointment date:
November 2016

Committees:
Remuneration (Chair), Audit, Sustainability

Alex is an experienced director, advisor, board observer and investor with around 25 years' experience, initially in financial markets and subsequently with a specific focus on the critical metals mining, battery recycling and technology sectors. Concentrating on battery, hydrogen and EV critical materials, Alex advises companies from seed stage through to wider capital markets exposure and is a non-executive director to a number of these entities. He is also the co-founder of Telemark Capital LLP, a capital advisory and asset management partnership, which also provides governance services as an independent investment committee member.

Prior to this Alex worked for 14 years in investment banking. He was a director at Deutsche Bank and then RBS, having started his banking career originally with ABN AMRO. Through these positions, he gained extensive experience in primary and secondary equity offerings, bringing companies to market through IPOs (including structuring, marketing and distribution).

Qualifications:
BA (Hons) in combined social sciences – Durham University; currently carrying out Executive Masters of Business Administration ("MBA") – Henley Business School

Interest in the Company
As at 30 June 2024:
6,838,124 shares / 1.1%
1,250,000 share options

SHAWN MCCORMICK
INDEPENDENT
NON-EXECUTIVE DIRECTOR

Appointment date:
February 2016

Committees:
Sustainability (Chair), Audit, Remuneration

Shawn is an international affairs specialist with more than 30 years' political and extractive industries sector experience having served in The White House as Director for African Affairs on the National Security Council (Washington), Africa Regional Director and Senior Global Affairs Advisor at BP (London) and Corporate Vice President for International Affairs at TNK-BP (Moscow). He is currently Chairman of Trinity Metals Group, a Non-Executive Director of Karo Mining Holdings and the Managing Director of a London-based strategic consulting firm focused on the natural resources sector in Africa and beyond.

Qualifications:
BA (Hons) – University of Southern California; advanced coursework at Insead

Interest in the Company
As at 30 June 2024:
9,316,571 shares / 1.5%
1,850,000 share options

BOARD OF DIRECTORS CONTINUED

ATUL BALI
INDEPENDENT
NON-EXECUTIVE DIRECTOR

Appointment date:
March 2017

Committees:
Audit (Chair), Nomination

Atul is a corporate CEO and board member with extensive experience in tech, government contracting and regulated industries operating on all six continents. Over more than 25 years, he has led in excess of 50 M&A and JV transactions in over 25 countries and both managed and served on the boards of several highly regulated businesses. Currently he advises a number of high-growth technology companies, is Chairman of the Football Pools, IWG Ltd, Fincore Ltd, is the Lead Independent Director of Everi holdings, Inc (NYSE: EVRI) and is a board member and Finance Committee Chair of The Bush School Seattle. He has previously held divisional CEO or President positions with International Game Technology PLC (NYSE: IGT), Aristocrat Leisure Limited (ASX: ALL), and RealNetworks, Inc (NASDAQ: RNWK), a venture capital firm, as well as Deputy Chair of Gaming Realms PLC (LSE: GMR).

Qualifications:
BA (Joint Hons) in Law & Economics, University of Keele
Chartered accountant – KPMG, UK

Interest in the Company
As at 30 June 2024:
4,420,992 shares / 0.7%
1,250,000 share options

J. PETER PHAM
INDEPENDENT
NON-EXECUTIVE DIRECTOR

Appointment date:
May 2021

Committees:
Nomination

J. Peter Pham is a scholar and practitioner of international affairs with more than 20 years' experience in Africa. Most recently, he served until January 2021 as first-ever United States Special Envoy for the Sahel Region with the personal rank of Ambassador. He had previously served as the US Special Envoy for the Great Lakes Region of Africa from 2018-2020.

Ambassador Pham is currently a Distinguished Fellow at the Atlantic Council, a preeminent American foreign policy think tank, where he was Vice President for Research and Regional Initiatives and Director of the Council's Africa Center before his service in government. He is the author of several books and more than 300 articles, essays and reviews on African politics, security, and economic issues. He is also an emeritus member of the board of the Smithsonian National Museum of African Art in Washington, DC, serving between 2016-2021 as Vice Chair, the Non-Executive Chairman of High Power Exploration (HPX) and a Non-Executive Director of Africell Global Holdings.

Qualifications:
BA (Hons) in Economics - University of Chicago;
MA (Hons), LLM (Hons), PhD (Hons) - Gregorian University

Interest in the Company
As at 30 June 2024:
631,500 shares / 0.1%
750,000 share options

DARRYLL CASTLE
NON-EXECUTIVE DIRECTOR

Appointment date:
June 2023

Committees:
N/A

Darryll is Director of Operations for TechMet, a strategic shareholder with the right to nominate one Director to the Rainbow Board for so long as it holds at least 10% of the issued shares in the Company. Previously CEO of a number of mining and production companies including CEO of Trafigura Mining, CEO of PPC Cement, CEO of Anvil Mining (listed in Toronto and Australia), as well as multiple board memberships of listed and private companies, and previously Chief Operations Officer at Metorex Group Limited.

First hand operations and projects experience globally including in Cuba, Spain, Peru, and particularly on the African continent, having run projects and companies in the DRC, Zambia, Angola, Zimbabwe, Ethiopia, Rwanda and Tanzania.

Qualifications:
BSc in Civil Engineering – University of KwaZulu-Natal;
Bachelor of Commerce – University of South Africa;
MBA – University of Cape Town;
past Chartered Financial Analyst (CFA) Charterholder

Interest in the Company
As at 30 June 2024:
821,422 shares / 0.1%

SENIOR MANAGEMENT

PETE GARDNER
CHIEF FINANCIAL OFFICER

Appointment date:
May 2020

Pete is a qualified chartered accountant with a breadth of experience in financial management and corporate finance in the natural resources sector. He was the Finance Director of Amara Mining Plc from October 2009 managing the corporate and financial development of the company culminating in its acquisition by Perseus Mining, and former Chief Finance Officer for Piran Resources, Chaarat Gold Holdings and Alexander Mining Plc.

Qualifications:
BSc (Hons) in Physics - University of Birmingham
Chartered Accountant – ICAEW

Interest in the Company
As at 30 June 2024:
618,522 shares / 0.1%
2,400,000 share options

DAVE DODD
TECHNICAL DIRECTOR

Appointment date:
January 2021

Dave has over 45 years of extractive metallurgy experience covering research and development, technical sales and predominantly metallurgical project development and execution. He was Technical Director and co-founder of MDM Engineering between 1987-2014. Dave has designed and commissioned plants across Africa and the rest of the world, covering minerals from rare earths to gold, platinum, diamonds, copper, zinc, phosphate, cobalt and many others. He is a Fellow of the Southern Africa Institute of Mining and Metallurgy.

Qualifications:
BSc (Hons) in Chemical Engineering – University of Manchester Institute of Science and Technology

Interest in the Company
As at 30 June 2024:
1,516,405 shares / 0.2%
1,650,000 share options

Along with the Board of Directors the Senior Managers listed on this page have been designated as persons discharging managerial responsibility ("PDMRs") being persons who have the authority and responsibility for planning, directing and controlling major activities of the Group.

CORPORATE GOVERNANCE STATEMENT

Rainbow Rare Earths Limited is a Guernsey-registered company, trading throughout the Year on the standard list of the main market of the London Stock Exchange. Subsequent to the changes to the UK Listing Regime, effective 29 July 2024, the Company's shares are now in the Equity shares (transition) Financial Conduct Authority listing category.

As a result of the Company's listing category the UK Corporate Governance Code published by the Financial Reporting Council does not apply. However, the Directors recognise the importance of effective corporate governance and have implemented corporate governance practices with consideration to the recommendations and principles of the UK Corporate Governance Code in so far as is appropriate for a Company of Rainbow's size and stage of development.

The Board oversees the performance of the Group's activities. It comprises experienced board members who have held senior positions in a number of public and private companies. The Board is responsible to shareholders for the proper management of the Group. The Non-Executive Directors have particular responsibility to ensure that the strategies proposed by the Executive Director are carefully considered.

To enable the Board to discharge its duties, all Directors have full and timely access to all relevant information. The Board meets regularly and met nine times in FY 2024. Prior to such meetings taking place, an agenda and board papers are circulated in advance to the Directors so that they are adequately prepared for the meetings. Two Directors present at a board meeting constitutes a quorum.

The Board is invited to visit the Group's operations and a number of site visits to the Company's pilot plant sites in both South Africa and the USA were held in FY 2024 for the Chairman and other Directors. The Board is also given regular updates by Technical Director Dave Dodd to ensure they are up to speed on operational developments throughout the Year.

There is no agreed formal procedure for the Board (or members thereof) to seek independent professional advice but, pursuant to their letters of appointment, the Non-Executive Directors may, where appropriate, take independent professional advice at the Group's expense.

In accordance with the Company's articles of associations, the number of Directors that may be appointed may not be fewer than two and the Directors submit themselves for re-election every three years at the Company's annual general meeting ("AGM"). The composition of the Board is reviewed regularly to ensure that the Board has the appropriate mix of expertise and experience.

The Board ensures it is aware of the views of major and other shareholders through regular meetings in person (where appropriate), feedback via the Company's investor relations manager or via the review of investor relations board reports, as well as through discussions with the Company's brokers and the analysts that write research on Rainbow. Where such information has been obtained by the CEO, this information is disseminated to the rest of the Board in a timely manner.

Review of internal control and risk management systems
The Board has reviewed the Company's internal control and risk management systems.

Rainbow has a relatively small team of management and financial staff and is therefore able to retain a tight control over its financial reporting activities. The Board does not consider it appropriate to have a separate internal audit function, however a number of internal controls and reviews have been put in place to provide the Board (and the audit committee) with assurance that the risks inherent to operating a natural resource company in more than one jurisdiction are managed appropriately.

These controls include the following:

- Budgets and forecasts are prepared by finance staff in conjunction with operating teams and are reviewed and approved by senior management (and in the case of the budget, by the Board).
- Actual results are reported against budget and forecast, and variances examined.
- All banking transactions must be initiated and authorised by at least two staff members, one of whom is a senior manager (CEO or CFO).
- The group uses a central financial reporting system (Xero) which records all transactions, capturing third party documents (e.g. invoices) which are authorised by relevant senior staff and reviewed by senior management.
- Senior management regularly discuss material developments (normally weekly) and consider financial and reporting implications of any matters arising.

In addition to formal audit committee meetings, the CFO has regular interaction with the audit committee chair to discuss control and reporting matters in more detail.

Board of Directors
At 30 June 2024 the Company had one Executive Director and six Non-Executive Directors. All major decisions relating to the Group are made by the Board as a whole. Operations are conducted by the subsidiaries of the Company, with the Company represented by the CEO and CFO on all subsidiary boards.

The Board reviews key business risks regularly, including the financial risks facing the Group in the operation of its business. These matters include, but are not limited to, the following:

- Determining the strategy for the Company.
- Approving the annual budget.
- Discussing and approving financing, including new debt and equity.
- Setting the dividend policy.
- Developing the appropriate ESG standards and practices.
- Mergers and acquisitions activity and significant transactions.
- Risk management.
- Considering and, if appropriate, approving the recommendations of board committees.

CORPORATE GOVERNANCE STATEMENT CONTINUED

Board of Directors continued
The following table lists the names, positions and ages of the Directors as at 30 June 2024, the year they were appointed, and current committee memberships:

Name	Age	Position	Audit	Remuneration	Nomination	Sustainability
Adonis Pouroulis	54	Non-Executive Chairman	-	Member	Chair	-
George Bennett	63	CEO	-	-	-	Member
Alexander Lowrie	49	Independent Non-Executive	Member	Chair	-	Member
Shawn McCormick	57	Independent Non-Executive	Member	Member	-	Chair
Atul Bali	53	Independent Non-Executive	Chair	-	Member	-
J. Peter Pham	53	Independent Non-Executive	-	-	Member	-
Darryll Castle	55	Non-Executive	-	-	-	-

The Company does not consider Adonis Pouroulis to be independent by virtue of being a significant shareholder.

The Company does not consider Darryll Castle to be independent by virtue of his role with TechMet Limited, a strategic shareholder with the right to nominate one Director to the Rainbow Board for so long as it holds at least 10% of the issued shares in the Company.

All of the other Non-Executive Directors are considered to be independent in terms of character and judgment, notwithstanding the fact that all the independent Non-Executives are shareholders in the Company and hold share options over the Company's shares - read more on pages 36 to 37.

The table below shows the attendance at board and committee meetings during the year ended FY 2024:

Name	Board	Audit	Remuneration	Nomination	Sustainability
Adonis Pouroulis	10/10	n/a	2/2	1/1	n/a
George Bennett	9/10	n/a	n/a	n/a	1/2
Alexander Lowrie	10/10	3/3	2/2	n/a	2/2
Shawn McCormick	8/10	2/3	2/2	n/a	2/2
Atul Bali	10/10	3/3	n/a	1/1	n/a
J. Peter Pham	8/10	n/a	n/a	0/1	n/a
Darryll Castle	10/10	n/a	n/a	n/a	n/a

The Board is regularly informed of developments outside of formal board meetings, through update calls and meetings, reports and one-to-one discussions with the CEO and other management.

The deliberations of the various committees, referred to on pages 41 to 42, do not reduce the individual and collective responsibilities of board members with regard to their fiduciary duties and responsibilities, and they must continue to exercise due care and judgment in accordance with their statutory obligations.

The terms of reference for the board committees are subject to the provisions of the articles and any other applicable law or regulatory provision in force in Guernsey, and the listings rules.

In addition to the Audit, Remuneration, Nomination and Sustainability Committees, which have formally delegated duties and responsibilities within written terms of reference, the Board may set up additional committees as appropriate.

Diversity
The Board of Rainbow understands that diversity and inclusion are important in providing a broad range of perspectives in the workplace, fostering innovation, and enhancing company culture, thereby enabling businesses to deliver better results for their stakeholders.

As the Company progresses on its development path, it will continue to consider the appropriate mix of skills, culture and qualities, as well as the diversity represented, that will allow Rainbow to deliver on its strategy.

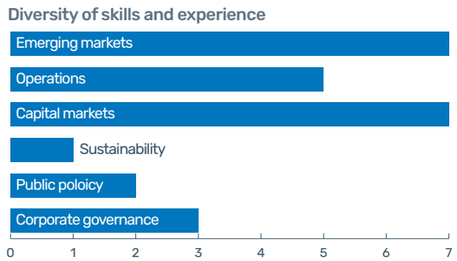
Rainbow is committed to developing a diverse workforce and to providing a work environment in which everyone is treated fairly and with respect. Furthermore, when evaluating diversity, Rainbow aims to consider a broad definition of difference, including but not limited to: experience, skills, expertise, ethnicity, nationality, gender, cultural and socio-economic background, geographic location, age, education, religious beliefs, language, neurodiversity, disability, sexuality and family responsibilities.

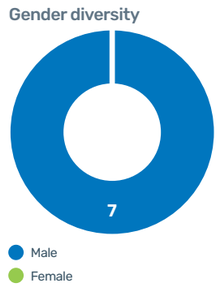
The Company does not currently have a formal diversity policy for its Board or its board committees, which is mainly a reflection of the small size of the Rainbow business to date. This issue was considered by the Nomination Committee in FY 2024 and the Company has commenced the planning work required to put a Group diversity and inclusion policy in place in due course that will set out its commitment to ensuring an equitable, diverse and inclusive workplace at all levels of the business. As part of this work, a presentation given by an independent consultant was arranged for the Nomination Committee and the wider Board in FY 2024, which provided an overview and an update on the diversity landscape for UK listed companies, as well as key considerations prior to the implementation of a diversity and inclusion policy.

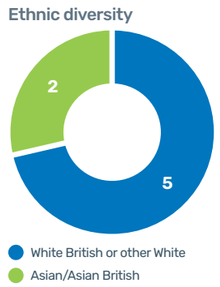
It should be noted that the Company will be able to report more fully on diversity as Phalaborwa moves towards becoming an operating business in South Africa, with the opportunity to record and monitor the diversity of its workforce over time. The local operating company for Phalaborwa will be subject to South Africa's Employment Equity Act, which will offer the opportunity for Rainbow to actively contribute to the upliftment of previously disadvantaged groups in the country, including those who were disadvantaged on the basis of ethnicity and/or gender.

CORPORATE GOVERNANCE STATEMENT CONTINUED

Rainbow Board Diversity







Gender diversity
The Company has not met the UK's Financial Conduct Authority's ("FCA") diversity targets that at least 40% of the board members should be female and that at least one of the senior board positions should be held by a woman, and the reason for this mainly relates to the historically lower proportion of women in the resources and industrial industries. However, the Company is aware that much progress has been made in order to increase female representation in these sectors and improving Board diversity was noted to be a priority for the Nomination Committee in terms of its succession planning in FY 2025 and beyond.

The following table sets out the Company's current gender diversity at senior levels of the business as at 30 June 2024:

	Number of board members	Percentage of the board	Number of senior positions on the board (CEO, CFO, SID, Chair)	Number in executive management	Percentage of executive management
Men	7	100	2	1	100
Women	0	0	0	0	0

Ethnic diversity
The Company has met the FCA's diversity target that at least one member of the board should be from an ethnic minority background excluding white ethnic groups (as set out in categories used by the Office for National Statistics).

The following table sets out the Company's current ethnic diversity at senior levels of the business as at 30 June 2024:

	Number of board members	Percentage of the board	Number of senior positions on the board (CEO, CFO, SID, Chair)	Number in executive management	Percentage of executive management
White British or other White	5	71	2	1	100
Mixed / Multiple Ethnic Groups	0	0	0	0	0
Asian / Asian British	2	29	0	0	0
Black / African / Caribbean / Black British	0	0	0	0	0
Other ethnic group, including Arab	0	0	0	0	0

Audit Committee
The Audit Committee is chaired by Atul Bali and its members are Alexander Lowrie and Shawn McCormick. The members of the Audit Committee are considered to possess the appropriate skills and experience to monitor and ensure the integrity of the Group's financial reporting, internal audit, internal financial control and risk management systems and to support Rainbow's governance.

The Audit Committee should meet not less than two times a year and is responsible for ensuring the financial performance of the Company is properly reported on and monitored, including reviews of the annual and interim accounts, results announcements, internal control systems and procedures and accounting policies.

It is also responsible for keeping the categorisation, monitoring and overall effectiveness of the company's risk assessment and internal control processes under review.

The Audit Committee met three times during the Year. During these meetings, the following matters were considered:
- The audit of the financial statements for the year ended 30 June 2023 was planned and the key areas of audit risk were discussed ahead of the relevant audit procedures being undertaken.
- The financial statements for the year ended 30 June 2023, and the interim financial statements for the six months ended 31 December 2023, were reviewed. The Audit Committee met with the auditors at the conclusion of the FY 2023 audit to discuss their findings and, following due consideration, recommended to the Board that these financial statements be approved.

CORPORATE GOVERNANCE STATEMENT CONTINUED

Audit Committee continued
The Audit Committee also considered the conduct of the external audit by BDO LLP, which was considered to be appropriate. The Audit Committee therefore resolved to propose BDO LLP for reappointment at the next AGM for a period of 12 months. It was noted that BDO LLP had been auditors of the Company since October 2016.

The Audit Committee also considered the independence and objectivity of BDO LLP. The committee considered the composition of the BDO audit team, together with the duration of service of the partner and senior audit team members on the company's audit and concluded that BDO LLP was sufficiently independent to conduct the audit. BDO did not provide any non-audit services during the Year.

Nomination Committee
The Nomination Committee is chaired by Adonis Pouroulis and its members are Atul Bali and J. Peter Pham. The Nomination Committee is normally expected to meet only as required. The Nomination Committee is responsible for reviewing, within the agreed terms of reference, the structure, size, and composition of the Board, undertaking succession planning, leading the process for new Board appointments, and making recommendations to the Board on all new appointments and re-appointments of existing Directors.

The Nomination Committee met once in FY 2024 to discuss diversity, both at Board level and throughout the Company, as well as succession planning. It was agreed that it would aim to evaluate and improve the Board and the Company's diversity as part of the natural progression of Rainbow Rare Earths Limited as it delivers on its strategy.

Remuneration Committee
The Remuneration Committee is chaired by Alexander Lowrie and its members are Adonis Pouroulis and Shawn McCormick. It is expected to meet at least once a year. The Remuneration Committee has responsibility for determining, within agreed terms of reference, the Group's policy on the remuneration of senior executives and specific remuneration packages for Executive Directors and the Non-Executive Chairman. The remuneration of Non-Executive Directors is a matter for the Board. No Director may be involved in any discussions as to their own remuneration.

The Remuneration Committee met twice during FY 2024 to discuss and approve Board and Senior Management remuneration, as well as the Company's share option scheme and the award of share options to Directors and Senior Management.

Sustainability Committee
The Sustainability Committee is chaired by Shawn McCormick and its members are George Bennett and Alexander Lowrie.

The Sustainability Committee is responsible for developing and reviewing the Group's framework, policies and guidelines around sustainability-related business practices and performance, including the responsible management of its environmental and social impacts, and for overseeing the implementation of the Group's Sustainability Strategy, thereby helping to promote the long-term success and viability of the business. It is expected to meet at least once a year.

During the Year, the committee reviewed the updated and new Group policies and recommended that these should be approved by the Board and made available on the Company website.

The Sustainability Committee also met during FY 2024 to review the Company's progress against the ESG strategy that was approved in the prior year and a presentation was given to committee members on Phalaborwa's expected social obligations in South Africa, bearing in mind its classification as a chemical processing project which is being developed on an existing industrial site. The presentation considered the differing expectations of the project's unique stakeholder groups and the forthcoming ramp-up in stakeholder engagement as part of the ESIA work programme. The Sustainability Committee noted the strategic benefits that effective social management policies and practices would bring to the Company, which aims to develop its stature as a leading company within an independent and responsible rare earths supply chain.

Share Dealing Policy
The Company has a share dealing policy requiring all Directors and Senior Executives to obtain prior written clearance from either the Chairman or the Chief Executive Officer to deal in linked shares. The Chairman requires prior written clearance from the Chairman of the Audit Committee. Close periods (as defined in the share dealing policy) are observed as required by market abuse regulations and other rules that apply to the Company by virtue of the market on which its shares are listed. During these periods, the Company's Directors, Executives and inside employees are not permitted to deal in the Company's securities. Additional close periods are enforced when the Company or its applicable employees are in possession of inside information.

Anti-Bribery Policy
The Company has adopted an Anti-Bribery Policy and procedures (including whistleblowing), which apply to the Group, its officers and staff anywhere in the world. The policy and procedures have been developed following an assessment of the risks applicable to the Group's business and include clear definitions as well as a process for reporting suspicious conduct, financial limits on gifts and hospitality, procedures for financial record-keeping and for dealing with contracts with third parties, and a prohibition on charitable or political donations without Board approval. Guidance and expectations around conflicts of interest are included in the Group's Code of Conduct.

CFO Pete Gardner acts as the Group's Anti-Bribery Officer. The Anti-Bribery Officer oversees the day-to-day operation of the Anti-Bribery Policy and procedures. The Board also regularly reviews the operation of the Anti-Bribery Policy and procedures.

All personnel are required to receive guidance and training in relation to the group's anti-bribery policy and procedures.

The Anti-Bribery Officer also undertakes due diligence on third parties as appropriate that are to be engaged by the Group to do business on its behalf. The Group requires third parties to take account of the Anti-Bribery Policy and to act in accordance with its provisions.

The Company's Anti-Bribery Policy, along with its Code of Conduct and Ethics, Supplier Code of Conduct, Sustainability Policy, Whistleblowing Procedure and its Share Dealing Code, can be found on the Company's website at www.rainbowrareearths.com/about/corporate-governance/company-policies/.

Signed on behalf of the Board of Directors on 17 October 2024.

GEORGE BENNETT
CHIEF EXECUTIVE OFFICER

THE DIRECTORS REGULARLY ASSESS AND DISCUSS THE PRINCIPAL RISKS FACING THE GROUP

The Phalaborwa front-end pilot plant in Johannesburg

PRINCIPAL RISKS AND UNCERTAINTIES

The Directors regularly assess and discuss the principal risks facing the Group, including those that would threaten its business model, future performance, solvency or liquidity.

The key risks affecting the Group are set out below:

Risk	Comment	Business impact	Mitigation
Project definition	At Phalaborwa, the PEA published in October 2022 confirmed a processing flowsheet expected to economically extract the magnet rare earth metals from the gypsum stacks in a low capital and low operating cost environment with strong economic returns. Test work is ongoing to confirm the optimal processing flow sheet to deliver separated rare earth oxides. As a result of the ongoing test work changes may be required to the proposed processing flowsheet which could have a detrimental impact on the economics of the project as set out in the PEA. An updated economic assessment of the project is planned for before the end of 2024 demonstrating the impact of changes resulting from the test work results to date, which may not deliver results in line with the PEA. A definitive feasibility study is expected to be completed in 2025 to provide sufficient confidence for project development, including financing, which may not deliver results in line with the PEA.	**High**	The Company's technical team has designed and commissioned numerous commercial plants in Africa, including completion of feasibility studies for rare earth projects, and are therefore familiar with alternative technical options that may need to be deployed if the original strategies prove uneconomic. The results of the test work programmes to date have confirmed that the rare earth elements are capable of being extracted from the phosphogypsum and upgraded to produce a saleable mixed rare earth carbonate. Separation test-work has shown that this can be used to produce a 96% purity Nd/Pr oxide via continuous ion chromatography. Market feedback has confirmed that both the mixed rare earth carbonate and the 96% purity Nd/Pr oxide would be saleable products subject to normal market discounts compared to the underlying prices of separated 99% purity rare earth oxides. Changes to the proposed processing flow sheet to date have resulted in a proposed process flowsheet requiring lower energy and fewer operating steps than set out in the PEA.
Permitting	New and updated permits and licences will be required to develop the Phalaborwa project including, but not limited to, a water use licence, waste management licence and air emissions licence.	**High**	Rainbow is working with specialist consultants to compile the technical reports required for the permitting process and is aiming to make the relevant applications in parallel with work on the definitive feasibility study. Whilst the timeframe for the issuance of permits is difficult to predict, the reprocessing of the gypsum stacks will clean up legacy environmental issues at the site caused by the previous chemical processing activities conducted by both Sasol and Bosveld. This will include treating the acid water currently associated with the unlined gypsum stacks and re-stacking the processed gypsum on new lined stacks designed in accordance with the Equator Principles. Accordingly, the Company is confident that the relevant permits will be issued to allow the project to proceed.

PRINCIPAL RISKS AND UNCERTAINTIES CONTINUED

Risk	Comment	Business impact	Mitigation
Financing	The Company's ability to continue to develop the Phalaborwa project and other new business opportunities will rely upon its continued ability to access financing, both at the corporate and project level. The financing of Phalaborwa will be dependent on the outcome of the definitive feasibility study, which will be impacted by a number of factors beyond the Company's control including but not limited to commodity prices, the outcome of processing test work, the issue of relevant permits, the ability to resolve site access and environmental matters set out separately below.	**High**	The strong economic returns set out in the PEA for Phalaborwa are expected to ensure funding is available to deliver the definitive feasibility study and, ultimately, the development of the project. Management maintains strong relationships with key sources of finance. Rainbow has a history of securing funding required for the Company's growth plans, including support from its cornerstone investors. This includes an option held by TechMet Limited to invest US$50 million in equity for the development of Phalaborwa. Accordingly, management expects to be able to secure additional funding as required.
Rare earth prices	Rainbow is focused on the identification and development of secondary rare earth deposits that can be brought into production quicker and at a lower cost than traditional hard rock mining projects, with a focus on the permanent magnet rare earth elements neodymium and praseodymium, dysprosium and terbium. Rare earth prices are currently below the level used as the base case for the Phalaborwa PEA. Whilst analysts are predicting strong growth in demand for rare earths, prices have been volatile in the past and price increases may not occur as predicted. If the underlying rare earth basket price of the Group's development projects remain at current levels or fall, this reduces potential revenue that will impact the long-term profitability of the project and could impact the commercial viability of any development.	**High**	The Phalaborwa PEA confirmed a low-cost operation due to the nature of the rare earth mineral resource contained in a chemical form in two gypsum stacks, which will not require many of the processes associated with a primary mineral ore body for the extraction of rare earths. The resulting operating margin will allow Phalaborwa to be resilient against rare earth pricing volatility as the project is expected to generate strong returns even in a lower rare earth price environment. The Company aims to negotiate off-take arrangements to ensure a commercial development is viable in the interests of all stakeholders.

PRINCIPAL RISKS AND UNCERTAINTIES CONTINUED

Risk	Comment	Business impact	Mitigation
Site access	The proposed site layout for Phalaborwa incorporates an area of land within the fenced area of the Bosveld industrial complex for which the surface rights are owned by the South Africa Department of Public Works and Infrastructure. A failure to obtain a lease to allow use of this land will require the proposed site layout to be amended, which could impact both the timing and cost of the proposed Phalaborwa development.	**Medium**	Bosveld has received permission from the South African authorities to commence work on the relevant area of land for the purposes of applying for environmental permits, subject to an open and transparent bid process for a lease. Given the location and nature of the land in question it is not expected that alternative parties would be interested in obtaining a lease over this land. Bosveld has an obligation under the co-development agreement to transfer the rights to a suitable area of land for the project to the Phalaborwa operating company. Bosveld has surface rights over alternative areas of land in the area that could be used for the Project if required.
Environmental	The gypsum stacks that comprise the resource for the Phalaborwa project represent an environmental disturbance that requires remediation representing an environmental liability as described in the Phalaborwa PEA. On transfer of the gypsum stacks to the Phalaborwa operating company, the liability associated with the remediation of historic disturbance will not transfer to the Group. Under South African law the responsibility for a pre-existing decommissioning liability remains with the historic owners of the site on transfer to a new owner. In addition, Bosveld have provided Rainbow with a contractual indemnity against pre-existing environmental liabilities associated with the site. However, on transfer the Group will take on responsibility for the day to day management of the stacks, including the associated polluted water. Failure to manage the stacks in a responsible manner to prevent further pollution to the surrounding area could result in the Group being liable for any resulting liabilities.	**Medium**	Development of the project will result in the gypsum stacks being re-processed, which is expected to reduce the liability relating to the current status of the site. The Group has engaged WSP to compile a baseline environmental assessment of the pre-existing liability associated with the site against which future changes can be measured. Prior to the transfer of the stacks the Group will use suitably qualified personnel and consultants to review Bosveld's current activities to manage the stacks and the associated risks. An operational plan will be put in place from the day of transfer of ownership to ensure that the stacks are properly managed.

PRINCIPAL RISKS AND UNCERTAINTIES CONTINUED

Risk	Comment	Business impact	Mitigation
Co-development	The Company's assets include projects that will be conducted in joint arrangements or with associates, which reduces the Company's ability to control and manage risk and places reliance on partners not controlled by the Group. At Phalaborwa, Bosveld has a 15% interest in the project and, as current owner of the site, their assistance is required to ensure the assets necessary for the project development are transferred at the necessary time into the joint venture vehicle. Rainbow has the option to acquire the 15% minority interest from Bosveld by issuing 38,873,663 new ordinary shares at any time up to 31 December 2025, and Bosveld has a right to sell its 15% stake under the same terms subject to the transfer of the assets for the project having been completed. In the event that the Group has not finalised all issues relating to the transfer of the assets prior to 31 December 2025, including the site access risk noted, Rainbow may need to negotiate an extension to this long-stop date. The Group's development pipeline, including but not limited to the Uberaba property in Brazil, are at a much earlier stage of development. The legal framework for the development of a commercial operation for these opportunities has not been fully defined and terms may not be agreed with the owners of these assets to allow a development to occur.	**Medium**	The option to acquire Bosveld's 15% stake in Phalaborwa will enable the Group to fully control that project and creates a strong incentive for Bosveld to ensure it takes the necessary steps to allow the project to be developed. This strong financial incentive for Bosveld to assist as required to ensure the long-term success of the project is also expected to ensure that an extension to the long-stop date for the option can be agreed in the event of unforeseen delays to the transfer of the assets. For the earlier stage projects, Rainbow's rare earths processing expertise and ownership, directly or under licence in the relevant territories, of the IP rights to develop an economic processing flow sheet similar to Phalaborwa is expected to ensure that suitable commercial terms can be agreed for the long-term development of these assets.
Political risk in Burundi	On 12 April 2021, the Government of Burundi suspended the export of concentrate produced at Gakara. This was followed on 29 June 2021 with a suspension of all trial mining and exploration activity. All operations remain on care and maintenance. Management assesses that the actions of the Government of Burundi, which have not been in accordance with the legally binding mining convention in place, create a situation where the re-start of operations in the near term cannot be reasonably assumed.	**Low**	Due to the re-focus of Rainbow's business on the Phalaborwa asset and growth opportunities from the associated processing technology, with the exception of cash and VAT recoverable the assets of the Gakara cash generating unit have been impaired to nil. The VAT recoverable is not considered to be impaired as it is directly related to a recognised liability for VAT payable and, whilst there is no legal right to net settlement, it is expected that the liability will only be settled in a negotiated off-set against the recoverable asset. Management continues to investigate opportunities to monetise the Gakara asset, either by way of formal arbitration proceedings or through a corporate transaction. Costs relating to the Gakara asset have been minimised and do not represent a significant element of the Group budget.

DIRECTORS' REPORT

The Directors present their Annual Report and the Financial Statements of the Group for the year ended 30 June 2024.

General
Rainbow Rare Earths Limited, the parent company of the Group, was established in Guernsey on 5 August 2011. On 30 January 2017, its shares were listed on the standard segment of the Main Market of the London Stock Exchange. Subsequent to the year-end, as a result of changes to the UK listing regime effective 29 July 2024, the shares have been transferred to the Equity shares (transition) category.

Principal activity
The Company's principal activity is the development of a rare earth minerals project in South Africa and the opportunity to utilise the associated processing technology at other global rare earth opportunities including but not limited to opportunities in Brazil.

Business model
The basis on which the Company seeks to preserve and generate value is through the identification and development of secondary rare earth deposits that can be brought into production quicker and at a lower cost than traditional hard rock mining projects, with a focus on the permanent magnet rare earth elements neodymium and praseodymium, dysprosium and terbium. Once operational, the net cash generated from the Group's projects will be used to service the Company's financing, re-invested in further rare earth project development opportunities, or (where appropriate) repaid to investors in the form of dividends.

In the short term, this strategy is focused on the Phalaborwa rare earths project in South Africa, where a mineral resource has been defined contained within gypsum stacks derived from historic phosphoric acid production. The PEA announced in October 2022, supported by subsequent test work, have confirmed that Phalaborwa represents an economically attractive potential source of rare earth oxides.

Longer term, the Company expects that the technology to recover critical rare earth elements from phosphogypsum will provide opportunities to develop a long-term, scalable and sustainable business. To this end, the Company is currently evaluating strategic partnership opportunities in Saudi Arabia, Morocco, Canada and India along with a memorandum of understanding signed with Mosaic for the Uberaba project in Brazil.

Business review
A review of the business during the Year is included in the Chairman's Statement, the CEO's Statement, and in the Operating and Financial Reviews. The Group's business and operations and the results thereof are reflected in the attached Financial Statements.

Business risks
A review of the key risks to the Company is set out on pages 44 to 47.

Advisers
The Company's advisers are set out on the inside back cover.

Financial results
During the 12 months ended 30 June 2024, the Company reported a net loss of US$4,262k (30 June 2023: net loss of US$12,865k).

No dividends have been declared in respect of the years ending 30 June 2024 or 2023.

Directors
A list of the Directors of the Company is set out on pages 36 to 37.

No Director shall be requested to vacate office at any time by reason of any specific age attained. The Board considers that there is a balance of skills within the Board and that each of the Directors contributes effectively.

Directors' remuneration

	Salary/fees (US$'000)		Bonus (US$'000)		Total (US$'000)	
	June 2024	June 2023	**June 2024**	June 2023	**June 2024**	June 2023
Executive Director						
George Bennett	**355**	335	**226**	163	**581**	498
Non-Executive Chairman						
Adonis Pouroulis	**151**	115	**-**	-	**151**	115
Non-Executive Directors						
Alexander Lowrie	**53**	50	**-**	-	**53**	50
Shawn McCormick	**53**	50	**-**	-	**53**	50
Atul Bali	**53**	50	**-**	-	**53**	50
J. Peter Pham	**47**	44	**-**	-	**47**	44
Darryll Castle[1]	**47**	-	**-**	-	**47**	-
Total	**759**	644	**226**	163	**985**	807

1. Darryll Castle was appointed on 12 June 2023.

DIRECTORS' REPORT CONTINUED

Directors' responsibility statement
The Companies (Guernsey) Law, 2008 requires the Directors to prepare financial statements for each financial period, which give a true and fair view of the state of affairs of the Group for that period and of the profit or loss of the Group for that period. Under that law they have elected to prepare the financial statements in accordance with International Financial Reporting Standards as adopted by the EU and applicable law.

In preparing those financial statements the Directors are required to:
- Select suitable accounting policies and then apply them consistently.
- Make judgments and estimates that are reasonable and prudent.
- State whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements.
- Prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Group will continue in business.

In accordance with Chapter 4 of the Disclosure and Transparency Rules issued by the Financial Conduct Authority in the United Kingdom, the Directors confirm to the best of their knowledge:
- The Group's Financial Statements, prepared in accordance with IFRS as adopted by the European Union, give a true and fair view of the assets, liabilities, financial position and profit and loss of the Group.
- The Annual Report includes a fair review of the development and performance of the business and the financial position of the Group, together with a description of the principal risks and uncertainties that it faces.

The Directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Group and to enable them to ensure that the financial statements have been properly prepared in accordance with the Companies (Guernsey) Law, 2008. They are also responsible for safeguarding the assets of the Group and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities. The Directors confirm that they have complied with the above requirements in preparing the financial statements.

So far as each of the Directors are aware, there is no relevant audit information of which the Group's auditor is unaware; having taken all the steps the Directors ought to have taken to make themselves aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

Principal shareholders
A list of shareholders who beneficially hold more than 5% of the company's shares at 30 June 2024 is as follows:

Key Shareholders	Number	Percent
Adonis Pouroulis	89,466,830	14.2
TechMet	75,206,112	11.9
George Bennett	38,805,298	6.2
Caden Holdings	36,967,805	5.9

Interests of Directors and Senior Managers
The interests (all of which are beneficial and include related parties) of the Directors and Senior Managers in the Company's issued share capital at 30 June 2024 are as follows:

Key Shareholders	Number of Shares	Percentage Issued Shares	Number of Share Options
Adonis Pouroulis	89,466,830	14.2	1,902,000
George Bennett	38,805,298	6.2	2,500,000
Alexander Lowrie	6,838,124	1.1	1,250,000
Atul Bali	4,420,992	0.7	1,250,000
J. Peter Pham	631,500	0.1	750,000
Shawn McCormick	9,316,571	1.5	1,850,000
Darryll Castle	821,422	0.1	-
Pete Gardner	618,522	0.1	2,400,000
Dave Dodd	1,500,000	0.2	1,650,000

Website publication
The Directors are responsible for ensuring that the Annual Report and the Financial Statements are made available on a website. Financial statements are published on the Company's website (www.rainbowrareearths.com) in accordance with applicable legislation in Guernsey governing the preparation and dissemination of financial statements, which may vary from legislation in other jurisdictions. The maintenance and integrity of the Company's website is the responsibility of the Directors. The Directors' responsibility also extends to the ongoing integrity of the financial statements contained therein.

Going concern
The Directors have reviewed the Group's cash flow forecasts for at least 12 months following the reporting date, together with appropriate sensitivities and mitigating actions. A full analysis of the Directors' analysis of the going concern status of the Group is set out in note 2 to the Financial Statements.

After considering available cash, loan facilities anticipated to remain available, forecast cash flows and anticipated fundraising activities the Directors consider that the Group will have adequate resources to continue its operational existence for the foreseeable future. However, the cash flow forecast includes additional fundraising which is not yet in place. The Directors believe that the need to raise further funds represents a material uncertainty that casts doubt on this assumption. Nevertheless, the Directors continue to adopt the going concern basis in preparing the consolidated financial statements.

Auditor
BDO LLP has expressed its willingness to continue in office as auditors and a resolution to re-appoint BDO LLP will be proposed at the forthcoming AGM.

Signed on behalf of the Board of Directors on 17 October 2024

GEORGE BENNETT
CHIEF EXECUTIVE OFFICER

FINANCIAL STATEMENTS

RARE EARTHS ARE USED IN THE COMPONENTS OF MANY DEVICES USED DAILY

Rare earths have transformed the consumer electronics market, enabling the high-tech products so integral to our lives

FINANCIAL STATEMENTS

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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED

Opinion on the financial statements
In our opinion, the financial statements:
- give a true and fair view of the state of the Group's affairs as at 30 June 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with IFRS as adopted by the European Union; and
- have been properly prepared in accordance with the requirements of the Companies (Guernsey) Law, 2008.

We have audited the financial statements of Rainbow Rare Earths Limited ("the Group") for the year ended 30 June 2024 which comprise the Consolidated Statement of Comprehensive Income, Consolidated Statement of Financial Position, Consolidated Statement of Changes in Equity, Consolidated Cash Flow Statement and notes to the financial statements, including a summary of material accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and International Financial Reporting Standards (IFRSs) as adopted by the European Union.

Basis for opinion
We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Our audit opinion is consistent with the additional report to the Audit Committee.

Independence
Following the recommendation of the Audit Committee, we were appointed by the Audit Committee on 3 October 2016 to audit the financial statements for the year ending 30 June 2016 and subsequent financial periods. The period of total uninterrupted engagement including retenders and reappointments is nine years, covering the years ended 30 June 2016 to 30 June 2024. We remain independent of the Group and the Parent Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to listed public interest entities, and we have fulfilled our other ethical responsibilities in accordance with these requirements. The non-audit services prohibited by that standard were not provided to the Group or the Parent Company.

Material uncertainty related to going concern
We draw attention to note 2 in the financial statements, which indicates that the Group is reliant on securing additional funding which is not guaranteed. As stated in note 2, these events or conditions, along with other matters as set forth in note 2, indicate that a material uncertainty exists that may cast significant doubt over the Group's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Given the material uncertainty noted above and our risk assessment we considered going concern to be a key audit matter.

Our evaluation of the Directors' assessment of the Group's ability to continue to adopt the going concern basis of accounting and in response to the key audit matter included:
- critically assessing the Directors' cash flow forecast and the underlying assumptions which have been approved by the Directors. This included stress testing and applying sensitivities to the base cash flow forecast. Our testing included testing the integrity of the model, comparing forecast costs to historical actuals, evaluating the consistency of the forecast capital and exploration expenditure within the Group's strategic plans, and considering the reasonableness of the sensitivities applied and outcome of the stress testing;
- verifying cash balances used in the forecast close to the date of sign off of these financial statements, by tracing cash positions against bank statements;
- agreeing the net receipt of US$9.8 million of funds received from Ecora to bank statements;
- agreeing future cash outflows in respect of loans to underlying agreements. This included assessing the timing of the interest and capital repayments on the Finbank loan were appropriately reflected in cash flows commencing from July 2024;
- assessing the reasonableness of the cash outflows for the corporate overhead, which included some contingency and considering the completeness of the costs included in the forecast;
- assessing the level of cash outflows assumed for the Gakara mine, which was assumed to remain on care and maintenance for the entire forecast period. This involved comparing forecast cash outflows to prior year actuals and considering the completeness of the costs included in the forecast;
- assessing the reasonableness of the assumptions in the model regarding the cost and timing of completing the Phalaborwa DFS and pilot plant testing in 2025;
- considering the ability of the Group to secure additional funds in the future based on its history of successful fundraising;
- reviewing board minutes and project reports for any indications of unexpected costs, claims or disputes; and
- assessing the reasonability of the disclosures relating to going concern and considering them in line with the applicable standards.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED CONTINUED

Overview

		2024	2023
Coverage	89% (2023: 100%) of Group loss before tax 100% (2023: 100%) of Group total assets		
Key audit matters	1. Accuracy and completeness of the impairment of Burundi assets		✓
	2. Material uncertainty relating to going concern	✓	✓
	3. Carrying value of the Exploration and Evaluation Assets	✓	
	Accuracy and completeness of the impairment of Burundi assets is no longer considered to be a key audit matter following the impairment of the exploration and evaluation assets in the previous financial year.		
Materiality	**Group financial statements as a whole** £240k (2023:US$210k) based on 1.5% (2023: 1.5%) of total assets.		

An overview of the scope of our audit
Our Group audit was scoped by obtaining an understanding of the Group and its environment, including the Group's system of internal control, and assessing the risks of material misstatement in the financial statements. We also addressed the risk of Management override of internal controls, including assessing whether there was evidence of bias by the Directors that may have represented a risk of material misstatement.

Whilst Rainbow Rare Earths Limited is a Company registered in Guernsey and listed on the Equity Shares (Transition) Listing Category of the London Stock Exchange in the UK, the Group's principal operations are located in South Africa and Burundi. In approaching the audit, we considered how the Group is organised and managed. We assessed the business as being two projects comprising of the Phalaborwa and the Gakara Projects, and a corporate head office function.

Our Group audit scope focused on the Group's principle operating entities, Rainbow Rare Earths Limited, Rainbow Mining Burundi, Rainbow International Resources and Rainbow Rare Earths (Pty) Ltd. We identified these entities as significant components for the purposes of our financial statement audit, based on their relative share of total assets. The significant components accounted for 100% of total assets and were subject to full scope audits conducted by the group engagement team.

The remaining component of the Group, being a dormant entity, was considered non-significant, and this component was principally subject to analytical review procedures with specific procedures for any significant balances impacting the Group financial statements.

All audit work (full scope audit or analytical review procedures) was conducted by the group engagement team.

Climate change
Our work on the assessment of potential impacts on climate-related risks on the Group's operations and financial statements included:
- enquiries and challenge of management to understand the actions they have taken to identify climate-related risks and their potential impacts on the financial statements and adequately disclose climate-related risks within the Annual Report;
- performing our own qualitative risk assessment taking into consideration the sector in which the Group operates and how climate change affects this particular sector; and
- review of the minutes of Board and Audit Committee meetings and other papers related to climate change to assist us in performing our risk assessment as to how the impact of the Group's commitment as set out in the Annual Report may affect the financial statements and our audit.

We challenged the extent to which climate-related considerations, including the expected cash flows from the initiatives and commitments have been reflected, where appropriate, in management's going concern assessment.

We also assessed the consistency of managements disclosures included as Statutory Other Information on pages 26 to 31 with the financial statements and with our knowledge obtained from the audit.

Based on our risk assessment procedures, we did not identify there to be any Key Audit Matters materially impacted by climate-related risks and related commitments.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED
CONTINUED

Key audit matters
Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period and include the most significant assessed risks of material misstatement (whether or not due to fraud) that we identified, including those which had the greatest effect on the overall audit strategy, the allocation of resources in the audit, and directing the efforts of the engagement team. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the "material uncertainty relating to going concern" section above, we have determined the matter below to be the key audit matter to be communicated in our report.

Key audit matter: Impairment assessment of the Exploration and Evaluation Assets (Phalaborwa project)
Refer to notes 3 and 12

The Group holds one exploration and evaluation asset which is the Phalaborwa project in South Africa.

The accounting standards require management to carry out an impairment assessment annually to identify any indicators of impairment. This assessment relies on management's interpretation of the ongoing test work undertaken during the Year which confirmed that rare earth elements are capable of being extracted from the phosphogypsum and upgraded to produce a saleable mixed rare earth carbonate. As test work is still ongoing the indicators of impairment are based on the future economic viability of the asset which requires a significant amount of judgement from management.

Therefore, we considered this to be a key audit matter.

How the scope of our audit addressed the key audit matter

- We reviewed and assessed management's assessment in accordance with the requirements of IFRS 6.
- We challenged management's assessment of the indicators of impairment for the Phalaborwa project in South Africa by performing the following procedures:
  - We checked that the Group has the right to explore the specific area by inspecting the Group's earn-in agreement with Bosveld Minerals.
  - We reviewed management's plans and budgets to establish whether the Group is committed to the development of the project and checked that expenditure on further exploration and evaluation of mineral resources in the area are budgeted and planned for.
  - We confirmed through inspection of the Group's bank statements the existence of sufficient cash resources available at the Group's disposal in order to execute the forecasted development plan. In addition, we confirmed the consistency of the development plan against the going concern forecast.
  - We reviewed Management's assessment which confirms that there are no present indicators that the exploration for and evaluation of mineral resources has not led to the discovery of commercially viable quantities of mineral resource.
  - We reviewed RNS announcements, minutes from the meetings of Directors and news articles to assess whether there were any other potential impairment indicators.

Key observations:
Based on procedures performed, we consider the judgements made in the impairment indicators assessment of Exploration and Evaluation Assets prepared by management to be reasonable.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED
CONTINUED

Our application of materiality
We apply the concept of materiality both in planning and performing our audit, and in evaluating the effect of misstatements. We consider materiality to be the magnitude by which misstatements, including omissions, could influence the economic decisions of reasonable users that are taken on the basis of the financial statements.

In order to reduce to an appropriately low level the probability that any misstatements exceed materiality, we use a lower materiality level, performance materiality, to determine the extent of testing needed. Importantly, misstatements below these levels will not necessarily be evaluated as immaterial as we also take account of the nature of identified misstatements, and the particular circumstances of their occurrence, when evaluating their effect on the financial statements as a whole.

Based on our professional judgement, we determined materiality for the financial statements as a whole and performance materiality as follows:

	Group financial statements	
	2024	2023
	US$'000	US$'000
Materiality	**240**	210
Basis for determining materiality	**1.5% of total assets**	1.5% of total assets
Rationale for the benchmark applied	Total Assets was determined as an appropriate basis as the principal focus of the Group remains the advancement and development of its projects. As such, we consider the users of the financial statements will focus on the statement of financial position and total assets of the Group in order to understand the level of investment being made.	
Performance materiality	**168**	147
Basis for determining performance materiality	Performance materiality was set at 70% (2023: 70%) of the materiality level based on our assessment of a number of factors including the expected total value of known and likely misstatements (based on past experience), our knowledge of internal control and management's attitude towards proposed adjustments.	

Component materiality
We set materiality for each component of the Group based on Group materiality to ensure that the risk of errors exceeding component materiality was appropriately mitigated; this was capped due to aggregation risk in line with the ISAs (UK). Component materiality was US$115,000 for each component (2023: US$105,000). In the audit of each component, we further applied performance materiality levels of 70% (2023: 70%) of the component materiality to our testing to ensure that the risk of errors exceeding component materiality was appropriately mitigated

Reporting threshold
We agreed with the Audit Committee that we would report to them all individual audit differences in excess of US$4,800 (2023: US$4,200). We also agreed to report differences below this threshold that, in our view, warranted reporting on qualitative grounds.

Other information
The Directors are responsible for the other information. The other information comprises the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Other Companies (Guernsey) Law, 2008 reporting
We have nothing to report in respect of the following matters where the Companies (Guernsey) Law, 2008 requires us to report to you if, in our opinion:
- proper accounting records have not been kept by the Company; or
- the financial statements are not in agreement with the accounting records; or
- we have failed to obtain all the information and explanations which, to the best of our knowledge and belief, are necessary for the purposes of our audit.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED
CONTINUED

Responsibilities of Directors
As explained more fully in the Directors' responsibilities statement within the Directors' Report, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Extent to which the audit was capable of detecting irregularities, including fraud
Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below:

Non-compliance with laws and regulations
Based on:
- our understanding of the Group and the industry in which it operates;
- discussion with management and those charged with governance and also consider legal counsel; and
- obtaining and understanding of the Group's policies and procedures regarding compliance with laws and regulations.

We considered the significant laws and regulations to be the applicable accounting framework, Companies (Guernsey) Law 2008, Tax regulations and the Listing Rules of the Financial Conduct Authority.

The Company is also subject to laws and regulations where the consequence of non-compliance could have a material effect on the amount or disclosures in the financial statements, for example through the imposition of fines or litigations. We identified such laws and regulations to be the Task Force on Climate-Related Financial Disclosures (TCFD), local health and safety law, compliance with the rights for Phalaborwa as per the earn-in-agreement, the mining permits and export ban of Burundi and the Prevention of Corruption (Bailiwick of Guernsey) Law, 2003.

Our procedures in respect of the above included:
- review of minutes of meetings of those charged with governance for any instances of non-compliance with laws and regulations;
- review of correspondence with tax authorities for any instances of non-compliance with laws and regulations;
- review of financial statement disclosures and agreeing to supporting documentation; and
- review of legal expenditure accounts to understand the nature of expenditure incurred.

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF RAINBOW RARE EARTHS LIMITED
CONTINUED

Fraud
We assessed the susceptibility of the financial statements to material misstatement, including fraud. Our risk assessment procedures included:
- enquiry with management and those charged with governance regarding any known or suspected instances of fraud;
- obtaining an understanding of the Company's policies and procedures relating to:
  - detecting and responding to the risks of fraud;
  - internal controls established to mitigate risks related to fraud;
- review of minutes of meetings of those charged with governance for any known or suspected instances of fraud;
- discussion amongst the engagement team as to how and where fraud might occur in the financial statements; and
- performing planning analytical procedures to identify any unusual or unexpected relationships that may indicate risks of material misstatement due to fraud.

Based on our risk assessment, we considered the areas most susceptible to fraud to be management override of controls and areas of judgement due to level of subjectivity involved with them.

Our procedures in respect of the above included:
- Fraud enquiries were held with management and those charged with governance to identify whether any instances of fraud were noted in the period.
- Testing the financial statement disclosures to supporting documentation, performing testing on account balances which were considered to be a greater risk of susceptibility to fraud. These balances relate to our key audit matters as disclosed above.
- Making enquiries of management as to whether there was any correspondence with regulators and the Government, in so far as the correspondence related to the financial statements, and reviewed this correspondence.
- Performing targeted journal entry testing based on identified characteristics the audit team considered could be indicative of fraud to address the presumed risk of management override of controls, including bribery. For example, we tested capitalisation to property plant and equipment or exploration assets with the opposite entry being processed against bank and cash accounts and not against liability accounts.
- Reviewing the Group's year end unadjusted entries, consolidated entries and investigating any that appear unusual as to nature or amount by agreeing to supporting documentation.
- Assessing significant estimates made by management for bias.

We also communicated relevant identified laws and regulations and potential fraud risks to all engagement team members who were all deemed to have appropriate competence and capabilities and remained alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

Our audit procedures were designed to respond to risks of material misstatement in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve deliberate concealment by, for example, forgery, misrepresentations or through collusion. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we are to become aware of it.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the Company's members, as a body, in accordance with Section 262 of the Companies (Guernsey) Law, 2008. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

PETER ACLOQUE
FOR AND ON BEHALF OF BDO LLP, CHARTERED ACCOUNTANTS,
LONDON, UNITED KINGDOM

17 October 2024

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2024

	Notes	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000
Revenue		**-**	-
Cost of sales		**-**	-
Gross profit		**-**	-
Administration expenses		**(3,567)**	(3,509)
Impairment of Gakara assets	14	**(717)**	(9,575)
Loss from operating activities	4	**(4,284)**	(13,084)
Finance income	6	**141**	377
Finance costs	7	**(119)**	(158)
Loss before tax		**(4,262)**	(12,865)
Income tax expense	10	**-**	-
Total loss after tax and comprehensive expense for the year		**(4,262)**	(12,865)
Total loss after tax and comprehensive expense for the year is attributable to:			
Non-controlling interest	24	**(87)**	(881)
Owners of parent		**(4,175)**	(11,984)
		(4,262)	(12,865)
The results of each year are derived from continuing operations			
Loss per share (cents)			
Basic	11	**(0.67)**	(2.23)
Diluted	11	**(0.67)**	(2.23)

Notes on pages 62 to 84 form part of these financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2024

	Notes	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000
Non-current assets			
Exploration and evaluation assets	12	**15,716**	4,830
Property, plant and equipment	13	**21**	27
Right of use assets	19	**84**	39
Total non-current assets		**15,821**	4,896
Current assets			
Inventory	14	**1**	718
Trade and other receivables	15	**374**	365
Cash and cash equivalents	16	**79**	8,107
Total current assets		**454**	9,190
Total assets		**16,275**	14,086
Current liabilities			
Trade and other payables	17	**(1,850)**	(1,250)
Borrowings	18	**(245)**	(201)
Lease liabilities	19	**(48)**	(23)
Total current liabilities		**(2,143)**	(1,474)
Non-current liabilities			
Borrowings	18	**(192)**	(285)
Lease liabilities	19	**(44)**	(21)
Provisions	20	**(55)**	(55)
Total non-current liabilities		**(291)**	(361)
Total liabilities		**(2,434)**	(1,835)
Net assets		**13,841**	12,251
Equity			
Share capital	21	**56,362**	50,937
Share-based payment reserve	23	**1,839**	1,719
Other reserves	23	**-**	-
Retained loss		**(42,351)**	(38,483)
Equity attributable to the parent		**15,850**	14,173
Non-controlling interest	24	**(2,009)**	(1,922)
Total equity		**13,841**	12,251

These financial statements were approved and authorised for issue by the Board of Directors on 17 October 2024 and signed on its behalf by:

GEORGE BENNETT
DIRECTOR

Notes on pages 62 to 84 form part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Notes	Share capital US$'000	Share-based payments US$'000	Accumulated losses US$'000	Attributable to the parent US$'000	Non-controlling interest US$'000	Total US$'000
Balance at 1 July 2022		41,442	1,467	(26,572)	16,337	(1,041)	15,296
Total comprehensive loss							
Loss and total comprehensive loss for year		-	-	(11,984)	(11,984)	(881)	(12,865)
Transactions with owners							
Shares placed during the year for cash consideration	21	9,485	-	-	9,485	-	9,485
Share placing transaction costs	21	(115)	-	-	(115)	-	(115)
Fair value of employee share options in year	22	-	325	-	325	-	325
Share options cancelled in the year	22		(13)	13	-	-	-
Share options exercised in the year, net of costs	21	125	(60)	60	125	-	125
Balance at 30 June 2023		**50,937**	**1,719**	**(38,483)**	**14,173**	**(1,922)**	**12,251**
Total comprehensive loss							
Loss and total comprehensive loss for year		-	-	(4,175)	(4,175)	(87)	(4,262)
Transactions with owners							
Shares placed during the year for cash consideration	21	5,501	-	-	5,501	-	5,501
Share placing transaction costs	21	(76)	-	-	(76)	-	(76)
Fair value of employee share options in year	22	-	427	-	427	-	427
Share options cancelled in the year	22		(106)	106	-	-	-
Share options exercised in the year, net of costs	22	-	(201)	201	-	-	-
Balance at 30 June 2024		**56,362**	**1,839**	**(42,351)**	**15,850**	**(2,009)**	**13,841**

Notes on pages 62 to 84 form part of these financial statements.

CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 30 JUNE 2024

	Notes	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Cash flow from operating activities			
Loss from operating activities		**(4,284)**	(13,084)
Adjustments for non-cash transactions:			
Depreciation		**52**	382
Impairment	14	**717**	9,575
Share-based payment charge	22	**427**	325
Operating loss before working capital changes		**(3,088)**	(2,802)
Net increase in trade and other receivables	15	**(45)**	(31)
Net increase/(decrease) in trade and other payables	17	**372**	(94)
Cash used by operations		**(2,761)**	(2,927)
Realised foreign exchange gains		**123**	156
Taxes paid	10	**-**	-
Net cash used in operating activities		**(2,638)**	(2,771)
Cash flow from investing activities			
Purchase of property, plant & equipment	13	**-**	(28)
Exploration and evaluation costs	12	**(10,637)**	(2,510)
Net cash used in investing activities		**(10,637)**	(2,538)
Cash flow from financing activities			
Repayment of borrowings	18	**(77)**	(61)
Interest payments on borrowings	18	**(49)**	(78)
Interest received	6	**5**	-
Payment of leases	19	**(53)**	(42)
Proceeds from the issuance of ordinary shares	21	**5,501**	9,610
Transaction costs of issuing new equity	21	**(76)**	(115)
Net cash generated by financing activities		**5,251**	9,314
Net increase in cash and cash equivalents		**(8,024)**	4,005
Cash & cash equivalents at the beginning of the year		**8,107**	4,134
Foreign exchange loss on cash and cash equivalents		**(4)**	(32)
Cash & cash equivalents at the end of the year	16	**79**	8,107

Notes on pages 62 to 84 form part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024

1. GENERAL INFORMATION

Reporting entity
Rainbow Rare Earths Limited (the "Company") is a company domiciled in Guernsey and incorporated on 5 August 2011, with company registration number 53831, and is a company limited by shares. The Company's registered office is Connaught House, St Julian's Avenue, St Peter Port, Guernsey, GY1 1GZ. The consolidated financial statements of the Company for the years ended 30 June 2023 and 30 June 2022 comprise the Company and its subsidiaries.

2. MATERIAL ACCOUNTING POLICIES

Basis of preparation
The Financial Statements of the Company and its subsidiaries (the "Group") are prepared in accordance with International Financial Reporting Standards ("IFRS") (IFRS and IFRIC Interpretations) issued by the International Accounting Standards Board ("IASB"), as adopted by the European Union.

The consolidated financial statements have been prepared on a historical cost basis, except for financial instruments measured at fair value through profit or loss. Given the development status of the Group's assets, management do not consider sustainability and climate change as key risks requiring significant judgement for the Year. The Group has prepared sustainability disclosures on pages 20 to 31 in line with the requirements set out in the UK Listing Rules to the extent relevant for a Group without producing assets.

Going Concern
As at 30 June 2024, the Group had total cash of US$0.1 million prior to the announcement, on 1 July 2024, of a US$10 million financing with Ecora Resources plc comprising US$1.5 million of equity and US$8.5 million proceeds for a 0.85% gross revenue royalty over future sales from the Phalaborwa project. Following receipt of these funds, after associated costs, the Group has available cash resources of US$9.7 million.

The Directors have reviewed a range of potential cash flow forecasts for the period to 31 December 2025, including reasonable possible downside scenarios. This has included the following assumptions:

Corporate
The forecast includes US$3.6 million of ongoing general and administrative costs of the Group over the 18-month period from 1 July 2024 to 31 December 2025 (the "Period"), based on the current administrative costs of the Group. This includes US$0.2 million in respect of pursuing new business opportunities, which will cover only the initial low cost test work at the opportunities identified to date including the opportunity with Mosaic in Brazil.

The Directors' reasonably plausible downside scenario includes a 10% contingency for unexpected costs plus a further US$0.25 million per annum for business development costs. Corporate cost includes costs incurred in British Pounds at an exchange rate of £1:US$1.25 and South African Rand at an exchange rate of US$1:ZAR18.5. The Directors' reasonably plausible downside scenario includes an adjustment to reflect a higher US Dollar cost based on an exchange rate of £1:US$1.35 and US$1:ZAR17.5.

Phalaborwa Project
The forecast includes all costs anticipated for the completion of the Phalaborwa DFS, estimated at US$4.8 million, inclusive of a 10% contingency. This includes all costs associated with the ongoing test work campaigns, including separation test work, ongoing costs associated with the DFS, expected to be completed in 2025, and costs associated with the ongoing permitting process.

The forecast also includes salary and consultant costs of US$0.9 million for the core project team tasked with advancing the project. The Directors' reasonably plausible downside scenario includes a further 10% contingency on all costs associated with the Phalaborwa project. Phalaborwa project costs include costs incurred in South African Rand at an exchange rate of US$1:ZAR18.5. The Directors' reasonably plausible downside scenario includes an adjustment to reflect a higher US Dollar cost based on an exchange rate of US$1:ZAR17.5.

The forecast does not include costs related to a formal financing process for the Phalaborwa project, or any costs associated with the management of the gypsum stacks, which will be transferred from Bosveld Phosphates (Pty) Limited to the Group under the Phalaborwa co-development agreement at the Group's election. The co-development agreement includes an option for the Group to obtain 100% of Phalaborwa via the issue to Bosveld of 38,873,663 new ordinary shares at any time up to 31 December 2025. It is expected that the assets relating to Phalaborwa will be transferred to the Group prior to the exercise of this option. The Group does not intend to arrange that transfer or exercise the option until the funding needs for the management of the gypsum stacks have been defined and funds are available for the ongoing management thereof.

Uberaba Project
As set out in the operations review the opportunity relating to Mosaic's phosphogypsum stack in Uberaba, Brazil is considered to present an opportunity to replicate Phalaborwa at a potentially larger scale. At the date of this these financial statements the Group has no commitments in respect of this project. Low-cost test work is expected to continue in the short term. A detailed budget to deliver a preliminary economic assessment, as anticipated in the agreement with Mosaic, is not yet available and will need to be agreed with Mosaic before funds can be committed. It is noted that the Directors' reasonably plausible downside scenario would not be sufficient for a preliminary economic assessment to be developed, and further funding may be required to allow for the Uberaba opportunity to be de-risked, the timing of which cannot be accurately predicted at this time.

Gakara Project
The cash flow forecasts assume ongoing care and maintenance costs totalling US$0.6 million, including amounts payable under the FinBank loan facility in Burundi. The Group has determined that no additional cash outflows beyond the US$0.6 million care and maintenance budget will be incurred on Gakara until the export ban and mining suspension has been lifted. A re-start of operations would be conditional on the Gakara project not requiring additional financial support from Rainbow Rare Earths Limited at then current rare earth prices.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
CONTINUED

2. MATERIAL ACCOUNTING POLICIES CONTINUED

Going Concern continued
Conclusion
The base case forecast includes a total cash outflow over the Period of US$9.9 million. The Directors' reasonably plausible downside scenario, which includes a 10% contingency for corporate costs, fixed costs at Phalaborwa and Gakara costs, together with a further allowance for business development opportunities and foreign exchange variances, includes a total cash outflow of US$11.2 million.

At 30 June 2024 the Group had US$9.7 million of available cash including the receipt from the fundraising with Ecora announced in July 2024, of which the final US$8.2 million was received in September 2024. The forecast indicates that under all scenarios the Group will need to raise additional funds before 31 December 2025, the timing of which is dependent primarily on the speed at which the Phalaborwa DFS is completed, which is within the Directors' control. In addition, further funds may be required to progress the Uberaba opportunity in Brazil or other new business opportunities.

As a result, the Group is reliant on securing additional funding which is not guaranteed. Based on the above, this indicates the existence of a material uncertainty which may cast significant doubt over the Group's ability to continue as a going concern and therefore, it may be unable to realise its assets and discharge its liabilities in the ordinary course of business.

The Directors are confident that funding will be secured, based on the Group's history of successful fundraising. The financial statements do not include any adjustments that would result if the Group was unable to continue as a going concern.

New and amended standards and interpretations adopted by the Group
No material changes to accounting policies arose as a result of new standards applied by the Group from 1 July 2023.

New standards, interpretations, and amendments not yet effective
Certain new accounting standards and interpretations have been published that are not mandatory for 30 June 2024 reporting periods and have not been early adopted by the Group. These standards include:

- IAS 1 – Presentation of Financial Statements – The classification of liabilities as current or non-current basing the classification on contractual arrangements at the reporting date. These amendments are effective for periods beginning on or after 1 January 2024.
- Amendments to IFRS 16 - Lease Liability in a Sale and Leaseback. The amendments are effective from 1 January 2024 but may be applied earlier.
- Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures – Supplier Finance Arrangements. Effective date is 1 January 2024.
- Lack of Exchangeability – Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates. The effective date is 1 January 2025.
- Amendments to the Classification and Measurement of Financial Instruments – Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures. The effective date is 1 January 2026.
- Annual Improvements to IFRS Accounting Standards – Amendments to:
  - IFRS 1 First-time Adoption of International Financial Reporting Standards;
  - IFRS 7 Financial Instruments: Disclosures and its accompanying Guidance on implementing IFRS 7;
  - IFRS 9 Financial Instruments;
  - IFRS 10 Consolidated Financial Statements; and
  - IAS 7 Statement of Cash Flows

  The effective date is 1 January 2026.
- IFRS 18 Presentation and Disclosure in Financial Statements. The effective date is 1 January 2027.
- IFRS 19 Subsidiaries without Public Accountability: Disclosures. The effective date is 1 January 2027.

These amendments are not expected to have a material impact on the Group.

Basis of consolidation
Where the Company has control over an investee, it is classified as a subsidiary. The Company controls an investee if all three of the following elements are present: power over the investee, exposure to variable returns from the investee, and the ability of the investor to use its power to affect those variable returns. Control is reassessed whenever facts and circumstances indicate that there may be a change in any of these elements of control.

The consolidated financial statements present the results of the Company and its subsidiaries as if they formed a single entity. Intercompany transactions and balances between Group companies are therefore eliminated in full.

The results of undertakings acquired or disposed of are consolidated from or to the date when control passes to or from the Group. The results of subsidiaries acquired or disposed of during the year are included in the Consolidated Statement of Comprehensive Income from the date that control commences until the date that control ceases.

Where necessary, adjustments are made to the results of subsidiaries to bring the accounting policies they use into line with those used by the Group.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the Group's equity. Non-controlling interests consist of the non-controlling shareholder's share of changes in equity. The non-controlling interests' share of losses, where applicable, are attributed to the non-controlling interests irrespective of whether the non-controlling shareholders have a binding obligation and are able to make an additional investment to cover the losses. On acquisition of a non-controlling interest, the relevant non-controlling interest share of equity is extinguished and the difference between the fair value of consideration paid and the relevant carrying value of the non-controlling interest is recorded in retained earnings.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
CONTINUED

2. MATERIAL ACCOUNTING POLICIES CONTINUED

Foreign currency
The consolidated financial statements are presented in US Dollars, which is also the functional currency of the Company and all of its subsidiaries. The Group's strategy is focused on developing an ethical supply chain for rare earth elements from secondary sources, with its principal project based in South Africa and a global pipeline of earlier stage opportunities being developed. All such opportunities will ultimately generate revenue in US Dollars, which is the currency in which rare earth elements are traded internationally. All support services are charged between Group companies in US Dollars. The Group is funded by various financial liabilities which are principally denominated in US Dollars and shareholder equity.

Transactions in foreign currencies are translated to the functional currency of the Group entity at the rates of exchange prevailing on the dates of the transactions. At each reporting date, monetary assets and liabilities that are denominated in foreign currencies are retranslated to the functional currency at the rates prevailing on the reporting date. Exchange differences on all transactions are recognised in the consolidated statement of comprehensive income in the year in which they arise.

Revenue recognition
The Group plans to produce and sell separated rare earth oxides from the Phalaborwa project in South Africa and other secondary rare earth sources via a mixture of long term off-take contracts and spot sales to global customers. The Group's Gakara project in Burundi produces a mixed rare earth mineral concentrate which was previously sold under a long-term offtake contract with ThyssenKrupp Metallurgical Products GmbH.

Revenue is recognised on transfer of control of the relevant rare earth product, which can occur at the project site, at a port in transit to the customers premises or at the customers premises.

Rare earth exploration and evaluation assets
All exploration and evaluation costs incurred are accumulated in respect of each identifiable project area. Costs which are classified as intangible fixed assets are only carried forward to the extent that they are expected to be recovered through the successful development of the area or where activities in the area have not yet reached a stage which permits reasonable assessment as to whether the deposit is commercially viable and technically feasible for extraction. Costs associated with exploration and evaluation include costs related to trial mining and processing when such activity is focused on improving the understanding of the ore body. Such costs include the cost of mining, processing and sales costs for concentrate produced as a result of trial mining activities, excluding any costs associated with year-end inventory.

Costs incurred prior to the legal right to a mineral project being obtained are written off immediately. Accumulated cost in relation to an abandoned area are written off in full to the statement of comprehensive income in the year in which the decision to abandon the area is made.

Exploration and evaluation assets associated with an identifiable project area are transferred from intangible fixed assets to tangible fixed assets as "project development costs" when the commercial viability and technical feasibility of extracting the deposit has been established. This includes consideration of a variety of factors such as whether the requisite permits have been awarded, whether funding required for development is sufficiently certain of being secured, whether an appropriate project development plan is established and the results of exploration and evaluation data including internal and external assessments.

Property, plant and equipment
Property, plant and equipment consists of plant and machinery, project development costs, motor vehicles, computer equipment, and office furniture and fittings.

Property, plant and equipment is initially recognised at cost and subsequently stated at cost less accumulated depreciation and any impairment. The cost of acquisition is the purchase price and any directly attributable costs of acquisition or construction required to bring the asset to the location and condition necessary for the asset to be capable of operating in the manner intended by management.

The Group assesses the stage of a development project to determine when it has reached commercial production, at which point the relevant assets begin to be depreciated. The criteria used to assess the date at which commercial production is achieved, being the point at which the project is ready for its intended use and operating in the manner intended by management, include completion of a reasonable period of testing, the ability to sustain commercial levels of production, and engineering sign off on the plant performance. In the case of new project sites, commercial production is deemed to have been met when the site has received all necessary permits and approvals (including a certificate of environmental conformity) and is in operation. Prior to this period, any costs associated with the project site are capitalised.

Depreciation
Property, plant and equipment is depreciated on a straight-line basis over the estimated useful life of the asset. Residual values and useful lives are reviewed on an annual basis and changes are accounted for over the remaining lives.

The applicable depreciation rates are as follows:

Description	Useful life
Plant, machinery, and mine infrastructure	5 years
Vehicles	5 years
Computer equipment	3 years
Office furniture and fittings	7 years

Depreciation incurred on equipment used in exploration is capitalised to exploration and evaluation costs.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
CONTINUED

2. MATERIAL ACCOUNTING POLICIES CONTINUED

Impairment of non-financial assets including exploration and evaluation assets
Exploration and evaluation assets are reviewed regularly for indicators of impairment following the guidance in IFRS 6 "Exploration for and Evaluation of Mineral Resources" and tested for impairment where such indicators exist. In addition, these assets are tested for impairment prior to transfer to project development costs. In accordance with IFRS 6 the Group considers the following facts and circumstances in their assessment of whether the Group's exploration and evaluation assets may be impaired:

- whether the period for which the Group has the right to explore in a specific area has expired during the period or will expire in the near future, and is not expected to be renewed;
- whether substantive expenditure on further exploration for and evaluation of mineral resources in a specific area is neither budgeted nor planned;
- whether exploration for and evaluation of reserves in a specific area have not led to the discovery of commercially viable quantities of mineable material and the Group has decided to discontinue such activities in the specific area; and
- whether sufficient data exists to indicate that although a development in a specific area is likely to proceed, the carrying amount of the exploration and evaluation assets is unlikely to be recovered in full from successful development or by sale.

If any such facts or circumstances are noted, the Group performs an impairment test in accordance with the provisions of IAS 36. In such circumstances the aggregate carrying value of the exploration and evaluation asset, together with any associated property, plant and equipment held within the relevant cash generating unit, is compared against the expected recoverable amount of the cash generating unit. The recoverable amount is the higher of value in use and the fair value less costs to sell.

Where the carrying amount of an asset or cash generating unit exceeds its recoverable amount, the asset or cash generating unit is considered impaired and is written down to its recoverable amount. Impairment losses are recognised in the Income Statement. Impairment losses recognised for cash generation are recognised against goodwill (if any) and then to identifiable assets on a pro-rata basis.

A previously recognised impairment loss is reversed if the recoverable amount increases as a result of a reversal of the conditions that originally resulted in the impairment. This reversal is recognised in the Income Statement and is limited to the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised in prior years.

Leases
At inception the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset, for a period of time, in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group assesses whether:

- the contract involves the use of an identified asset. This may be specified explicitly or implicitly and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified;
- the Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- the Group has the right to direct the use of the asset. The Group has the right when it has the decision-making rights that are most relevant to changing how and for what purposes the asset is used. In rare cases where the decision about how and for what purpose the assets is used is predetermined, the Group has the right to direct the use of the asset if either:
  - the Group has the right to operate the asset; or
  - the Group designed the asset in a way that predetermines how and for what purpose it will be used.

At inception or on reassessment of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand-alone prices.

The right-of-use asset is initially measured at the present value of the remaining lease payments, discounted using the incremental borrowing rate.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, impairment indictors for the right-of-use asset are assessed annually and will be adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the remaining lease payments, discounted using the incremental borrowing rate. The liability is subsequently measured at amortised cost using the effective interest method. Lease payments are apportioned between the finance charges and reduction of the lease liability using the incremental borrowing rate implicit in the lease to achieve a constant rate of interest on the remaining balance of the liability.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
CONTINUED

2. MATERIAL ACCOUNTING POLICIES CONTINUED

Environmental rehabilitation costs
An obligation to incur restoration, rehabilitation and environmental costs arises when environmental disturbance is caused by the development or ongoing production of a project. Such costs arising from the decommissioning of plant and other site preparation work, discounted to their net present values, are provided for in full as soon as the obligation to incur such costs arises and can be quantified. On recognition of a provision, an addition is made to tangible or intangible fixed assets of the same amount. Upon commercial production this addition is then charged against profits over the life of the project. Closure provisions are updated annually for changes in cost estimates as well as for changes to the anticipated life of the project, with the resulting adjustments made to both the provision balance and the net book value of the associated non-current asset.

Inventory
Stockpiles of ore (including but not limited to Run of Mine ("RoM") ore (where applicable), pre-shipment rare earth finished or partially processed product stockpiles, or rare earth products in transit but not yet sold) are valued at the lower of historic cost and net realisable value. Historic cost is based on an allocation of all relevant costs incurred in bringing the stockpiles to their present condition at the period end (including as appropriate mining or reclamation costs, processing costs and transportation costs). Realisable value is based on an estimate of selling price less applicable further costs to be incurred to the point of revenue recognition (including as appropriate further expected processing costs, shipment costs, royalties, and other fees to be incurred in the course of the sales process). Inventory stockpile costs do not include an allocation of support costs.

Inventory spares (including tools, parts for equipment, and stocks of consumables) are also valued at the lower of historic cost and realisable value, where material. Spares are reviewed at each period end for obsolescence, with provisions applied to those stock lines where realisable value is considered to be lower than historic cost.

Taxation
Current tax is based on the estimated taxable profit for the period. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. In Burundi, when no taxable profit arises, current tax includes a minimum tax charge calculated as 1% of revenue.

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities for financial reporting purposes and the corresponding tax bases used in the computation of taxable profit. It is accounted for using the balance sheet liability method. Deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Financial instruments
Financial assets and financial liabilities are recognised on the statement of financial position when the Group becomes a party to the contractual provisions of the instrument.

- **Financial assets**
  Cash and cash equivalents comprise cash held by the Group and short-term bank deposits with a maturity of three months or less.

  Trade and other receivables, to the extent they represent financial assets, are measured at initial recognition at fair value and are subsequently measured at amortised cost using the effective interest method. A provision is established when there is objective evidence that the Group will not be able to collect all amounts due.

  In applying the general model, the Group monitors on a forward-looking basis the expected credit loss, defined as the difference between the contractual cash flows and the cash flows that are expected to be received, associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade receivables only, the simplified approach permitted by IFRS 9 is applied, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

  Losses are recognised in the income statement. When a subsequent event causes the amount of impairment loss to decrease, the decrease in impairment loss is reversed through the income statement.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
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2. MATERIAL ACCOUNTING POLICIES CONTINUED

Financial instruments continued
- **Financial liabilities**
  Loans, borrowings and trade and other payables are initially measured at fair value and are subsequently measured at amortised cost using the effective interest rate method. They are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least 12 months after the statement of financial position date.

  A financial liability is removed from the balance sheet when it is extinguished, being when the obligation is discharged, cancelled, or expired. On extinguishment of a financial liability, any difference between the carrying amount of the liability and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss. A modification or exchange of a financial liability is either accounted for as an extinguishment of the original financial liability or a renegotiation of the original financial liability. An extinguishment or substantial modification of a financial liability results in de-recognition of the original financial liability and any unamortised transaction costs associated with the original financial liability are immediately expensed to the profit and loss account. Where the change in the terms of the modified financial liability is not substantial, it is accounted for as a modification of the original liability, with the modified financial liability measured at amortised cost using the original effective interest rate. To determine whether the terms of the modified liability are substantially different from those of the original one, a qualitative assessment is performed. If it is not already clear from a qualitative assessment that a modification has resulted in a substantial change, then a quantitative assessment is performed. This includes consideration whether the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability.

Share capital
Ordinary shares are classified as equity and are recorded at the proceeds received, net of any direct issue costs.
The nature of the Company's reserves is set out in note 23.

Share options
Equity-settled share-based payments to employees and Directors are initially measured at the fair value of the equity instrument. The fair value of the equity-settled transactions with employees and Directors is recognised as an expense over the vesting period. The fair values of the equity instruments are determined at the date of grant, considering market-based vesting conditions.

The fair values of share options or restricted stock units ("RSUs") are measured at fair value at the date of grant. Where the share options only contain service conditions or non-market conditions and the options are issued with a relevant strike price, a Black–Scholes model is used. Where the share options or RSUs contain market conditions, a Monte Carlo simulation model is used and reflected in the fair value of the options or RSUs granted. Where the share options or RSUs contain no market conditions and do not include a strike price, the fair value is assessed by reference to the share price on the date of issue. Details of the assumptions used are included in note 22 Share Options and Warrants.

The expected life used in the models is adjusted, based on management's best estimate of the effects of non-transferability, exercise restrictions and behavioural considerations. For RSUs, shares are automatically issued on vesting of the relevant tranche.

The cost of equity-settled transactions is recognised, together with a corresponding increase in equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees (or other beneficiaries) become fully entitled to the award (the "vesting date").

The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company's best estimate of the number of equity instruments that will ultimately vest.

The income statement charge or credit for a period represents the movement in cumulative expense recognised as at the beginning and end of that period.

No expense is recognised for awards that do not ultimately vest, except for awards where vesting is conditional upon a market condition, which are treated as vesting irrespective of whether the market condition is satisfied, provided that all other performance and/or service conditions are satisfied.

Warrants
Warrants issued are recognised at fair value at the date of grant. The fair value is measured using the Black-Scholes model. Where warrants are issued in respect of services provided, the fair value is expensed on a straight-line basis over the vesting period (if applicable). Where warrants are considered to represent a transaction cost attributable to a liability recorded at amortised cost, the fair value is deducted from the liability and amortised subsequently through the effective interest rate. Where a fixed number of warrants are issued, and the exercise price is in the functional currency of the issuer, the warrant fair value is credited to equity. Where the number of warrants is fixed but the exercise price is in a currency other than the functional currency of the issuer, the instrument fails the "fixed-for-fixed" criteria and is recognised as a financial liability at fair value through profit and loss.

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3. ACCOUNTING JUDGMENTS AND ESTIMATIONS

The preparation of financial statements in conformity with IFRS requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects both current and future periods. Key sources of judgment and estimation uncertainty are:

Accounting treatment of exploration and evaluation costs
Significant accounting judgement
Judgment was required in determining how to treat costs incurred during the Year for the Group's development projects in South Africa and Burundi. For the Phalaborwa asset, management note that the project is based on a JORC compliant mineral resource estimate contained within gypsum stacks at the Phalaborwa site. The Group has an 85% economic interest in the project. Accordingly, all costs associated with defining the technical feasibility and commercial viability of the project are being capitalised under IFRS 6.

For the Gakara asset, management note that the project has been on care and maintenance throughout the Year. Accordingly, none of the costs incurred have been focused on improving the understanding of the ore body, and as such all costs have been recognised in the income statement in the Year.

Impairment indicator assessment for exploration and evaluation assets and associated assets (notes 12, 13, 14 and 15)
Significant accounting judgement
Judgment was required in determining whether indicators of impairment existed at 30 June 2024 for the Group's exploration and evaluation assets. The Board assessed factors including the remaining licence term, the plans for future exploration and the results of activities to date, together with the strategic plans for the asset against the criteria set out in IFRS 6.

Phalaborwa Project
For the Phalaborwa asset management note the PEA released in October 2022 confirmed a processing flow sheet expected to economically extract the magnet rare earth metals from the gypsum stacks in a low capital and low operating cost environment with strong economic returns. The pilot test work undertaken in the Year, together with subsequent test work, has confirmed that the rare earth elements are capable of being extracted from the phosphogypsum and upgraded to produce a saleable mixed rare earth carbonate. Test work is ongoing focused on producing separated rare earth oxides. An updated economic assessment of the project is planned for H2 2024, and it is expected that the definitive feasibility study for Phalaborwa will be completed in 2025. Accordingly, management do not consider there to be any indicators of impairment for the Phalaborwa asset.

Gakara Project
The assets associated with the Gakara project include both intangible and tangible fixed assets together with cash, mineral concentrate, royalty and VAT receivables and consumables held in stock. The liabilities associated with the Gakara project include a loan, decommissioning, site rehabilitation and environmental costs, tax liabilities and trade payables.

The Gakara project has been suspended from operations by the Government of Burundi since June 2021. An impairment review was undertaken in the year ended 30 June 2023 for the assets associated with the Gakara project following the re-focus of Rainbow's business on the Phalaborwa asset and growth opportunities from the associated processing technology. The Directors assessed that whilst the re-start of the project was likely through ongoing dialogue with the Government of Burundi, they were unable to accurately predict when the operations would be able to re-start and, accordingly, the Gakara cash generating unit was written down to a net asset value of nil in the year ended 30 June 2023. A further impairment review was carried out in the Year due to management's assessment of the deteriorating political environment in Burundi. Based on the updated assessment of both the legal and political position in Burundi, the Directors can no longer reasonably assume that the operations at the project will be able to restart and accordingly all assets associated with the Gakara cash generating unit have been written down to nil with the exception of cash and VAT recoverable. The VAT recoverable is not considered to be impaired as it is directly related to a recognised liability for VAT payable and, whilst there is no legal right to net settlement, it is expected that the liability will only be settled in a negotiated off-set against the recoverable asset. In making this judgement, the Directors have made the key judgements and estimates detailed below.

Carrying value of Gakara tangible and intangible assets (notes 12 and 13)
Significant accounting judgement
The impairment review of the intangible and tangible fixed assets associated with the Gakara project required an estimate of the value in use and fair value less costs to sell for the assets. In making this decision, the Directors were unable to assign any value for the potential sale of the project or the separate sale of the tangible fixed assets associated with the project given the nature of the situation, which is subject to political constraints not in accordance with Burundi law. Accordingly, the intangible and tangible fixed assets were fully impaired at 30 June 2023 in accordance with IAS 36. A change in the situation in Burundi could allow the operations to restart in the future or permit the sale of the project to a third party, which could allow the impairment to be fully or partially reversed.

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3. ACCOUNTING JUDGMENTS AND ESTIMATIONS CONTINUED

Valuation of available for sale mineral concentrate (note 14)
Significant accounting estimate
Gakara has 421 tonnes of available for sale mineral concentrate which has remained at the processing facility since the suspension of activities in June 2021. This concentrate cannot be sold due to an export ban imposed by the Government of Burundi. Management notes that negotiations with the Government of Burundi since the export ban was imposed, including substantive talks in 2024, have not resolved the situation. Due to the actions of the Government of Burundi, which have not been in accordance with the legally binding mining convention in place, management are no longer able to assess that it can be reasonably assumed that the current export ban will be lifted in due course. Accordingly, at 30 June 2024 the value of the available for sale mineral concentrate has been fully impaired. A change in the situation in Burundi could allow the concentrate to be sold in the future or permit the sale of the project to a third party, which could allow the impairment to be fully or partially reversed.

Recoverability of royalty receivable (note 15)
Significant accounting estimate
Rainbow Mining Burundi SM ("RMB") has historically overpaid royalties arising from the sale of rare earth concentrate. Whilst the Government has accepted in writing that the overpaid royalties are recoverable, no repayment has been received to date. The Directors have made a judgement that the royalty receivable is unlikely to be recovered in the near term due to the political situation in Burundi. Given the significant uncertainty of the timing and quantum of any future recovery the asset was fully impaired at 30 June 2023. Future recovery may differ from management's best estimate.

Decommissioning, site rehabilitation and environmental costs (note 20)
Significant accounting estimate
The Group's mining and exploration activities are subject to various laws and regulations governing the protection of the environment. Estimation and experience are used in determining the expected timing, closure, and decommissioning methods, which can vary in response to changes in the relevant legal requirements or decommissioning technologies.

No provision was recorded for the Group's Phalaborwa project as the Group has not yet acquired a beneficial interest in the land associated with the site and on-site activities have not yet commenced. At 30 June 2024 the obligation for restoration of historical environmental liabilities associated with the site legally and contractually remain with the previous owners of the site.

The discounted provision recognised for the Group's Gakara project represents management's best estimate of the rehabilitation costs that will be incurred, discounted from the period in which they are judged to be incurred. Actual costs incurred in future periods could differ materially from the estimates. Additionally, future changes to environmental laws and regulations, life of mine estimates and discount rates could affect the carrying amount of this provision.

4. LOSS FROM OPERATING ACTIVITIES

Operating loss includes:

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Employee remuneration (excluding share options)	**(1,713)**	(1,517)
Share-based payment charge	**(427)**	(325)
Audit of the Group financial statements[1]	**(174)**	(173)
Depreciation	**(52)**	(382)
Impairment of Gakara assets	**(717)**	(9,575)

1. Audit fees include US$180k for the current year and US$6k foreign exchange differences from the prior year.

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5. SEGMENTAL INFORMATION

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.
The chief operating decision maker has been identified as the Chief Executive Officer. It is considered that the Group has two reportable segments:

- Phalaborwa – a gypsum stack re-treatment project for the recovery of rare earths in South Africa.
- Gakara – a rare-earth project in Burundi.

Unallocated costs include corporate costs, which are not reported by entity to the Board.

Year ended 30 June 2024:

	Phalaborwa US$'000	Gakara US$'000	Unallocated US$'000	Total US$'000
Revenue				
Production and sales costs	-	-	-	**-**
Impairment	-	(717)	-	**(717)**
Administration expenses	-	(413)	(3,102)	**(3,515)**
Depreciation	-	(21)	(31)	**(52)**
Loss from operating activities	-	(1,151)	(3,133)	**(4,284)**
Finance income	-	32	109	**141**
Finance costs	-	(70)	(49)	**(119)**
Loss before tax	-	(1,189)	(3,073)	**(4,262)**
Income tax expense	-	-	-	**-**
Loss after tax	-	(1,189)	(3,073)	**(4,262)**
Segmental assets	15,716	233	326	**16,275**
Exploration and evaluation assets	15,716	-	-	**15,716**
Property, plant and equipment	-	-	21	**21**
Right of use assets	-	24	60	**84**
Current assets	-	209	245	**454**
Segmental liabilities	(616)	(897)	(921)	**(2,434)**
Capital expenditure	10,886	-	-	**10,886**

Year ended 30 June 2023:

	Phalaborwa US$'000	Gakara US$'000	Unallocated US$'000	Total US$'000
Revenue	-	-	-	-
Production and sales costs	-	-	-	-
Impairment	-	(9,575)	-	(9,575)
Administration expenses	-	(562)	(2,565)	(3,127)
Depreciation	-	(368)	(14)	(382)
Loss from operating activities	-	(10,505)	(2,579)	(13,084)
Finance income	-	191	186	377
Finance costs	-	(115)	(43)	(158)
Loss before tax	-	(10,429)	(2,436)	(12,865)
Income tax expense	-	-	-	-
Loss after tax	-	(10,429)	(2,436)	(12,865)
Segmental assets	4,868	916	8,302	14,086
Exploration and evaluation assets	4,830	-	-	4,830
Property, plant and equipment	-	-	27	27
Other assets	-	37	2	39
Current assets	38	879	8,273	9,190
Segmental liabilities	(202)	(916)	(717)	(1,835)
Capital expenditure	2,877	-	28	2,905

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6. FINANCE INCOME

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Change in fair value of warrant liability (notes 18 and 22)	**-**	73
Foreign exchange gains	**141**	304
Total	**141**	377

Foreign exchange gains in the current and prior periods mainly relate to gains on translation of funds from US Dollars to Burundian Francs ("BIF") plus the settlement of liabilities in Burundi denominated in BIF.

7. FINANCE COSTS

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Change in fair value of warrant liability (notes 18 and 22)	**(32)**	-
Interest on bank borrowing (note 18)	**(49)**	(78)
Interest on lease liabilities	**(10)**	(11)
Interest on outstanding taxes	**(17)**	(30)
Foreign exchange losses	**(11)**	(39)
Total	**(119)**	(158)

Foreign exchange losses in the current period arise principally from GBP and ZAR bank accounts, which the Group holds to match future expected cash outflows, which depreciated in value against the US Dollar during the Year.

8. REMUNERATION OF KEY MANAGEMENT PERSONNEL

Key management personnel are defined as being Executive and Non-Executive Directors and Persons Discharging Managerial Responsibility ("PDMRs"), who are set out on pages 36 to 37. Directors' emoluments are set out on page 48.

Their remuneration for the 12 months ended 30 June 2024 and 30 June 2023 is summarised as follows:

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Wages and salaries	**1,082**	1,070
Bonus	**345**	248
Benefits	**16**	14
Share- based payments	**339**	291
Total remuneration of key management personnel	**1,782**	1,623

Bonuses for the Year were settled by the issue of 2,595,735 shares on 3 September 2024. The cost was accrued based on the share price at 30 June 2024 of 10.5 pence per share.

Benefits paid to key management personnel include pension contributions. In addition to salary and benefits, payments to companies associated with key management personnel are set out in note 26.

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FOR THE YEAR ENDED 30 JUNE 2024
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9. TOTAL EMPLOYEE REMUNERATION (INCLUDING KEY MANAGEMENT PERSONNEL)

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Wages and salaries	**1,826**	1,596
Bonus	**345**	248
Benefits	**25**	26
Share-based payments	**427**	325
Total employee remuneration	**2,623**	2,195

Benefits paid to employees include healthcare and pension contributions.

Staff costs include US$484k capitalised within Exploration and Evaluation assets in the Year (2023: US$352k) relating to the Phalaborwa project.

The average number of employees during the period were made up as follows

	Year ended 30 June 2024	Year ended 30 June 2023
Directors	**7**	6
Management and administration	**33**	32
Total	**40**	38

10. INCOME TAX EXPENSE

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Current tax expense	**-**	-
Prior year tax adjustment	**-**	-
Total tax expense for the year	**-**	-

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of corporation tax to the loss before tax is as follows:

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Loss for the year before tax	**(4,262)**	(12,865)
Income tax using the Guernsey rate of 0%:	**-**	-
Effects of:		
Differences in tax rates	**(296)**	(2,669)
Differences in capital allowances	**-**	32
Impact of Burundi impairment	**215**	2,472
Other adjustments	**(37)**	-
Tax losses carried forwards	**118**	165
Total	**-**	-

Rainbow Rare Earths Limited and Rainbow International Resources Limited are subject to 0% income tax in Guernsey. Rainbow Rare Earths (Proprietary) Limited is subject to income tax rate in South Africa at 27%. Rainbow Burundi SPRL and Rainbow Mining Burundi SM are subject to corporation tax in Burundi at 30%.

No deferred tax asset has been recognised in respect of the tax losses carried forward as the recoverability of this benefit is dependent on the future profitability of the individual entities within the Group, the timing of which is considered insufficiently certain. The total unrecognised potential deferred tax assets in respect of losses carried forward in Rainbow Rare Earths (Proprietary) Limited are US$91k (30 June 2023: US$43k).

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11. LOSS PER SHARE

The earnings per share calculations for 30 June 2024 reflect the changes to the number of ordinary shares during the Year.

At the start of the Year, 598,858,656 shares were in issue. During the Year, a total of 31,458,000 new shares were allotted (see note 21 Share Capital) and on 30 June 2024, 630,316,656 shares were in issue. The weighted average of shares in issue in the Year was 621,094,938.

The loss per share has been calculated using the weighted average number of ordinary shares in issue. The Group was loss making for all periods presented, therefore the dilutive effect of share options has not been accounted for in the calculation of diluted earnings per share, since this would decrease the loss per share for each reporting period.

	Basic and diluted	
	2024	2023
Loss for the year (US$'000) attributable to ordinary equity holders	**(4,175)**	(11,984)
Weighted average number of ordinary shares in issue during the Year	**621,094,938**	536,805,149
Loss per share (cents)	**(0.67)**	(2.23)

12. EXPLORATION AND EVALUATION ASSETS

	Gakara US$'000	**Phalaborwa US$'000**	**Total US$'000**
At 1 July 2022	8,635	1,953	**10,588**
Additions	-	2,877	**2,877**
Impairment	(8,635)	-	**(8,635)**
At 30 June 2023	-	4,830	**4,830**
Additions	-	10,886	**10,886**
At 30 June 2024	-	15,716	**15,716**

Only costs relating to the Phalaborwa Project were capitalised during the Year. The Gakara Project has been under care and maintenance throughout the Year and, accordingly, none of the costs meet the requirements under the Group's accounting policy for capitalisation.

On 12 April 2021, RMB received notification from the Ministry of Hydraulics, Energy and Mines of the Republic of Burundi of a temporary suspension on the export of concentrate produced from the trial mining and processing operations at the Gakara Project. On 29 June 2021, a further notification was received temporarily suspending all trial mining and processing operations pending negotiations on the terms of the Gakara mining convention signed in 2015.

The Directors have confirmed from independent legal advisors that the mining convention in place between RMB and the Government of Burundi remains legally binding on both parties, and that the actions of the Government of Burundi have not been in accordance with that legally binding agreement. However, due to the actions of the Government of Burundi, which have not been in accordance with the legally binding mining convention in place, management assess that it cannot be reasonably assumed that the current suspension of activities will be lifted in due course.

Since acquiring the Phalaborwa project in December 2020 and the subsequent development of processing technology to recover rare earth elements from phosphogypsum as a by-product of phosphoric acid production, the Directors have re-focused the business on secondary sources of rare earth elements where they consider higher returns are available. As such, as set out in note 3, the Directors no longer intend to invest significant amounts at Gakara to convert the existing resource target to a reserve capable of supporting long-term commercial production, resulting in an impairment review being carried out for the Gakara exploration and evaluation assets in the prior year. In accordance with IAS 36, the Gakara exploration and evaluation assets were impaired to a value of US$nil as per note 3.

FinBank SA hold security over the fixed and floating assets of RMB which include the impaired exploration and evaluation assets associated with the Gakara mining permit in Burundi.

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13. PROPERTY, PLANT AND EQUIPMENT

US$'000	Mine development costs	Plant and machinery	Vehicles	Office equipment	Total
Cost					
At 1 July 2022	183	2,889	1,582	45	4,699
Additions	-	-	24	4	28
At 30 June 2023	183	2,889	1,606	49	4,727
Additions	-	-	-	-	-
At 30 June 2024	**183**	**2,889**	**1,606**	**49**	**4,727**
Depreciation					
At 1 July 2022	99	2,668	855	34	3,656
Charge for year	25	5	317	2	349
Impairment	59	216	410	10	695
At 30 June 2023	183	2,889	1,582	46	4,700
Charge for the year	-	-	5	1	6
At 30 June 2024	**183**	**2,889**	**1,587**	**47**	**4,706**
Net Book Value at 30 June 2024	**-**	**-**	**19**	**2**	**21**
Net Book Value at 30 June 2023	-	-	24	3	27
Net Book Value at 30 June 2022	84	221	727	11	1,043

As set out in notes 3 and 12, the Directors recognise that the ongoing suspension of all activities of RMB in Burundi and the subsequent decision not to commit investment for the conversion of the Gakara resource target to reserves requires an impairment review for the tangible fixed assets relating to the project in accordance with IAS 36. Based on an assessment of both the legal and political position in Burundi, the Directors consider that the fair value of the property, plant and equipment associated with the Gakara project calculated in accordance with IAS 36 is nil and an impairment loss was recognised in the prior year.

FinBank SA hold security over the fixed and floating assets of RMB which include the impaired property, plant, and equipment in Burundi.

14. INVENTORY

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Finished goods	**-**	717
Consumables	**1**	1
Total inventory	**1**	718

Finished goods represent 421 tonnes (2023: 421 tonnes) of mixed rare earth concentrate available for export at the Gakara processing plant which, due to the current export ban in Burundi, cannot be sold. As set out in note 3 the Directors assess that due to the deterioration of the political situation in Burundi they can no longer reasonably assume that the export ban will be lifted. Accordingly, at 30 June 2024 the value of the available for sale mineral concentrate has been fully impaired.

As set out in notes 3, 12 and 13, due to the suspension of all activities of RMB in Burundi and the re-focus of the Rainbow business to secondary sources of rare earths, the value of goods in transit held in the port of Bujumbura was written down to nil during the prior year in line with the fixed assets associated with the Gakara project.

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15. TRADE AND OTHER RECEIVABLES

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Accounts receivable	**29**	-
VAT recoverable	**235**	263
Prepayments	**104**	97
Deposits paid	**5**	3
Sundry debtors	**1**	2
Total trade and other receivables	**374**	365

VAT recoverable relates to the input VAT recoverable in Burundi (US$140k, 2023: US$137k) and South Africa (US$95k, 2023: US$126k). During the year ended 30 June 2021 a tax audit was undertaken in Burundi over the local operating subsidiary, RMB, covering the period from 2017 to 2019. The audit concluded that reverse VAT totalling BIF302 million (US$106k) had not been correctly accounted for on several invoices received for services supplied to RMB from international suppliers. The reverse VAT is recoverable under Burundi legislation and, whilst there is no legal right to net settlement, it is expected that the liability will only be settled in a negotiated off-set against the recoverable asset. Accordingly, both the asset and liability are recognised at 30 June 2024.

During the Prior Year the royalty receivable was fully impaired as per note 3.

Expected credit losses were assessed at 30 June 2024 considering various potential scenarios, information regarding the counterparty credit risk, the historical payment profiles, and forward-looking factors. On the basis that the primary credit risk relates to the reverse VAT recoverable in Burundi, which is expected to be paid only on resolution of all matters relating to the suspension of activity in Burundi, no expected credit loss provision was considered necessary in the Year (2023: US$nil).

16. CASH AND CASH EQUIVALENTS

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Cash at bank and in hand	**79**	8,107
Total cash at bank and in hand	**79**	8,107

No cash amounts were restricted at 30 June 2024 (30 June 2023: nil).

17. TRADE AND OTHER PAYABLES

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Trade payables	**361**	124
Accrued expenses	**930**	646
Taxes and social security	**319**	290
Burundi land taxes and community contributions payable	**240**	190
Total trade and other payables	**1,850**	1,250

Amounts payable under the Gakara mining convention to local communities, which have not settled during the period of suspension, have been reclassified from accrued expenses to better reflect the nature of liabilities disclosed.

Tax and social security payables include BIF737 million (US$260k) for taxes provided as a result of a tax audit undertaken in Burundi over the local operating subsidiary, RMB, covering the period from 2017 to 2019. Reverse VAT totalling BIF302 million and withholding tax totalling BIF148 million had not been correctly accounted for on a number of invoices received for services supplied to RMB from international suppliers. A further BIF20 million of payroll taxes were found not to have been paid on salaries for casual staff. Penalties totalling BIF182 million on the unpaid taxes have also been provided for in accordance with Burundi legislation together with interest up to the balance sheet date totalling BIF133 million (2023: BIF85 million).

The Directors consider the carrying value of trade and other payables approximate to their fair value.

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CONTINUED

18. BORROWINGS

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
FinBank Loan	**282**	363
Warrant liability	**155**	123
Total borrowings	**437**	486
Borrowings fall due:		
Due within one year	**245**	201
Due between two to five years	**192**	285
Total	**437**	486

The following table analyses the movement in borrowings:

	Year ended 30 June 2024		Year ended 30 June 2023	
	US$'000	**US$'000**	US$'000	US$'000
Borrowings brought forward		**486**		753
Cash flows from borrowings				
Repayment of borrowings	**(77)**		(61)	
Interest paid	**(49)**		(78)	
		(126)		(139)
Non-cash movement in borrowings				
Interest charge on borrowings	**49**		78	
Valuation of warrant liability	**32**		(73)	
Foreign exchange gain on BIF loan	**(4)**		(133)	
	77		(128)	
Borrowings carried forward		**437**		486

FinBank Loan
The FinBank loan facility in Burundi is expressed in BIF and carries an interest rate of 15%. Interest on the loan was paid throughout the Year. Updated repayment terms were agreed from February 2023, with BIF30 million per month paid until April 2027, covering both principal and interest on a reducing balance basis.

Under the terms of this loan, FinBank has security over the fixed and floating assets of RMB, the shares of RMB, and the cash held in RMB's FinBank bank accounts. Interest on the loan amounted to US$49k (2023: US$78k).

Warrant liability
On 15 February 2024, the period of Warrants issued to Pipestone Capital Inc. was extended to 20 February 2026 giving rise to a revaluation in the Year.

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FOR THE YEAR ENDED 30 JUNE 2024
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19. LEASES

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Lease liabilities fall due:		
Due within one year	**48**	23
Due between two to five years	**44**	21
After five years	**-**	-
Total	**92**	44

The following table analyses the movement in lease liabilities:

	Year ended 30 June 2024		Year ended 30 June 2023	
	US$'000	**US$'000**	US$'000	US$'000
Lease liabilities brought forward		**44**		113
Cash flows from leases				
Payment of lease liabilities	**(43)**		(31)	
Interest paid	**(10)**		(10)	
		(53)		(41)
Non-cash movement in leases				
Recognition of lease liabilities	**91**		-	
Interest charge on leases	**10**		10	
Revaluation on termination	**-**		(38)	
	101		(28)	
Lease liabilities carried forward		**92**		44

Right of use assets

	Land and buildings US$'000
Balance as at 1 July 2022	**108**
Right of use asset recognised in the year	-
Amendment to expected life	(36)
Depreciation in year	(33)
Balance as at 30 June 2023	**39**
Right of use asset recognised in the year	91
Depreciation in year	(46)
Balance as at 30 June 2024	**84**

In the prior year notice of termination was given on the South African office lease and the applicable amendments to the Lease Liability and Right of Use Asset were recorded in the Year to reflect the new termination date. The new office lease started during the current year, on 1 September 2023.

The leasehold properties in Burundi are subject to an annual agreement, with right of use assets and lease liabilities calculated by reference to the Group's anticipated long-term intentions to renew the lease agreements.

There are no other lease commitments.

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FOR THE YEAR ENDED 30 JUNE 2024
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20. PROVISIONS

	Rehabilitation provision US$'000
At 1 July 2022	**61**
Discount	(6)
At 30 June 2023	**55**
Discount	-
At 30 June 2024	**55**

The rehabilitation provision relates to the anticipated cost of restoring the operating sites at the Gakara project in Burundi, discounted to reflect management's best estimates of the timing of future estimated cash flows. During the Year the impact of inflation, the revaluation of the BIF and the expected timing of rehabilitation activities resulted in no change to the recognised liability.

No provision was recorded for the Group's Phalaborwa project as on-site activities have not yet commenced and there is no legal obligation for restoration by the Group with historical environmental liabilities associated with the site contractually remaining with the previous owners.

21. SHARE CAPITAL

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
Share Capital	**56,362**	50,937
Issued Share Capital	**56,362**	50,937

The table below shows a reconciliation of share capital movements:

	Number of shares	US$'000
At 30 June 2022	**524,405,810**	41,442
November 2022 - Exercise of share options (cash receipts)	**2,000,000**	125
May 2023 - Share placing (cash receipts)	**72,452,846**	9,485
Costs associated with exercise of share options and share placing	**-**	(115)
At 30 June 2023	**598,858,656**	50,937
October 2023 - Share placing (cash receipts)	**25,786,541**	4,699
December 2023 - Share placing (cash receipts)	**4,213,459**	802
December 2023 – Exercise of share options (nil value)	**1,458,000**	-
Costs associated with exercise of share options and share placing	**-**	(76)
At 30 June 2024	**630,316,656**	56,362

On 5 October 2023 25,786,541 shares were issued at a price of 15 pence per share as a private placement, raising US$4.7 million (before costs of US$57k).

The issue of additional shares without pre-emption rights was authorised by the shareholders at the annual general meeting in November 2024. Subsequently, a further 5,671,459 shares were issued on 5 December 2023 of which:
- 4,213,459 shares were issued for cash proceeds of US$802k at a price of 15p per share.
- 1,458,000 shares were issued for no value, representing the exercise of nil value share options.

Costs relating to these share issues were US$19k.

During the prior year:
- On 10 November 2022, the Australian Special Opportunity Fund, LP exercised options over 2,000,000 shares at an exercise price of 5.28p per share, raising gross cash proceeds of US$125k.
- On 9 May 2023, the Company issued 72,452,846 shares at a price of 10.377 pence per share, raising gross cash proceeds of US$9.5 million (before costs of US$1k).

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FOR THE YEAR ENDED 30 JUNE 2024
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22. SHARE OPTIONS AND WARRANTS

Employee share options
The total share-based payment charge for the Year was US$427k (2023: US$325k).

At 30 June 2024, the following employee share options were exercisable and outstanding:

	30 June 2024		30 June 2023	
	Number	**Average weighted exercise price (pence)**	Number	Average weighted exercise price (pence)
Share option plan				
Outstanding as at 1 July	**11,541,400**	**13.33**	11,791,400	13.43
Lapsed in the year	**(944,700)**	**10.00**	(250,000)	18.00
Outstanding as at 30 June	**10,596,700**	**13.62**	11,541,400	13.33
Exercisable as at 30 June	**9,580,034**	**13.30**	9,508,068	12.07
Long Term Incentive Plan				
Outstanding as at 1 July	**8,258,000**	**-**	3,708,000	-
Exercised during the year	**(1,458,000)**	**-**	-	-
Granted in the year	**-**	**-**	4,550,000	-
Outstanding as at 30 June	**6,800,000**	**-**	8,258,000	-
Exercisable as at 30 June	**3,766,661**	**-**	3,708,000	-

During the Year:
- On 31 July 2023 944,700 options with an exercise price of 10p per share expired.
- On 4 December 2023 1,458,000 nil value share options were exercised by George Bennett.

In addition, on 30 April 2024 1,000,000 nil priced share options previously issued to US citizens under the Long Term Incentive Plan were cancelled prior to vesting to ensure compliance with s.409A of the United States Internal Revenue Code. The Directors replaced these options with 333,332 shares representing options that would have vested in the Year and 666,668 Restricted Share Units, issued on 3 September 2024. The Restricted Share Units mirror the terms of the cancelled options but require the shares to be issued immediately on vesting (50% on 30 June 2025 and 50% on 30 June 2026). This was treated as a modification of the share options with no additional value accruing to the option holders. The analysis above includes these cancelled nil priced options at 30 June 2024 despite the replacement instruments not being issued until after the balance sheet date.

During the prior year:
- 250,000 options lapsed due to an employee leaving the Group.
- The market based vesting conditions attached to 1,236,000 nil priced options issued in 2021 were judged at 30 June 2023, with the calculated shareholder return for the Company (-23%) being below the median for the basket of investments specified (-22%). The Directors considered the strong post Year-end share price performance and waived the market based vesting conditions allowing the options to vest as set out in the table above. The modification did not result in an increase in the fair value of the share options.
- 4,550,000 options were issued as follows:
  - 3,150,000 issued to the Directors and PDMR's on 19 May 2023, pursuant to its Long Term Incentive Plan (LTIP approved in January 2021). The options are nil priced share options and will vest in equal tranches over three years: one third after 12 months, one third after 24 months and one third after 36 months.
  - 1,400,000 issued to staff and PDMR on 6 June 2023, pursuant to its Long Term Incentive Plan (LTIP approved in January 202). The options are nil priced share options and will vest in equal tranches over three years: one third after 12 months, one third after 24 months and one third after 36 months.
  - The fair value of the options was judged to be the share price on the date of grant (19 May 2023: £0.086/share; 6 June 2023: £0.09/share).

The rules of the Long Term Incentive Plan have been amended further to accommodate Restricted Share Units.

The options outstanding at 30 June 2024 across both the share option plan and Long Term Incentive Plan had a weighted average remaining contractual life of 5.7 years (2023: 6.9 years).

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FOR THE YEAR ENDED 30 JUNE 2024
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22. SHARE OPTIONS AND WARRANTS CONTINUED

Warrants

	Number	Exercise price
Outstanding and exercisable at 30 June 2023 and 2024	2,000,000	£0.0455

Weighted average exercise price calculated for US$ based warrants on US$:GBP exchange rate ruling on 30 June 2020.

On 21 February 2020, 2,000,000 warrants were issued to Pipestone Capital Inc ("Pipestone"), in which George Bennett, the Company's CEO, has a beneficial interest. The warrants were issued in lieu of interest on a US$1 million bridging loan provided to the Company as set out in note 18. The warrants initially had a contractual life of four years at an exercise price of 4.55 pence per warrant. During the year the expiry date was extended to 20 February 2026 as set out in note 18. The Pipestone warrants are recognised as a financial liability at fair value through profit and loss with changes in value in the Year included under Finance Income as set out in note 6.

As noted above, the Pipestone warrants are classified as a financial liability and are revalued at each period end using a Black-Scholes model, which is categorised as a level 3 fair value measurement in accordance with IFRS 13. The inputs into the model were:

	At 30 June 2024	At 30 June 2023
Share price (GBP pence)	**10.25**	9.50
Exercise price (GBP pence)	**4.55**	4.55
Expected volatility	**54.47%**	44.44%
Risk free rate	**4.12%**	4.35%
Rate of Exchange	**1.27**	1.22
Time to exercise (years)	**1.50**	0.58

Expected volatility was determined by reference to the annual volatility of the Company's closing mid-market share price on the London Stock Exchange.

The expected life used in the model has been on management's best estimate for the effects of exercise restrictions and behaviour.

23. RESERVES

Reserve	Purpose
Share capital	Value of shares issued less costs of issuance
Share-based payment reserve	Fair value of share options issued
Other reserves	Fair value adjustments for interest free loans
Accumulated losses	Cumulative net losses recognised in the statement of comprehensive income
Non-controlling interest	Amounts attributable to the 10% interest the State of Burundi has in RMB, and 3% interest Gilbert Midende has in Rainbow Burundi SPRL at 30 June 2023. Refer to note 24 for further details and non-controlling interests for earlier periods

Details in the movements of these reserves are set out in the Statement of Changes in Equity.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
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24. NON-CONTROLLING INTEREST

The Group has subsidiaries with non-controlling interests ("NCI") as follows:
- The State of Burundi has a non-dilutable 10% interest in RMB
- Gilbert Midende has a 3% interest in Rainbow Burundi SPRL

Summarised financial information in relation to these subsidiaries, before intra-group eliminations, is presented below together with the attributable NCI.

Name of subsidiary	Rainbow Burundi SPRL		Rainbow Mining Burundi SM		Total Group	
Country	Burundi		Burundi			
Effective non-controlling interest	3%		10%			
	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000
Income statement						
Administrative expenses	**-**	-	**(179)**	(276)	**(179)**	(276)
Impairment	**-**	-	**(717)**	(8,242)	**(717)**	(8,242)
Depreciation	**-**	-	**(20)**	(368)	**(20)**	(368)
Net finance income / (costs)	**294**	-	**(38)**	76	**256**	76
Tax	**-**	-	**(1)**	-	**(1)**	-
Income / (loss) and total comprehensive income / (loss) for period	**294**	-	**(955)**	(8,810)	**(661)**	(8,810)
Total comprehensive income / (loss) attributed to NCI	**9**	-	**(96)**	(881)	**(87)**	(881)
Dividends paid to NCI	**-**	-	**-**	-	**-**	-
Cash flows						
Cash flow from operating activities	**-**	-	**(568)**	(357)	**(568)**	(357)
Cash flow from investing activities	**-**	-	**-**	-	**-**	-
Cash flow from financing activities	**(1)**	-	**(130)**	(78)	**(131)**	(78)
Net cash flows	**(1)**	-	**(698)**	(435)	**(699)**	(435)
Balance Sheet						
Non-current assets	**-**	-	**24**	37	**24**	37
Current assets	**-**	1	**151**	878	**151**	879
Non-current liabilities	**-**	-	**(252)**	(361)	**(252)**	(361)
Current liabilities	**-**	-	**(645)**	(572)	**(645)**	(572)
Intra-group loans	**-**	(295)	**(19,377)**	(19,117)	**(19,377)**	(19,412)
Net assets	**-**	(294)	**(20,099)**	(19,135)	**(20,099)**	(19,429)
Accumulated non-controlling interest	**-**	(9)	**(2,009)**	(1,913)	**(2,009)**	(1,922)

25. CAPITAL COMMITMENTS

There were no capital commitments on 30 June 2024 (2023: nil). Under the terms of the Gakara Mining Convention there are no minimum expenditure commitments in respect of exploration and evaluation activities.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024
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26. RELATED PARTY TRANSACTIONS

	Year to 30 June 2023			Year to 30 June 2022		
	Charged in year US$'000	**Settled in year US$'000**	**Balance as at 30 June 2024 US$'000**	Charged in year US$'000	Settled in year US$'000	Balance as at 30 June 2023 US$'000
Benzu Minerals (Proprietary) Limited[1]	**-**	**-**	**-**	1	(1)	-
MPD Consulting Limited[2]	**5**	**(4)**	**2**	5	(4)	1
Magna Capital (Guernsey) Limited[3]	**647**	**(647)**	**-**	73	(73)	-
Total	**652**	**(651)**	**2**	79	(78)	1

1. Benzu Minerals (Proprietary) Limited is connected to Cesare Morelli who is currently engaged as the acting General Manager of Rainbow Mining Burundi. In addition to the amounts disclosed, which relate to costs associated with the drilling programme at Phalaborwa, salary was paid to Cesare Morelli via Benzu Minerals (Proprietary) Limited and is included in remuneration disclosures in note 9.
2. MPD Consulting Limited, in which Pete Gardner, the Company's CFO, has a beneficial interest, has recharged certain costs relating to third party UK administrative costs incurred on behalf of the Group.
3. Magna Capital (Guernsey) Limited ("Magna"), in which Adonis Pouroulis, the non-executive Chairman of the Board of Directors, has a beneficial interest, was engaged in December 2022 to assist the Company with its strategy to consolidate ownership of the Phalaborwa project and lift the notarial bonds in South Africa issued in favour of third parties which may have impacted the ability of Bosveld Phosphates (Pty) Limited to transfer the rights to the Phalaborwa project to a new entity as envisaged. The transaction was concluded in current year and a success fee of £500k was paid to Magna.

As set out in notes 18 and 22, the term of the warrants issued to Pipestone Capital, in which George Bennett, the Company's CEO, has a beneficial interest, was extended by two years to 20 February 2026. This led to a revaluation of the warrant liability, which is recognised at fair value through profit and loss.

Related party transactions were made on terms equivalent to those that prevail in arm's length transactions.

27. INVESTMENT IN SUBSIDIARIES

The shareholdings in the Group's subsidiaries for each year are set out below:

			% Share Capital Held	
Name of Company	**Principal Activity**	**Country of Incorporation**	**2024**	2023
Rainbow International Resources Limited	Rare earth exploration	Guernsey	**100%**	100%
Rainbow Burundi SPRL	Rare earth exploration	Republic of Burundi	**97%**	97%
Rainbow Mining Burundi SM	Rare earth mining	Republic of Burundi	**90%**	90%
Rainbow Rare Earths Zimbabwe (Private) Limited	Rare earth exploration	Zimbabwe	**100%**	100%
Rainbow Rare Earths (Proprietary) Limited	Group support services	South Africa	**100%**	100%

a. Rainbow International Resources Limited is 100% owned by Rainbow Rare Earths Limited.
b. Rainbow Burundi SPRL is in the process of being deregistered.
c. Gilbert Midende holds a 3% interest in Rainbow Burundi SPRL.
d. 97% of shares in Rainbow Burundi SPRL and 90% of shares in Rainbow Mining Burundi SM are held by Rainbow International Resources Limited.
e. The Government of Burundi has a 10% interest in Rainbow Mining Burundi SM granted in accordance with the Mining Code of Burundi.
f. Rainbow Rare Earths Zimbabwe (Private) Limited is dormant and not trading and in the process of being deregistered.
g. Rainbow Rare Earths (Proprietary) Ltd is 100% owned by Rainbow Rare Earths Limited.

28. CONTINGENT LIABILITIES

There were no contingent liabilities at 30 June 2024 (30 June 20232: nil).

29. POST BALANCE SHEET EVENTS

On 1 July 2024, the Company entered into a binding agreement with Ecora Resources PLC to raise US$10 million by:
- The issue of 10,442,427 new ordinary shares in the Company at a price of 11.3652p for cash consideration of US$1.5 million.
- The sale of a 0.85% Gross Revenue Royalty over future rare earths sales from the Group's Phalaborwa project in South Africa, plus any other saleable products, for a cash consideration of US$8.5 million, which was completed and settled net of US$0.2 million transaction costs in September 2024.

As set out in note 8, on 3 September 2024 the Company issued 2,595,735 shares as settlement of bonuses to key management personnel.

As set out in note 22, on 3 September 2024 the Company issued 333,332 shares as replacement of options cancelled on 30 April 2024 that had been issued to US residents that were due to vest on 19 May 2024.

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30. FINANCIAL RISK MANAGEMENT

The Group's financial liabilities at each period end consist of bank borrowings, leases, unsecured loans and trade and other payables (including accrued expenses). The warrants issued in lieu of interest for the Pipestone Loan, as set out in note 18, are measured at fair value through profit or loss. All other liabilities are measured at amortised cost. These are detailed in notes 17, 18 and 19.

The Group has various financial assets, being trade and other receivables and cash, which arise directly from its operations. To the extent that these represent financial assets they are classified as assets held at amortised cost. These are detailed in notes 15 and 16.

The fair values of the Group's cash, trade and other receivables, borrowings, unsecured loans, leases, trade and other payables and financial liabilities at fair value through profit and loss are considered to approximate book value.

The risks arising from the Group's financial instruments are credit risk, liquidity risk and market risk (including interest risk and currency risk). The risk management policies employed by the Group to manage these risks are discussed below.

Credit risk
Credit risk refers to the risk that the Group's financial assets will be impaired by the default of a third party. The Group is exposed to credit risk on its cash and cash equivalents as set out in note 16. Credit risk is managed by ensuring that surplus funds are held in the UK with well-established financial institutions of high-quality credit standing. At 30 June 2024, 99% of funds were held with a bank with a long-term A- credit rating (2023: 99%).

Market risk
Market risk arises from the Group's use of interest bearing, tradable and foreign currency financial instruments. It is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in interest rates (interest rate risk), foreign exchange rates (currency risk) or other market factors (other price risk).

Currency risk
Currency risk refers to the risk that fluctuations in foreign currencies cause losses to the Group.

The Group is exposed to foreign exchange risk arising from various currency exposures primarily with respect to Sterling and the Burundian Franc. Management monitors the exchange rate fluctuations on a continuous basis and acts accordingly. The financial assets and liabilities that include significant foreign currency denominated balances are shown below.

Foreign exchange risk is managed by matching the currency profile of cash holdings to expected future cash outflows. Minimal cash is held in Burundian Francs. The table below shows the currency profiles of cash and cash equivalents:

Cash and cash equivalents	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000
US Dollars	**21**	7,212
GB Pounds	**4**	670
SA Rands	**51**	224
Burundi Francs	**3**	1
Total	**79**	8,107

The table below shows an analysis of the currency of the monetary liabilities in the functional currency of the Group (US dollars):

	Year ended 30 June 2024 US$'000	Year ended 30 June 2023 US$'000
US Dollars	**988**	503
GB Pounds	**332**	260
Burundi Francs	**600**	679
South African Rand	**303**	215
Total	**2,223**	1,657

The largest foreign currency monetary liability exposure and the least stable currency is the Burundi Franc. A 10% movement in the US$:BIF rate would have resulted in a gain or loss of approximately US$0.1 million (2023: approximately US$0.1 million) in the income statement in relation to the cash and cash equivalents and trade payables as at 30 June 2024.

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30. FINANCIAL RISK MANAGEMENT CONTINUED

Interest rate risk
Interest rate risk refers to the risk that fluctuations in interest rates cause losses to the Group.

The Group and Company have no exposure to interest rate risk except on cash and cash equivalents which carry variable interest rates. The Group has no material sensitivity to reasonable changes in variable interest rates. The group monitors the variable interest risk accordingly.

The Group's borrowings bear fixed rates of interest.

Liquidity risk
Liquidity risk refers to the risk that the Group has insufficient cash resources to meet working capital requirements. The Group manages its liquidity requirements by using both short and long-term cash flow projections. The following table sets out the contractual maturities (representing undiscounted contractual cash flows) of financial liabilities:

	As at 30 June 2024				As at 30 June 2023			
	Due within 1 years US$'000	**Due in 1 to 2 years US$'000**	**Due in 2 to 5 years US$'000**	**Due in 5 to 10 years US$'000**	Due within 1 years US$'000	Due in 1 to 2 years US$'000	Due in 2 to 5 years US$'000	Due in 5 to 10 years US$'000
Trade and other payables	**1,850**	**-**	**-**	**-**	1,250	-	-	-
Loans and borrowings (excluding warrants)	**125**	**125**	**126**	**-**	127	127	223	-
Lease liabilities	**33**	**5**	**-**	**-**	28	18	5	-
Total	**2,008**	**130**	**126**	**-**	1,405	145	228	-

Ultimate responsibility for liquidity risk management rests with the Directors, who have built an appropriate liquidity risk management framework for the management of the Group's short, medium, and long-term funding and liquidity management requirements. The Group closely monitors and manages its liquidity risk. For further details on the Group's liquidity position, please refer to the going concern paragraph in note 2 of these accounts.

Capital management
In managing capital, the Group's primary objective is to maintain a sufficient funding base, through debt and equity, to enable the Group to meet its working capital and strategic investment needs. This includes ensuring sufficient funds are available to service the Group's borrowings as they fall due. No funds are held in restricted or designated accounts for future debt servicing requirements. In making decisions to adjust its capital structure to achieve these aims the Group considers not only its short-term position but also its long-term operational and strategic objectives.

The Group's primary capital management measure is net debt (borrowings less cash) to total equity, measured as follows:

Net debt / (cash) to equity	**Year ended 30 June 2024 US$'000**	Year ended 30 June 2023 US$'000
Total borrowings (note 18)	**437**	486
Less: Cash and cash equivalents	**(79)**	(8,107)
Net debt / (cash)	**358**	(7,621)
Total equity	**13,841**	12,251
Ratio	**2.59%**	(62.21%)

31. ULTIMATE CONTROLLING PARTY

The Company does not have a single controlling party.

SHAREHOLDER INFORMATION

DIRECTORS AND ADVISERS

Executive Director
George Bennett – Chief Executive Officer

Non-Executive Directors
Adonis Pouroulis – Chairman
Alexander Lowrie
Shawn McCormick
Atul Bali
J Peter Pham
Darryl Castle

Company Secretary
Scorpio Secretarial Services Limited (Guernsey)

Registered office
Connaught House, St Julian's Avenue
St Peter Port, Guernsey GY1 1GZ

Company website
www.rainbowrareearths.com

Registrars and transfer office
Computershare Investor Services PLC
PO Box 82, The Pavilions, Bridgwater Road
Bristol BS99 7NH

Bankers
Barclays Bank PLC (UK)
FinBank S.A (Burundi)
Standard Bank of South Africa Limited (South Africa)

Brokers
Joh. Berenberg, Gossler & Co. KG (UK)
Stifel Nicolaus Europe Limited (UK)

Independent Auditors
BDO LLP (UK)

Solicitors
K&L Gates LLP (UK)
Legal Solutions Chambers (Burundi)
Cliffe Dekker Hoffmeyer Inc. (South Africa)

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